

By: David Wu (S1700518110001)

November 2019
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China Airports

Initiate coverage: A clear runway to higher returns

We see China's biggest airports delivering higher investment returns as they focus more on international flights and getting passengers to spend more

Rising fees for aircraft and passenger services, rapidly growing duty-free sales and improving asset utilisation are the three key earnings drivers

We initiate coverage of SIA and XIAC at Buy, and GBIAC and SACL at Hold. We prefer SIA

Why read this report?

- ◆ We see China's biggest airports delivering higher investment returns as they focus more on international flights and getting passengers to spend more
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China's airports are some of the biggest on the planet and handle well over a billion passenger journeys every year. Beijing's just-opened Daxing airport is the most expensive ever built, with plans to handle 100 million passenger journeys a year. While those numbers are impressive, with the number of travelers only likely to keep heading higher, China's leading listed airports lag in one key area compared to international peers: profitability. In this report, we take a deep dive into what really drives profits and why we are confident that there is an earnings upcycle ahead.

On first glance, it can look challenging as all the large airports are built and operated by state-owned enterprises and only a small portion of the sky is given over to civilian use which limits the utilisation of runways. But in fact those close ties to the government give airports support in the local areas they operate in, while a range of market-friendly reforms are being rolled out that should boost profitability and returns.

For Shanghai International Airport (SIA) and Guangzhou Baiyun International Airport (GBIAC), the country's second and third biggest by passenger traffic, we see a rapid ramp-up in duty-free business as the biggest earnings drivers. Perfumes and high-end cosmetics are especially popular among travelers in China, which is largest sales category in duty-free shop, we see duty-free sales contributing to four-fifths of profits for tier-1 airports by 2025e. But for Shenzhen Airport (SACL) and Xiamen Airport (XIAC), they are raising the fees they charge airlines for takeoffs and landings while also encouraging bigger planes and more international passengers as they are both more profitable. Added to all this are new runways and terminals being built and opened across China that are easing bottlenecks and boosting passenger numbers.

Elsewhere in this report:

- ◆ We analyze how higher investment returns will drive up long-term value for tier-1 airports
- ◆ We show why Chinese consumers are spending more at duty-free airport shops in China
- ◆ Why airports already offer high payout ratios and dividend yields with net margins and ROEs both above the A-share average and close to those in the consumer sector

We initiate on **SIA** with a Buy as it is China's most international and profitable airport, and also initiate on **XIAC** with a Buy given its PE is far below both its peers and its historical average. We

initiate on both **GBIAC** and **SACL** at Hold as while they are growing robustly, they have limited upside to our target prices.

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Facts and figures

610m

passengers handled in 2018

235 civilian

airports

as of 2018

70% of small and medium-sized airports in China are operating at a loss. Larger airports are the key contributors to the industry's profits.

59%

of the industry's total profits in 2018 were from six listed airports

11%

average ROE of tier-1 airports from 2016-2018

29%

average net margin of tier-1 airports from 2016-2018

22%

average CROIC of tier-1 airports from 2016-2018

RMB29.5bn

domestic airport duty-free market size, as of 2018

China's airport duty-free industry is growing rapidly, reaching 26% y-o-y in 2018

Expected earnings contribution of the duty-free business at tier-1 airports in 2025e

81%

The CAGR of duty-free goods sales at tier-1 airports over 2018-2025e

18%

Big airports to fly high

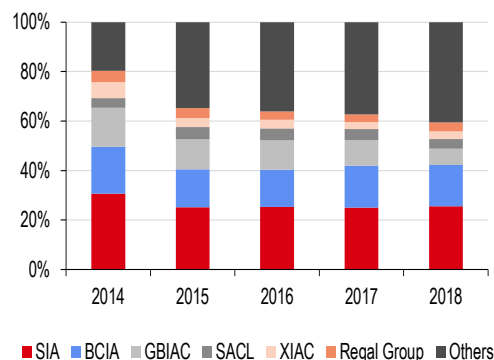
Over half a billion passengers each year. An airport with plans for eight runways. Some of the cheapest duty free prices in the world. Like many industries in China, the country's airports have some dazzling statistics. But it's easy to lose sight of what the real drivers of profit are for the large listed airports and which is the focus of this report. In short, we see an earnings upcycle ahead thanks a wide range of positives like increasing numbers of international travelers, higher spending on cosmetics at duty free and higher charges for takeoffs and landings.

China's aviation industry has grown rapidly over the past thirty years with the country now home to the world's second-biggest market in terms of passengers handled in 2018. Airports across this vast country now number 235, from just 78 in 1978, and 37 of them handle over 10m passengers a year. Eight of the world's top 50 airports by passenger traffic are now in mainland China¹.

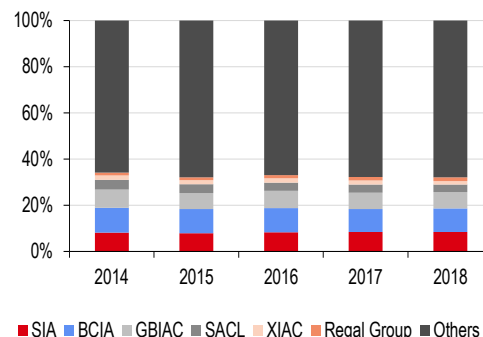
As we show in this report, airports are now a lot more than just a place to catch a ride as they are becoming shopping destinations in themselves, especially duty-free shopping. Secondly, while China has plenty of small and medium-sized airports, the majority of these operate at a loss and it's the larger airports that are the most profitable and the focus of this report. In 2018, the six listed airports of Shanghai, Beijing, Guangzhou, Shenzhen, Xiamen and Haikou collectively contributed 32% to the industry's total revenue and 59% to the total profit.

For tier-1 airports (those located in tier-1 cities), while passenger traffic is growing steadily, the really exciting earnings drivers are rising spending by travelers and better monetisation of their land, buildings and equipment. We see airports raising their aeronautical charges, like landing and parking fees, to be in line with international peers and adopting more market-pricing policies. For airports like SIA, the biggest growth should come from its shift to handling more international travelers and higher spending in duty free. It's no surprise then that overall, we see earnings and investment returns of tier-1 airports currently in an upcycle.

¹ This measure excludes Hong Kong SAR, Macau SAR and Taiwan.

Exhibit 1. Six listed airports contributed nearly 60% to the industry's total profits


Source: Civil Aviation Administration of China, company data, HSBC Qianhai Securities

Exhibit 2. Six listed airports contributed nearly 30% to the industry's total revenue


Source: Civil Aviation Administration of China, company data, HSBC Qianhai Securities

Exhibit 3. Comparable valuations

Company name	Ticker	Curr	Closing price (30 October)	ADTV	Market cap	PE			PB			ROE (%)			EPS CAGR (%)	Dividend yield (%)
				USDm	USDbn	19e	20e	21e	19e	20e	21e	19e	20e	21e	19-21e	19e
China																
SIA *	600009 CH	RMB	77.68	126.4	21.2	27.3	24.3	21.5	4.7	4.1	3.7	18	18	18	18	1
GBIAC *	600004 CH	RMB	18.50	37.0	5.4	46.8	34.6	27.0	2.4	2.3	2.1	5	7	8	8	1
SACL *	000089 CH	RMB	9.71	28.4	2.8	29.7	27.2	27.9	1.6	1.6	1.5	6	6	6	2	1
XIAC *	600897 CH	RMB	21.11	3.1	0.9	11.8	11.2	10.7	1.6	1.5	1.4	14	14	14	5	4
BCIA	694 HK	HKD	7.33	11.0	4.2	13.0	17.8	21.9	1.2	1.1	1.1	9	6	5	-22	3
Regal Group	357 HK	HKD	5.19	0.1	3.1	4.2	4.0	6.3	0.4	0.6	0.5	9	10	9	14	-
Europe																
Frankfurt Airport Group	FRA GR	EUR	74.8	8.3	7.7	16.2	14.9	14.6	1.5	1.5	1.4	10	10	10	0	3
Paris Airport Group	ADP FP	EUR	170.8	8.5	18.8	28.2	25.6	23.6	3.2	3.0	2.9	12	13	13	5	2
Asia																
Airports of Thailand	AOT TB	THB	78.8	53.8	37.2	43.2	39.7	29.1	7.2	6.7	6.0	17	17	22	15	1
Malaysia Airports Holdings Berhad	MAHB MK	MYR	7.91	5.1	3.1	23.8	20.0	18.3	1.5	1.4	1.3	7	8	8	2	2

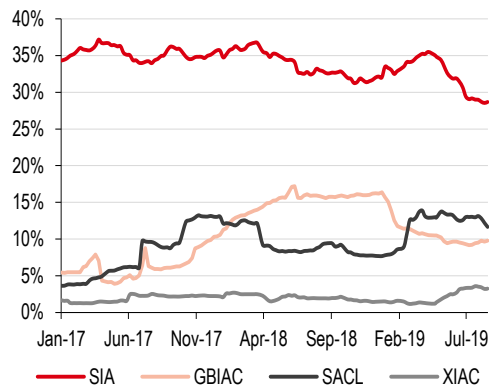
Note: Closing prices as of 30 Oct 2019

BCIA, Airports of Thailand and Malaysia Airports Holdings Berhad covered by Parash Jain (parashjain@hsbc.com.hk)

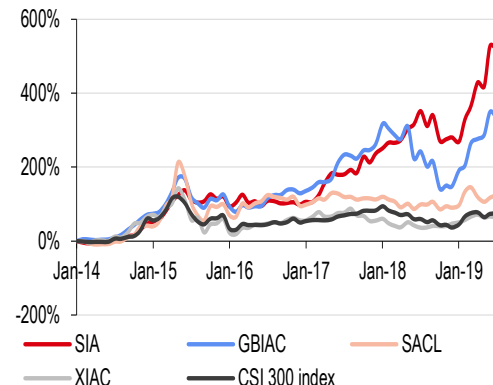
Source: Bloomberg for all other stocks, HSBC Qianhai Securities estimates (* for our four covered stocks)

China's top airports favoured by investors

Two of China's tier-1 listed airports – SIA and GBIAC – have performed well in recent years and been rewarded by the market, especially by overseas investors. In the past two years, foreign holdings of SIA have stayed high at 30%-40% while SIA and GBIAC generated returns of 559% and 344% from January 2014 to August 2019.

Exhibit 4. Overseas investors hold big stakes in some of China's tier-1 airports


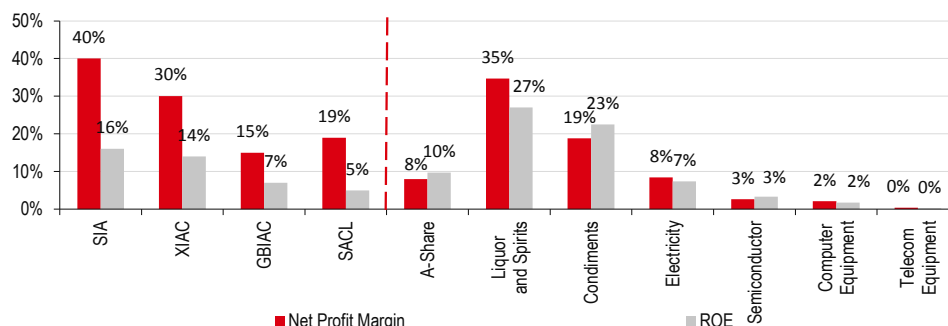
Source: Wind, HSBC Qianhai Securities

Exhibit 5. China's tier-1 airports produce substantially higher returns than the CSI 300 (January 2014-August 2019)


Source: Wind, HSBC Qianhai Securities

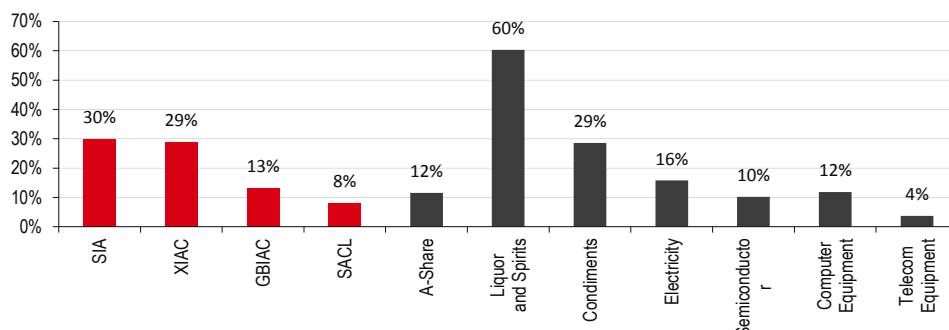
In our view, tier-1 airports are favoured by investors for these four reasons:

- ◆ Trips per capita, a key measure for the aviation industry, is well below international peers at just 0.4 in China compared to two in Europe and the US. Airbus expects a CAGR of 7.3% for RPK (revenue passenger kilometer) of domestic routes in China and an even higher rate for international routes over 2017-2027, indicating long-term sustainable growth ahead for the airport industry.
- ◆ In China, major airports are constructed and operated by state-owned enterprises, which enables tier-1 airports to enjoy a natural regional monopoly.
- ◆ Given high passenger traffic as well as a high utilisation rate, tier-1 airports have strong economies of scale and are well positioned to improve passenger consumption, which should lift their profit margins and ROEs.
- ◆ For tier-1 airports, their changing business models can help generate superior cash flow, and their CROIC (adjusted free cash flow/invested capital) is well above the A-share average and close to that in the consumer sector. Airports generally offer higher payout ratios and dividend yields.

Exhibit 6. Airports' net margins and ROEs are both above the A-share average and close to those in the consumer sector (2018)


Source: Company data, Wind, HSBC Qianhai Securities

Exhibit 7. Airports' CROIC is above the A-share average and close to that in the consumer sector (2009-2018 average)

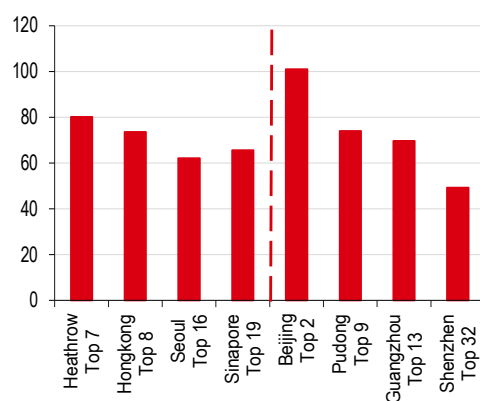


Source: Company data, Wind, HSBC Qianhai Securities

Significant upside for the profitability of China's tier-1 airports

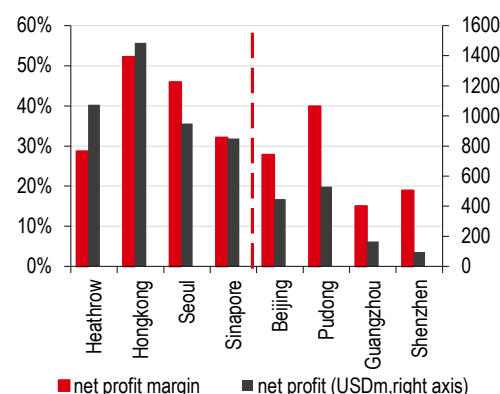
In terms of passenger traffic, China's tier-1 airports handle the same numbers as their international peers, but lag behind in terms of profits, implying they have significant upside.

Exhibit 8. Passengers handled at tier-1 airports globally in 2018 (m)



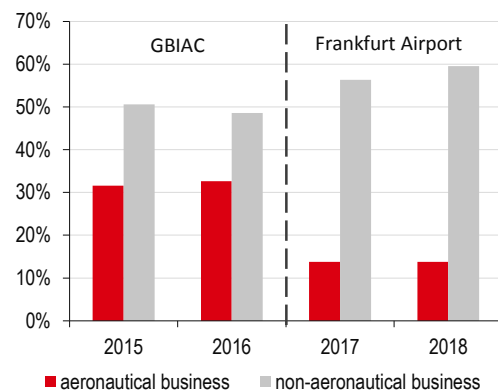
Source: Company data, HSBC Qianhai Securities

Exhibit 9. Profitability of tier-1 airports globally (2018)

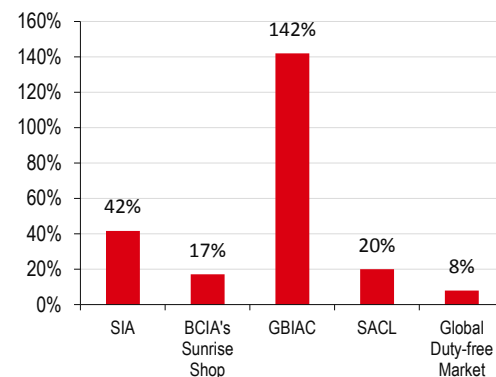


Source: Company data, HSBC Qianhai Securities

In the future, earnings growth and any rise in profitability at China's tier-1 airports will largely depend on the development of non-aeronautical business like duty free shops and advertising. For SIA and GBIAC, the highly profitable duty-free business should be the major growth driver. At present, China's tier-1 airports' duty-free business is in a period of high growth, driven by sales of premium cosmetic products, supportive duty-free policies and Chinese consumers increasingly buying duty-free goods in Chinese airports instead of overseas airports.

Exhibit 10. The gross profit margin of the non-aeronautical business is significantly higher than the aeronautical business


Source: Company data, HSBC Qianhai Securities

Exhibit 11. The growth rate of duty-free sales in China's tier-1 airports was high in 2018


Source: Generation Research, Company data, HSBC Qianhai Securities

Exhibit 12. Duty-free business is the major growth driver for SIA and GBIAC

Segment (RMBm)	SIA			GBIAC			SACL			XIAC		
	2019e	2020e	2021e	2019e	2020e	2021e	2019e	2020e	2021e	2019e	2020e	2021e
Passenger service	1846	2013	2240	1423	1563	1684	1143	1236	1327	620	653	684
Movement service	1509	1592	1700	873	965	1048	304	334	365	266	272	278
Others	801	888	957	1150	1257	1360	931	983	1036	330	346	361
Subtotal of aeronautical business	4157	4492	4897	3446	3785	4091	2378	2553	2728	1216	1271	1323
Duty-free rent	5738	7422	8769	626	834	961	74	84	112	24	24	24
Taxed retail rent	879	1019	1191	1054	1122	1389	384	400	412	205	209	212
Advertising lease	58	230	340	662	725	799	332	371	406	209	215	222
Others	906	955	1015	2000	2107	2219	610	634	658	202	210	218
Subtotal of non-aeronautical business	7582	9369	10511	4341	4789	5367	1400	1489	1588	640	658	676
Total Revenue	11738	13862	15408	7787	8574	9458	3778	4042	4316	1855	1929	1999
Net profit attributable to parent	5474	6152	6950	817	1108	1420	618	732	713	535	560	590
Net profit rate	47%	44%	45%	11%	13%	15%	16%	18%	17%	29%	29%	30%

Source: Company data, HSBC Qianhai Securities estimates

Industry outlook

Passenger throughput, which counts each inbound and outbound journey separately, at airports in China rose from 406m in 2008 to 1.27bn in 2018 (12% CAGR), accompanied by air traffic movements (equivalent to a takeoff or landing) rising from 4.2m to 11.1m over the same period (10% CAGR). In 1H19, the y-o-y growth in air passenger throughput and air traffic movements moderated to 8.1% and 6.3% for the whole airport industry, respectively, while those numbers fell to just 3.1% and 0.73% for large tier-1 airports. This was due to the slowing economy and the Civil Aviation Administration of China's (CAAC) stricter controls over the volume of flights.

However, in our view, tier-1 airports will benefit from accelerating growth in passenger traffic as they add capacity over the next three years. We estimate passenger throughput growth at tier-1 airports will recover to 3.8% in 2019e, 7.1% in 2020e and 7.6% in 2021e. We see earnings being driven by:

- ◆ Aeronautical charges at China's airports are well below the international level. Amid the ongoing airport charge reforms (see page 16), domestic airports will inevitably raise their

charges and adopt more market-friendly policies. We expect the aeronautical charges which are set by the government to be raised every 5-10 years in future.

- ◆ The increasing number of international routes should help optimise the revenue mix and improve the profitability of tier-1 airports.
- ◆ As discussed, airport duty-free is seeing rapid growth, supporting significant growth in the sales of airport duty-free goods and franchise revenue.

Initiate coverage

We prefer SIA, followed by XIAC, GBIAC and SACL in sequence.

SIA (600009 CH, RMB77.68; Buy; TP: RMB92.87)

Positioned as an international hub for passengers and an Asia-Pacific freight transportation center, Shanghai Pudong International Airport (SIA) is the ninth-largest passenger airport and the third largest cargo airport in the world. In mainland China, it is the second-largest passenger airport and the biggest cargo airport. Over 2013-2018, SIA recorded a CAGR of 9.4% in passenger throughput, 12.3% in revenue and 17% in net profit.

In addition to its leading cost advantages and efficient management, SIA plans to eventually have eight runways and five terminals, which would offer it the potential to become a “super airport”. With satellite terminals starting operations in 2019, the company has doubled its terminal capacity. Under its new duty-free contracts, the company is likely to register notable growth in duty-free revenue and earnings. According to our estimates, SIA’s duty-free net profit and cash earnings will collectively exceed RMB38bn over 2019-25e, and advertisement earnings will double as its advertisement contracts are renewed from 2021 onwards.

We estimate that SIA can achieve a CAGR of 18.3% in revenue and 19.0% in net profit attributable to parent company over 2019-2021e. We arrive at a target price of RMB92.87 based on our two-stage DCF model, implying 20% upside. We initiate coverage with a Buy rating. The market consensus on 3Q19 and 2Q19 earnings points to a 29.8x and a 30.2x 2019e PE respectively, while our earnings estimates imply a 27.3x 2019e PE, more than 2SD above its historical average. In our view, this reflects the robust growth of the company’s duty-free business and continued decline in its discount rate, so the current valuation is attractive in our view. As an industry leader, we believe SIA, among our covered companies, demonstrates the best internationalisation, profitability and investment returns, and is able to generate strong free cash flow. SIA is our preferred stock for long-term investment. Share price catalysts: a marked increase in air traffic movements and sales of duty-free goods beating our expectations.

XIAC (600897 CH, RMB21.11; Buy; TP: RMB24.86)

Xiamen International Airport Co Ltd (XIAC) is a typical tier-2 airport in China but with a competitive valuation. With one runway and two terminals, XIAC reported a CAGR of 6.1% in passenger throughput, 7.2% in revenue and 2.8% in net profit over 2013-18. Its shareholder returns are decent given a payout ratio of 75% and a dividend yield of more than 4% since 2016.

To address its capacity bottleneck created by having just one runway, since 2017, XIAC has increased the takeoffs and landings of wide-body aircrafts that carry more passengers than regular aircraft, bolstering passenger traffic. In our view, air travel demand will stay robust in Xiamen as it is an important tourist city in China, while the company’s unit aeronautical revenue should continue to rise. At present, the brand new Xiamen Xiang’an Airport is being constructed by XIAC’s controlling shareholder, and we expect the construction to be ready for operation

sometime between 2023 and 2025. Very likely, Xiang'an Airport will become the major asset of the listed company in the future.

Based on our earnings estimates, XIAC shares currently trade at a 12x 2019e PE, largely consistent with Wind consensus (12.1x 2019e PE) and c1SD below the historical average. We believe XIAC is attractive given its valuation has room to re-rate and it has a higher cash dividend payout ratio relative to A-share peers. Share price catalysts: injection of Xiang'an Airport into the listed company.

GBIAC (600004 CH, RMB18.50; Hold; TP: RMB20.63)

Guangzhou Baiyun International Airport Co Ltd (GBIAC) is the third-largest airport in mainland China. From 2013-2018, GBIAC recorded a CAGR of 5.9% for its passenger throughput, 8.5% for revenue and 4.1% for net profit. GBIAC focuses on investor returns, with its cash dividend payout ratio averaging 41.4% since its IPO in April 2003.

After T2 operations started in 2018, its capacity was boosted while the high growth in international routes has buoyed its aeronautical profit given the higher fees. In our view, GBIAC's non-aeronautical business has the greatest growth potential given GBIAC's duty-free business is expanding rapidly and catching up with SIA and BCIA. We expect GBIAC's duty-free business to deliver a 35% CAGR in franchise and rental revenue over 2018-2021e. With a focus on keeping costs under control, the company has quit some non-core businesses since 2018 and instead increased its labour outsourcing.

Based on our earnings estimates, GBIAC shares currently trade at 46.8x 2019e PE, largely consistent with Wind consensus (50x 2019e PE) and more than 2SD above its historical average. In our view, the current valuation is fair. We believe this is simply a result of a passive rerating caused by the significant reduction in short-term earnings due to its regular refund from the Civil Aviation Development Fund being cancelled, which was essentially a type of government subsidy support. On the other hand, a notable increase in both the commission rate and fixed minimum rent under the new duty-free contracts has substantially driven up the company's profitability and valuations. Looking ahead, the company's earnings may exceed our expectations given its improving operating efficiency and market competitive power.

SACL (000089 CH, RMB9.71; Hold; TP: RMB9.24)

As one of the six tier-1 airports in China, Shenzhen Airport Co Ltd (SACL) is an international airline hub and set to benefit from the Greater Bay Area policies and Shenzhen's new role as the country's pilot demonstration area that will help promote the finance and tech sectors. Over 2013-18, SACL reported a CAGR of 8.9% in passenger throughput, 7.2% in revenue and 5.9% in net profit.

Though SCAL is less international than tier-1 peers, it has accelerated its expansion of international routes and encouraged takeoffs and landings of wide-body aircrafts by providing subsidies and preferential policies. This should improve the company's aeronautical revenue mix in the long run. SACL's duty-free business is still small given it only started developing it far later than others. In our view, the operation of satellite terminals and the renewal of duty-free contracts around 2021 will provide SACL an opportunity to grow rapidly. The investment return on SACL's new capacity is currently low but we expect the IRR of the satellite terminal expansion project to reach 7.9%, higher than that of the T3 expansion project (4.7%) and the company's capital cost (7.3%). This suggests that the company's value should grow in the future, albeit slowly.

Based on our earnings estimates, SACL shares currently trade at a 29.7x 2019e PE, c1SD above their historical average. In our view, the current valuation is fair given Shenzhen's favourable location.

Where we are different

SIA: We believe the market overlooks SIA's role as a global freight transportation center and the long-term strategic boost this provides to the utilisation rate of its runways. We recognise though that the global economic slowdown may dampen cargo earnings in the short term. Meanwhile, the market may be underestimating the increase in short-term costs after the satellite terminals are put into operation. The market may also not fully anticipate a scenario where SIA's advertisement profits double in 2021 and beyond, and instead investors appear to be overly concerned about the potential increase in long-term associated leasing costs.

GBIAC: Management is committed to the airport's international transformation, development of the duty-free business and market-based cost reductions. But we believe the progress will be gradual.

SACL: The market may not realise that the investment returns of SACL's new capacity is rising but is still low relative to other tier-1 airports. The large amount of short-term capital expenditure may also weigh on SACL's earnings.

Exhibit 13. HSBC Qianhai Securities estimates vs market consensus

Company	RMBm	HSBC Qianhai Securities estimates			Wind consensus			Difference		
		2019e	2020e	2021e	2019e	2020e	2021e	2019e	2020e	2021e
SIA	Revenue	11738	13862	15408	11515	13433	14980	2%	3%	3%
	Net profit attributable to parent company	5474	6152	6950	5248	5720	6573	4%	8%	6%
GBIAC	Revenue	7787	8574	9458	7990	8805	9654	-3%	-3%	-2%
	Net profit attributable to parent company	817	1108	1420	914	1265	1606	-11%	-12%	-12%
SACL	Revenue	3778	4042	4316	3849	4227	4731	-2%	-4%	-9%
	Net profit attributable to parent company	618	732	713	676	810	806	-9%	-10%	-12%

Note: Since no other institutions have updated the profit forecast of XIAC in the past two years, the comparison didn't include XIAC

Source: Wind, HSBC Qianhai Securities estimates

Industry downside risks

- ◆ **Traffic volume growth slower than expected.** Since the CAAC began to implement measures to control flights from 2017, growth in flights has been limited. If the policy was strengthened further, it would lead to slower-than-expected growth in flight supply and traffic volumes for airports.
- ◆ **Higher-than-expected increase in labour costs.** The airport industry is labour-intensive, with labour costs accounting for 40%-50% of total costs. As China's cheap labour advantage gradually disappears, the increase in airport labour costs is inevitable. More-than-expected increase in labour costs would pose downside risks to earnings.

Exhibit 14. Sensitivity analysis of labour compensation change to EPS

labour compensation change	SIA			GBIAC			SACL			XIAC		
	2019e	2020e	2021e	2019e	2020e	2021e	2019e	2020e	2021e	2019e	2020e	2021e
+5%	-2%	-2%	-2%	-11%	-10%	-8%	-7%	-6%	-7%	-3%	-3%	-3%
+10%	-4%	-4%	-4%	-21%	-19%	-17%	-13%	-13%	-14%	-6%	-6%	-6%
+20%	-8%	-9%	-9%	-43%	-39%	-34%	-27%	-25%	-29%	-11%	-12%	-12%
+30%	-12%	-13%	-13%	-64%	-58%	-51%	-40%	-38%	-43%	-17%	-18%	-18%

Source: Company data, HSBC Qianhai Securities estimates

- ◆ **Capacity expansion risks.** As traffic volumes of airports continue to grow, airports need to expand to ensure adequate facilities. The costs of labour and building materials required for

airport expansion are rising so if there are significant increases in construction costs, this would pose a downside risk to earnings.

Environmental, social and governance

From an environmental perspective, the State Council published in 2018 a three-year plan aimed at cleaning up air pollution, laying down requirements with regard to the use of new energy or clean energy vehicles as well as the replacement of aircraft auxiliary power units (APUs) which act as portable small onboard generators and are provided by ground crews. Meanwhile, the CAAC released a paper proposing high-quality planning and the construction of safe, green, intelligent and friendly airports (known as “four-type airports”). The four companies under our coverage are building four-type airports, in response to the calls from the State Council and the CAAC.

In early 2019, SIA issued a plan to save energy that included developing six 100% environment-friendly projects, the accelerated upgrading of airfield vehicles, and the use of gangways to replace APUs. These energy saving measures at Pudong Airport’s Terminal 2 can save 130m kWh or RMB15.75m annually, according to the company.

From a social and governance perspective, SIA, GBIAC, SACL and XIAC have created a large number of jobs, in addition to a robust personnel and governance system. In 2018, SIA, GBIAC, SACL and XIAC offered 7,238, 12,981, 5,720 and 3,287 jobs, with staff costs accounting for 23%, 31%, 32% and 24% of their revenue, respectively. Their board of directors are composed of nine, eight, nine and ten members respectively, and all have more than 30% of independent directors.

Exhibit 15. Staff numbers and board composition of the four airports in 2018

Company	Staff number	Payroll/revenue (%)	No. of board member	Independent directors (%)	Female directors (%)
SIA	7238	23%	9	33%	11%
GBIAC	12981	31%	8	38%	0%
SACL	5720	32%	9	33%	11%
XIAC	3287	24%	10	49%	10%

Source: Company data, HSBC Qianhai Securities

Valuation and risks

Valuation		Risks
SIA 600009 CH Buy	Current price: RMB77.68 Target price: RMB92.87 Upside: 20%	We value the stock based on a two-stage DCF model, mainly assuming a risk-free rate of 2.5%, a market risk premium of 6.5% and a terminal growth rate of 2%. We arrive at a target valuation of RMB179.0bn and a target price of RMB92.87, implying 20% upside. We initiate with a Buy rating, considering SIA is the most international and profitable airport that offers the highest investment return in our coverage and is able to generate strong free cash flow. Key downside risks: - Lower-than-expected increase in the rental of duty-free stores - Bigger-than-expected impact from in-city duty-free stores David Wu* david.wu@hsbcqh.com.cn +86 021 60813802
XIAC 600897 CH Buy	Current price: RMB21.11 Target price: RMB24.86 Upside: 18%	We value the stock based on a two-stage DCF model, mainly assuming a risk-free rate of 2.5%, a market risk premium of 6.5% and a terminal growth rate of 0%. We arrive at a target valuation of RMB7.4bn and a target price of RMB24.86, implying 18% upside. We initiate with a Buy rating considering new Xiang'an Airport should ease the capacity bottleneck. Key downside risks: - Bigger-than-expected increase in labour costs - Bigger-than-expected investment in Xiang'an Airport David Wu* david.wu@hsbcqh.com.cn +86 021 60813802
GBIAC 600004 CH Hold	Current price: RMB18.50 Target price: RMB20.63 Upside: 12%	We value the stock based on a two-stage DCF model, mainly assuming a risk-free rate of 2.5%, a market risk premium of 6.5% and a terminal growth rate of 0.5%. We arrive at a target valuation of RMB42.7bn and a target price of RMB20.63, implying 12% upside. We initiate coverage with a Hold rating considering growth of its taxed business is under pressure in the short-term. Key upside risks: - Faster-than-expected international transformation - Higher-than-expected duty-free retail sales Key downside risks: - Lower-than-expected increase in the rental of duty-free stores - Impact from the Pearl River Delta airline hub David Wu* david.wu@hsbcqh.com.cn +86 021 60813802
SACL 000089 CH Hold	Current price: RMB9.71 Target price: RMB9.24 Downside: -5%	We value the stock based on a two-stage DCF model, mainly assuming a risk-free rate of 2.5%, a market risk premium of 6.5% and a terminal growth rate of 0%. We arrive at a target valuation of RMB18.9bn and a target price of RMB9.24, implying 5% downside. We therefore initiate with a Hold rating. Key upside risks: - Faster-than-expected international transformation - Bigger-than-expected improvement to its duty-free retail operation Key downside risks: - Tight air space resources - Bigger-than-expected increase in labour costs David Wu* david.wu@hsbcqh.com.cn +86 021 60813802

Note: Current prices as of the market close of 30 Oct 2019

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/qualified pursuant to FINRA regulations

Source: HSBC Qianhai Securities estimates

Earnings ready for takeoff

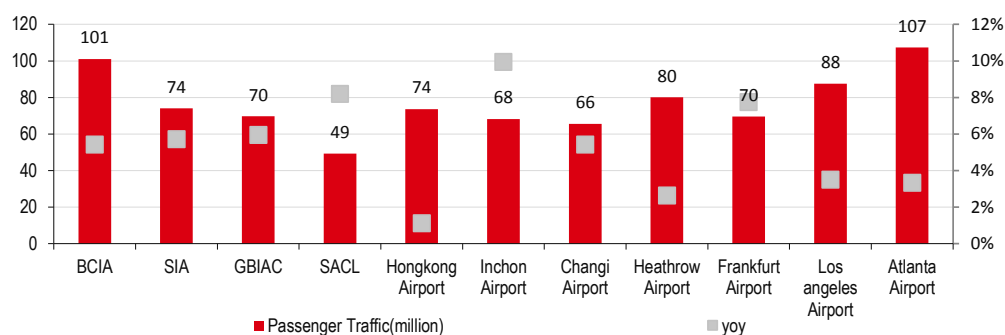
- ◆ More international travellers, increased spending per passenger and higher fees charged to airlines are three core earnings drivers
- ◆ Improved runway utilisation rate should shore up aeronautical earnings
- ◆ Rapidly growing duty-free should drive non-aeronautical business

Becoming more international with passengers spending more

Globally, passenger throughput and air traffic movements of well-developed tier-1 airports are stabilizing at an average 50m-70m and 0.4m-0.8m, respectively. In 2018, the four tier-1 airports in China, namely BCIA, SIA, GBIAC and SACL, recorded passenger throughput of 101m, 74m, 70m and 49m, and air traffic movements of 0.61m, 0.50m, 0.70m and 0.49m, respectively. These have reached levels seen at other tier-1 peers in the world. But with passenger traffic growth now leveling off, the earnings drivers have shifted from the rapid throughput growth to improving passenger consumptions and better monetisation of their land, buildings and equipment, aka improving the resource value of airports.

Due to high fixed costs and operation leverage of the airport industry, the long-term valuations of airports are determined by the fees they charge, asset utilisation rates and their resource value. We believe that tier-1 airports in China are currently in the process of internationalisation and have started to see increasing passenger consumption. Relative to international peers, we see significant upside for aeronautical charge standards, runway utilisation rates and non-aeronautical revenue of domestic airports.

Exhibit 16. Passenger throughput of international tier-1 airports in 2018



Source: Company data, HSBC Qianhai Securities

What's driving up aeronautical earnings?

In China, charges collected by airports are classified into aeronautical charges (e.g. takeoffs and landing charges, passenger service charges, and security service charges) and non-aeronautical charges (e.g. the leasing of check-in counters and lounges, handling and logistics services, etc.). Aeronautical charges are mainly regulated by the government with the CAAC raising aeronautical charges five times between 1992 and 2017. After 2007, the CAAC has gradually relaxed its control over non-aeronautical charges and allowed the market to play a greater role, leading to increases in these charges.

We don't see any changes to the overall trend of increasing charge standards and more market-related reforms that started. In 2017, Charges for typical narrow-body aircrafts (i.e. B737-800) and typical wide-body aircrafts (i.e. A330-300) on domestic routes at tier-1 airports have risen by 13-14% and 8-9%, respectively. As non-aeronautical charges are already largely market-driven, the reforms to charges are concentrated on the aeronautical business where we expect charges to be raised every 5-10 years.

Exhibit 17. Aeronautical charges at airports have been raised, and non-aeronautical charges are now largely priced by the market

Year	Reform summary	Documents
Pre-1986	Both airlines and airports were included in the civil aviation system. - Airports do not collect charges from airlines	-
1986	Airports and airlines were separated. For the first time, the CAAC standardised the airport charge standards to meet the needs for civil aviation system reform	Interim Provisions on Charge Standards for Civil Airport ([86] Min Hang Ju Zi No.105)
1989	The CAAC added charge items and raised some charge standards for airports	Standards and Settlement Measures for Internal Charges in Civil Enterprises and Institutions (Min Hang Ju Fa [1989] No. 79)
1992	The CAAC added charge items and raised charge standards, and developed differentiated management policies for airports for the first time	Notice on the Adjustment of Charge Standards at Civil Aviation Airport [Min Hang Ju Fa (1992) No. 94]
2002	Airports were again administered by the local government, and charge standards were sharply raised	Notice on the Adjustment of Domestic Airport Charge Standard [Min Hang Cai Fa [2002] No.179]
2007	Aeronautical charge standards were lowered, the pricing rights of airports were expanded, and insignificant non-aeronautical charges started to be regulated by the market	Civil Airport Charge Reform Program
2013	Charge standards were unified for the international routes of domestic airlines and those of international airlines; both domestic and international airlines enjoy non-discriminatory national treatment	Notice on the Adjustment of Domestic Airlines Charge Standard of International, Hongkong and Macau flights
2017	Aeronautical charge standards were raised, pricing rights of airports were expanded, and important non-aeronautical charges started to be regulated by the market	Civil Airport Charge Standard Adjustment Plan [Min Hang Fa [2017] No.18]

Source: Civil Aviation Administration of China, HSBC Qianhai Securities

Exhibit 18. In 2017, aeronautical charges of domestic routes at tier-1 airports have risen

Rmb	Takeoff and landing charges	Parking charges	Aerobridge service charges	Passenger service charges	Security service charges	Total
2007						
B737-800						
SIA, BCIA,	869	130	200	2529	372	4100
GBIAC, SACL	884	133	200	2975	446	4637
A330-300						
SIA, BCIA,	2980	447	200	4263	627	8517
GBIAC, SACL	3005	451	200	5015	752	9423
2017						
B737-800						
SIA, BCIA, GBIAC,	948	190	400	2529	595	4661
SACL	988	198	400	2975	669	5229
A330-300						
SIA, BCIA, GBIAC,	2980	596	400	4263	1003	9242
SACL	3030	606	400	5015	1128	10179
2017 vs 2007						
B737-800						
SIA, BCIA	9%	45%	100%	0%	60%	14%
GBIAC	7%	43%	100%	-15%	33%	1%
SACL	12%	49%	100%	0%	50%	13%
A330-300						
SIA, BCIA	0%	33%	100%	0%	60%	9%
GBIAC	-1%	32%	100%	-15%	33%	-2%
SACL	1%	34%	100%	0%	50%	8%

Source: Civil Aviation Administration of China, HSBC Qianhai Securities

Note: Assuming aircraft parking, aerobridge use and passenger load factor are four hours, two hours, and 85%, respectively. No significant changes in charge standards at GBIAC due to adjustment of airport classification

Aeronautical charges have significant upside

Aeronautical fees at China's tier-1 airports are around half of those at Hong Kong International Airport, Frankfurt Airport and Singapore Changi Airport, and even one third for some narrow-body aircrafts on domestic flight routes. We believe this may be because local economic growth in China is highly correlated to transportation development, so excessively high charges might impose a negative impact on economic growth. Thus, we think it's unlikely for airports to substantially hike charges in the short run. As airport charge reform progresses however, there is likely to be significant upside to aeronautical charges in the long run.

Exhibit 19. China's aeronautical charges were lower than international peers in 2018

Category (RMB)	Domestic routes of domestic airlines		International routes of international airlines	
	B737-800	A330-300	B737-800	A330-300
Aeronautical charges per flight				
Hong Kong International Airport	14961	27058	14961	27058
Frankfurt Airport	13242	22595	17303	29441
Singapore Changi Airport	16124	32359	16124	32359
SIA, BCIA, GBIAC	4661	9242	8431	16592
SACL	5229	10179	8431	16592
SIA, BCIA, GBIAC vs their international peers				
Differences with Hong Kong International Airport	221%	193%	78%	63%
Differences with Frankfurt Airport	184%	144%	105%	77%
Differences with Singapore Changi Airport	246%	250%	91%	95%
SACL vs its international peers				
Differences with Hongkong International Airport	186%	166%	78%	63%
Differences with Frankfurt Airport	153%	122%	105%	77%
Differences with Singapore Changi Airport	208%	218%	91%	95%

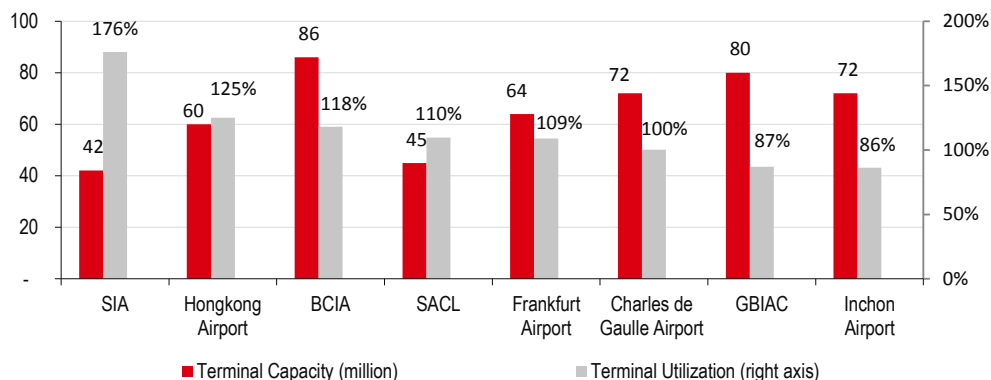
Source: Civil Aviation Administration of China, company data, HSBC Qianhai Securities

Improving runway utilisation rate is key to a high asset turnover ratio

For airports, their capacity utilisation is mainly determined by their runways and terminals. Most of the time, the utilisation rate of terminals at domestic tier-1 airports exceeds 100% (meaning more passengers travel through the terminals than what the terminals were designed), on par with international standards. Given terminals were designed for fairly conservative estimates of passengers, we think the terminal utilisation rate can stay above 130-140% in the long term. Despite the potential short-term adverse impact of airport expansion on the utilisation of terminals, the enormous air travel demand in China would keep the utilisation rate of terminals at a high level in the long term.

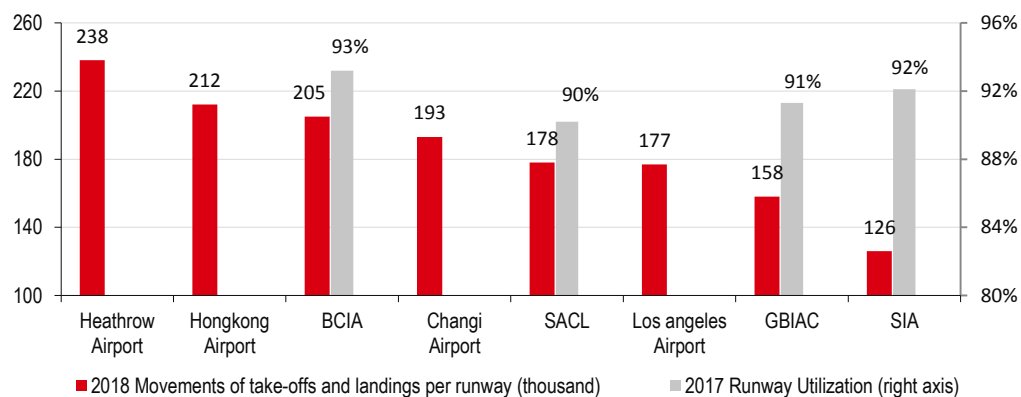
However, China's tier-1 airports (BCIA excluded) generally handle fewer landings and takeoffs per runway than their international peers. We think the airspace bottleneck is the main reason for the low amount of landings and takeoffs despite a runway utilisation rate (number of movements in the busy periods/movement capacity per hour for a single runway) that is higher than 90%. In China, only 20%-25% of the airspace is for civilian use with the rest reserved for the military, while this figure is above 80% in the US. We believe civilian airspace is unlikely to be expanded or there to be significant increase in routes in the short run. However, as the air traffic control system reform advances, we believe there is potentially progress in terms of civilian airspace expanded and routes increased at airports in busy regions like the Pearl River Delta region and Shanghai. This could shorten the ground holding period for aircrafts, and lift the runway utilisation and asset turnover ratio for airports.

Exhibit 20. Terminal utilisation rate in 2018: domestic tier-1 airports vs international peers



Source: Civil Aviation Administration of China, company data, HSBC Qianhai Securities

Exhibit 21. In 2018, the runway efficiency of domestic tier-1 airports was much lower than that of international peers



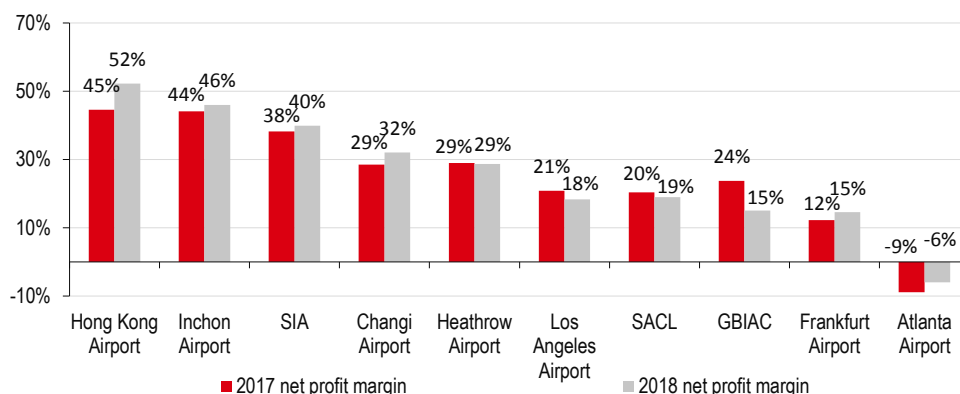
Source: Civil Aviation Administration of China, company data, HSBC Qianhai Securities

Going international could optimise the revenue mix

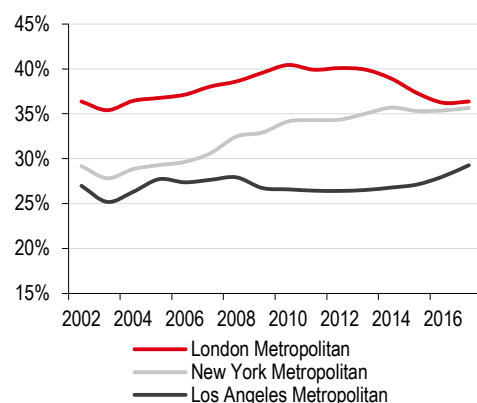
The degree of internationalisation is critical to an airport's revenue and earnings mix. Highly profitable airports around the world, such as London Heathrow Airport, Hong Kong International Airport, Incheon International Airport and Los Angeles International Airport, are all key international airline hubs. At China's airports, aeronautical charges for international routes are c1.8 times of those for domestic ones, while charges for wide-body aircrafts are twice that for narrow-body ones. Therefore, we believe increasing the internationalisation of airports will improve the aeronautical revenue mix for airports and boost growth of the highly profitable non-aeronautical businesses like duty-free stores.

We believe the two airports in Shanghai (SIA and Hongqiao International) are comparable to airports in New York and London metropolitan regions, in terms of internationalisation². Similarly, the two in Beijing (BCIA and Daxing International) as well as GBIAC and SACL are comparable to Los Angeles International Airport. Over the past several years, international passengers as a percentage of total passengers stabilised at 35%-40% for airports in New York and London metropolitan regions, and were close to 30% for Los Angeles International Airport. In 2018, this percentage was 25% for the two airports in Beijing, 35% for the two in Shanghai, 25% for GBIAC and 9% for SACL. Hence, we expect such percentages to expand by c5ppt for airports in the three tier-1 cities (Beijing, Shanghai and Guangzhou) in the future, with SACL having the largest room for the internationalisation.

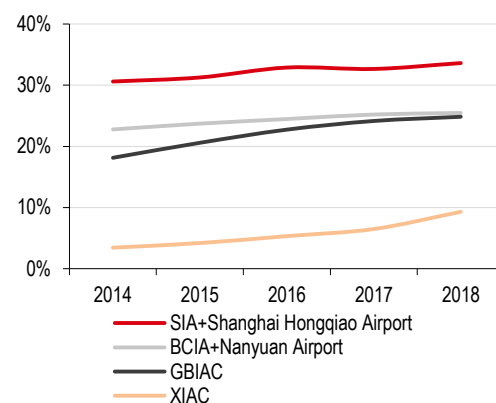
² We use data from the World According to GaWC 2018 as released by the Globalisation and World Cities Study Group and Network (GaWC).

Exhibit 22. Clear difference in profitability of international tier-1 airports


Source: Net margin of London Heathrow Airport is net of gains and losses related to financial investments, while that of SIA is net of investment gains.
Source: Company data, HSBC Qianhai Securities

Exhibit 23. International passengers account for 25-40% of the total at London, New York and Los Angeles airports


Source: US Department of Transportation, Eurostat, HSBC Qianhai Securities

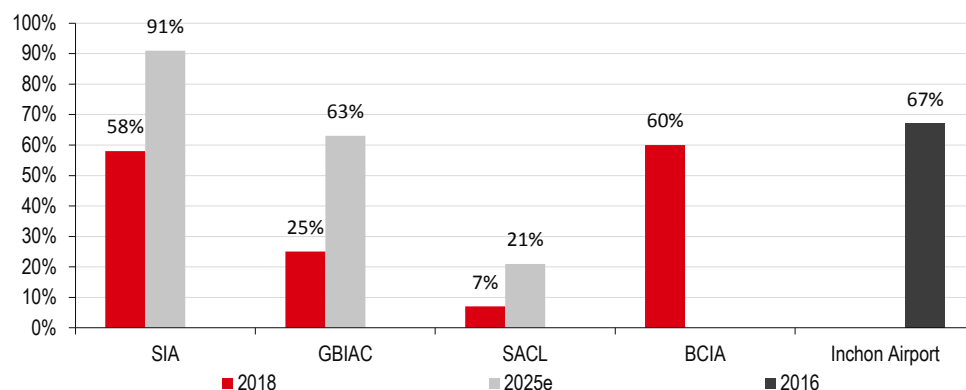
Exhibit 24. The percentage of international passengers at China's four major airports


Source: Company data, HSBC Qianhai Securities

Duty-free premium

China's airport duty-free industry is growing rapidly

The non-aeronautical business includes flight ground services, the leasing of lounges, offices and counters, the franchising of duty-free and rent from other shops (known in the industry as taxed businesses) as well as advertisements. However, the duty-free business is the most profitable and with the greatest growth potential. The percentage of profit contributed by duty-free franchise and rent business in SIA/GBIAC/SACL/BCIA is 58%/25%/7%/60% in 2018. Compared with Incheon airport (the percentage of profit contributed by rent from the duty-free business is 67% in 2016), we believe there is plenty of room for GBIAC and SACL to improve. Although SIA is already close to Incheon airport, we believe that SIA's percentage of profit contributed by the duty-free rent business can still improve and even surpass Incheon airport given: 1) aeronautical charges at China's tier-1 airports are low compared to international peers; and 2) compared with South Korea, there is still plenty of room for the conversion rate of passenger (number of in-store shoppers/international passenger throughput) and per customer transactions to improve at China's tier-1 airports. We illustrate this with two drivers: 1) conversion rates expected to rise further and 2) per customer transaction at airports expected to increase.

Exhibit 25. % of profit contributed by the duty-free franchise and business rents


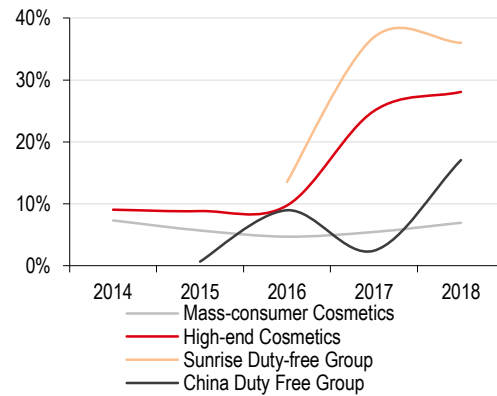
Source: Company data, HSBC Qianhai Securities estimates

In 2018, China's duty-free market grew quickly by 27% y-o-y to RMB39.5bn, driven by sales of premium cosmetic products, supportive duty-free policies, the rising concentration of the duty-free industry, and Chinese consumers buying more duty-free goods at Chinese airports.

- 1) **Rapidly increasing consumption of premium cosmetic products.** Fragrances and cosmetic products are the two biggest categories of duty-free sales, both in China and in the rest of the world. In 2017, they contributed 36% to duty-free global sales, but for airports in Beijing and Shanghai, they were closer to 70%. Chinese consumers are buying more expensive cosmetics, and we think purchases of imported premium cosmetic products will help duty-free sales at airports maintain a fast pace of growth over the long term. Amid the broad consumption upgrade, China should continue to see significant growth in imported luxury goods like luggage, bags and watches.
- 2) **Supportive duty-free policies.** While China strictly regulates the duty-free business, in 2011, the Ministry of Finance announced a pilot project that encouraged duty-free shopping by travelers leaving Hainan Island, a popular tourism destination. In 2016, China added 19 port arrival duty-free stores, expanded duty-free product categories and lifted the upper limit on duty-free shopping. Currently, the market expects regulators to release more policies to open up downtown duty-free stores to outbound Chinese consumers.
- 3) **Rising concentration of the duty-free industry.** China Duty Free Group (CDF) is the dominant player in China's duty-free industry as it bought the two Sunrise Duty-free companies (in 2017-2018) which operate stores at BCIA, SIA and Shanghai Hongqiao Airport. The result was CDF taking 84% of market share in 2018, according to Generation Research estimates. Sunrise Duty-free is a strong operator with cosmetic prices that are competitive not just in Asia but across the world. The integration of the two Sunrise companies into CDF allows the latter to offer more cost-effective products on the back of economies of scale.
- 4) **Chinese duty-free consumers to buy more at home.** Generation Research estimates that c33% of the world's duty-free consumption in 2017 was by Chinese travellers, and only 25% of this share took place within China. We see plenty of potential for Chinese duty-free consumers to buy more at home for two key reasons. Firstly, duty-free shops at SIA, Sanya Haitang Bay (a duty free shop on Hainan Island), downtown Beijing and some others places have all expanded rapidly in recent years, allowing them to offer more choices to consumers. Secondly, as the domestic duty-free industry expands and the industry consolidates, the leaders have become more prominent and can provide consumers with competitively priced products. Compared to Hong Kong and South Korean duty-free shops,

the selling price of some goods in SIA's duty-free shop are still cheaper. Sales growth at China's leading duty-free shops (SIA, Sanya Haitang Bay, etc) has already exceeded the growth of Chinese consumption in Korean duty-free shops in 2018.

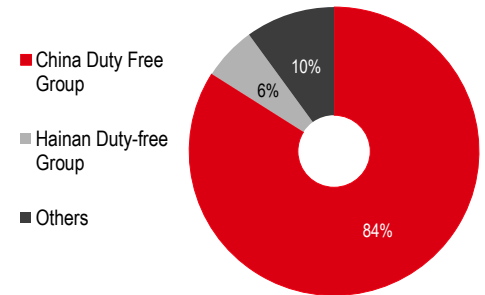
Exhibit 26. Premium cosmetic products have driven rapid growth in duty-free sales



Source: Y-o-y growth in duty-free sales amount of China Duty Free Group is exclusive of impacts from the acquisition of Sunrise and expansion to Hong Kong airports

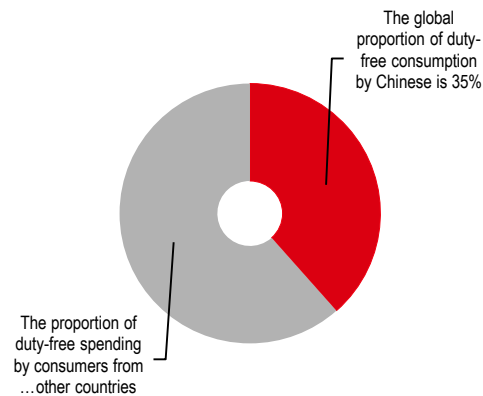
Source: Euromonitor, company data, HSBC Qianhai Securities

Exhibit 27. China Duty Free Group is the clear industry leader



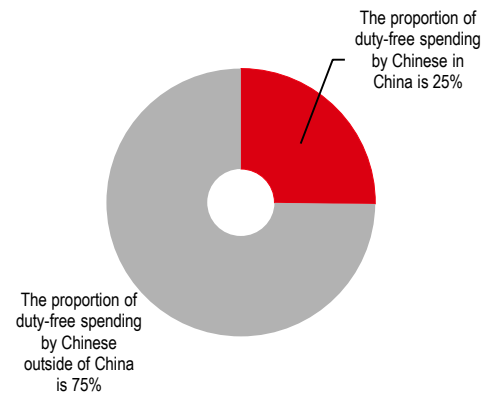
Source: Generation Research, HSBC Qianhai Securities

Exhibit 28. Chinese consumers are key buyers of duty-free goods globally

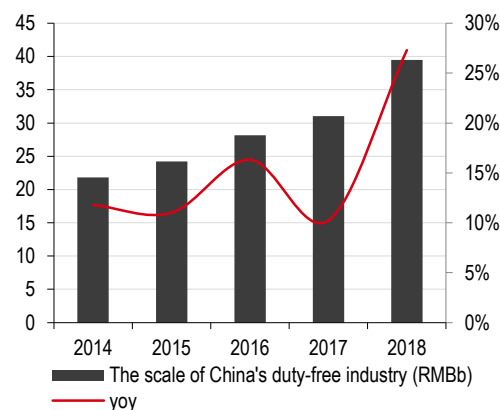


Source: Generation Research, Oliver Wyman, Ministry of Commerce, HSBC Qianhai Securities

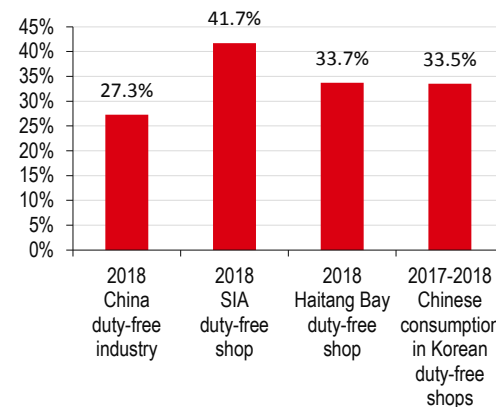
Exhibit 29. Chinese duty-free consumption is mostly outside China



Source: Generation Research, China Duty Free Group, HSBC Qianhai Securities

Exhibit 30. China's duty-free industry has increased significantly


Source: Zhiyan Research, China Duty Free Group, HSBC Qianhai Securities

Exhibit 31. Sales growth is rapid at China's top duty-free shops


Source: China Duty Free Group, Company data, HSBC Qianhai Securities

Exhibit 32. Sunrise's duty-free cosmetics and products are very competitive

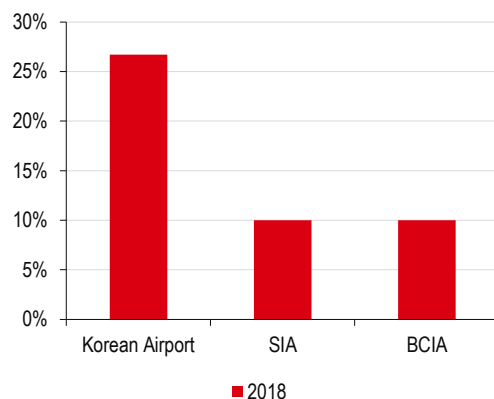
Sunrise vs Shilla				Sunrise vs HK duty-free stores			
Product (RMB)	Sunrise	Shilla	Price difference	Product (RMB)	Sunrise	Hong Kong	Price difference
Tom Ford lipsticks	294	320	-8%	Estee Lauder sets	929	1083	-14%
YSL lipsticks	211	230	-8%	Clinique Moisturizing Lotion Products	203	259	-22%
Armani Lip Maestro	197	225	-12%	Shiseido essence	983	1193	-18%
MAC lipsticks	125	160	-22%	Revital Wrinkle lift	538	667	-19%
Dior lipsticks	212	200	+6%	BVLGARI perfume	642	728	-12%
Givenchy lipsticks	205	230	-11%	SK-II Facial Treatment Essence	962	1272	-24%
Guerlain lipsticks	180	181	-1%	Sisley ecological compound	1188	1320	-10%

 Source: Xiaohongshu, HSBC Qianhai Securities
 Note: Shilla is a South Korean operator of duty-free shops

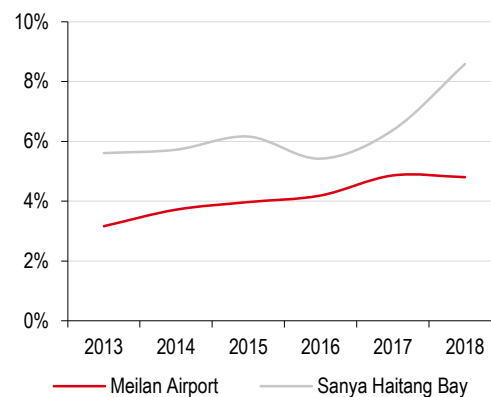
We expect more than 15% annual growth in China's airport duty-free sales over the medium term. Specifically, the conversion rate and per customer transaction at airports are both likely to rise further.

1) Conversion rate expected to rise further at airport duty-free stores

The conversion rate stands at c10% for both BCIA and SIA, implying significant upside compared to the 27% recorded by the overall airport duty-free industry in South Korea. In recent years, the conversion rate has risen at Sanya Haitang Bay and Hainan's Meilan Airport thanks to the development of Hainan's duty-free market. In our view, the conversion rate at domestic tier-1 airports will continue to rise, as well as spending on a wider range of duty-free goods and more expensive items. Based on our estimates, the conversion rate could reach 13-14% for SIA by 2025e.

Exhibit 33. China has a lower conversation rate than in South Korea


Source: Korea Duty-free Association, HSBC Qianhai Securities

Exhibit 34. The conversion rate at Meilan Airport and Sanya Haitang Bay keeps rising


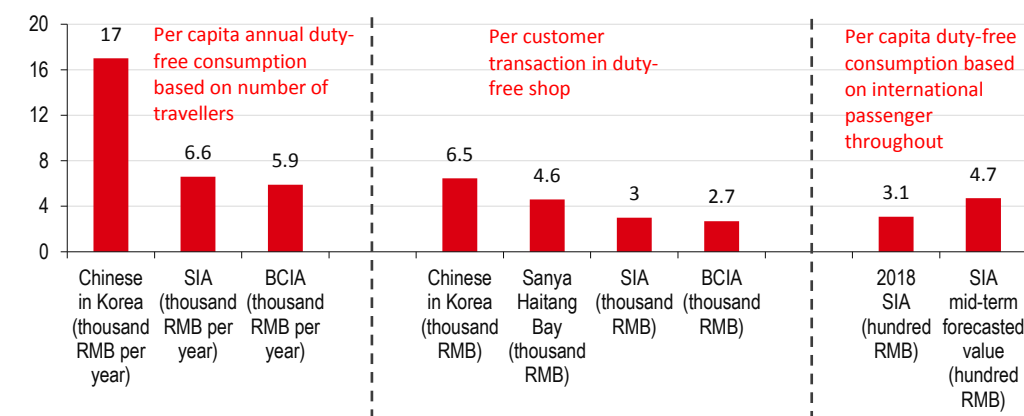
Source: China's Ministry of Transport, Civil Aviation Administration of China, company data, HSBC Qianhai Securities

2) Per customer transaction at airports expected to trend up over the medium term

We calculate per customer transactions to be around RMB3,000 for duty-free stores at SIA and RMB2,700 for those at BCIA. Based on an average of 2.2 trips a year for Chinese international passengers, this would translate into a per capita annual consumption of cRMB6,600 and RMB5,900 respectively, implying growth potential relative to the per capita annual duty-free consumption of cRMB17,000 by the Chinese tourists in South Korea in 2018.

According to the Korea Duty-free Association, the per customer transaction of Chinese passengers in South Korea duty-free stores reached RMB6,450 in 2018. We calculate the per customer transaction to be cRMB4,600 for duty-free stores at Sanya Haitang Bay in 2018, compared to cRMB3,000 at SIA and RMB2,700 at BCIA. Compared to duty-free stores in South Korea and at Sanya Haitang Bay, there is still significant upside in the per capita duty-free consumption of in-store passengers at China's tier-1 airports. We expect the per customer duty-free transaction to reach cRMB3,500 at SIA by 2025e.

Combining the conversion rate and per customer duty-free transactions, the per capita duty-free consumption on the basis of the international passenger throughput was RMB307 at SIA and RMB270 at BCIA in 2018. Along with the continued expansion of airport duty-free store areas, the increasing selection of goods, and the broad consumption upgrade, we expect per capita duty-free consumption to reach cRMB473 at SIA by 2025e.

Exhibit 35. 2018 Per capita duty-free consumption in China and South Korea


Source: Korea Customs Service, company data, HSBC Qianhai Securities

The impact from downtown duty-free stores

Expectations are high for policies that will allow for more downtown duty-free stores aimed at outbound Chinese consumers. While such moves could attract consumers and away from airport shopping we still believe airport duty-free stores are the most convenient and efficient shopping channel to travellers. For duty-free operators, expanding airport duty-free stores is crucial to expanding their business and building up their brand reputation. We expect downtown duty-free stores to divert c15% of sales away from airports, which is manageable, in our view.

Below is our analysis on the impact of such diversion across three potential stages.

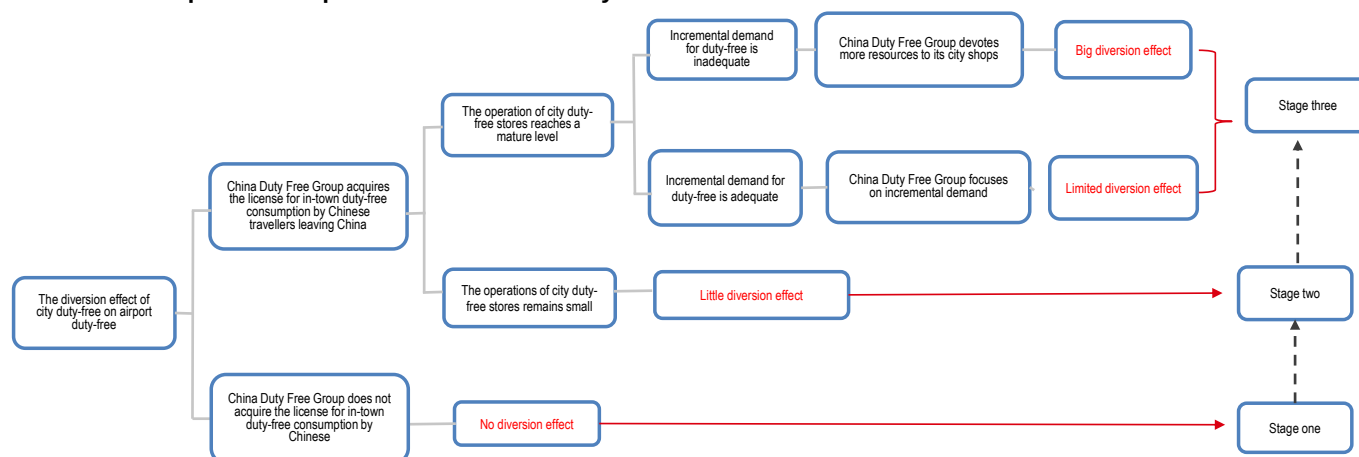
Stage 1: Downtown duty-free stores are categorised into downtown inbound duty-free stores and downtown outbound duty-free stores, and we believe the biggest business opportunity lies with Chinese consumers. At present, downtown inbound duty-free stores are only open to Chinese consumers, who can buy goods there up to 180 days after they travelled abroad. These stores though are suffering from sluggish growth as they are run by China National Service Corporation for Chinese Personnel Working Abroad (CNSC) and China Travel Service (HK) Group Corporation who have limited experience in running retail stores. Downtown outbound duty-free stores are only open to non-Chinese travelers who buy there and then pick up their goods at the airport.

Stage 2: If policies were introduced that opened up downtown duty-free stores to outbound Chinese passengers then it is likely that the size of these stores, product categories and brands, and product types would all improve and boost their appeal to consumers. Currently, the area of duty-free stores in the airports exceeds 15,000 square metres at SIA and BCIA each, and 6,000 square meters at GBIA, with a wide variety of products on offer. By contrast, downtown duty-free stores are far smaller and barely challenge the dominance of their airport-based counterparts.

Stage 3: We believe downtown duty-free stores could impact the duty-free industry if they expanded quickly and were well operated. On one hand, the rise of downtown duty-free stores would lift the penetration rate of the duty-free market, expand the duty-free market size and generate new demand. On the other hand, this will inevitably divert certain sales away from airport duty-free stores. From the perspective of duty-free store operators, the consumer base of airport duty-free stores is different from that of downtown duty-free stores, so by focusing on this incremental demand would help them maximise profits. From a consumers' perspective, however, airport duty-free stores remain the most convenient and efficient shopping channel. Therefore, in the most likely scenario where duty-free store operators focus on exploring incremental demand, the potential impact to airport duty-free stores should be manageable, and

their sales can continue to grow in our view. In the event of heavy competition among different duty-free markets, we don't rule out the possibility that duty-free operators might shift their focus to the more profitable downtown duty-free channels. In such a case, airport duty-free stores would face more pressure.

Exhibit 36. The potential impact from downtown duty-free stores



Source: HSBC Qianhai Securities

Let's take Shanghai as an example. Assuming downtown duty-free stores are opened to outbound Chinese passengers in 2020, we estimate that c15% of the duty-free sales at SIA would be taken away by downtown duty-free stores in 2023, which may lead to a 3.6ppt decline in the CAGR of SIA's 2019-23e duty-free store sales.

Exhibit 37. Estimated impact from the diversion of duty-free sales to downtown stores

Category	2018	2019e	2020e	2021e	2022e	2023e
Scenario A - Downtown outbound duty-free stores not open to Chinese passengers (current situation)						
Overall duty-free market in Shanghai						
Sales amount (RMBm)	12396	16057	19612	22750	25799	28985
CAGR			18.5% (2018-2023)			
Duty-free stores at SIA						
Passenger flow (10,000)	376	448	532	603	675	749
Per customer transaction (RMB)	3068	3340	3514	3597	3642	3687
Sales amount (RMBm)	11528	14959	18693	21682	24592	27629
CAGR			19.1% (2018-2023)			
Scenario B - Downtown outbound duty-free stores open to Chinese passengers from 2020						
Overall duty-free market in Shanghai						
Sales amount (RMBm)	12396	16057	19627	23450	27569	31921
CAGR			20.8% (2018-2023)			
Downtown duty-free stores in Shanghai						
Store area (m ²)			1200	2500	3500	4500
Passenger flow (10,000)			96	164	217	263
Per customer transaction (RMB)			978	1743	2247	2628
Sales amount (RMBm)			943	2863	4879	6907
CAGR			94.2% (2018-2023)			
% of sales amount diverted from the airport			98%	76%	64%	57%
Duty-free stores at SIA						
Passenger flow (10,000)	376	448	521	570	625	685
Per customer transaction (RMB)	3068	3340	3409	3425	3438	3455
Sales amount (RMBm)	11528	14959	17765	19519	21484	23659
CAGR			15.5% (2018-2023)			
Changes in SIA's CAGR due to diversion			-3.6 ppt (2018-2023)			
% of sales amount diverted from SIA			5.0%	10.0%	12.6%	14.4%
% of in-city duty-free stores in Shanghai			4.8%	12.2%	17.7%	21.6%

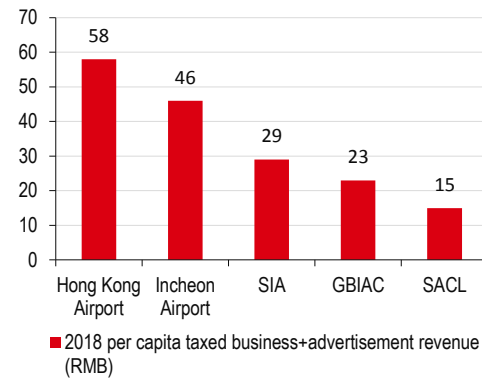
Source: Company data, HSBC Qianhai Securities estimates

Vast market for non-aeronautical business

In 2018, non-aeronautical businesses contributed more than 40% of the total revenue of tier-1 airports in China. However, this figure could drop to 25-40% if airports raised their aeronautical fees which would boost that part of the business. Still, we believe there is huge growth potential in the non-aeronautical businesses of China's airports, considering the 40-70% revenue contribution of non-aeronautical services at international tier-1 airports.

At present, domestic airports are on a par with their international peers in terms of duty-free commission rates, but still lag behind in so-called taxed businesses (rents from regular shops) and advertisements. But we believe that China's airports will focus on this area by using a range of tools like bringing in new business models and reputable operators.

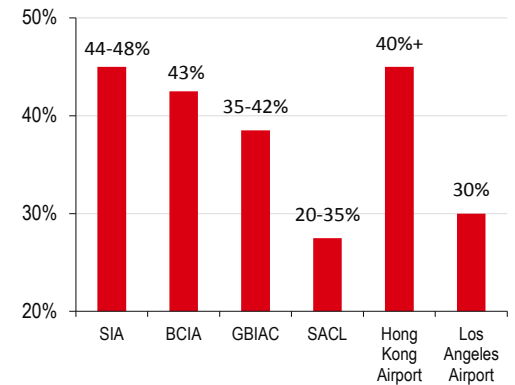
Exhibit 38. Relative to international peers, the per capita taxed business and advertisement revenue of tier-1 airports is low



Source: Estimates on non-aeronautical revenue contribution of SACL and GBIAC in 2018

Source: Company data, HSBC Qianhai Securities

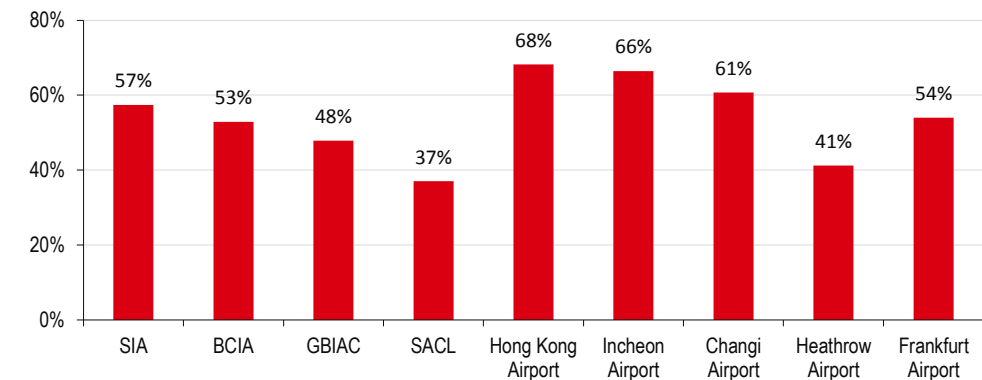
Exhibit 39. At domestic tier-1 airports, the commission rate of duty-free store rents is close to the international level (2018)



Source: For Hong Kong International Airport, the commission rate is for duty-free cigarettes

Source: Company data, HSBC Qianhai Securities

Exhibit 40. In 2018, the non-aeronautical revenue contribution of the four major airports in China was close to that of international tier-1 airports



Source: Company data, HSBC Qianhai Securities

Rising investment returns

- ◆ China's tier-1 airports are still expanding their capacity
- ◆ Changes in the market capitalisation of listed airports are driven by IRR and capital invested for expansion projects
- ◆ Non-aeronautical revenue growth and internationalisation of airports are driving up investment returns

Rising IRR of new capacity would increase long-term value

One major issue for airports is that they face capacity bottlenecks. At tier-1 airports, while passenger flow growth has moderated, we expect it to stay above 5% over the medium term and airports are still expanding. However, whether the investment return (IRR) of new capacity like runways and terminals can exceed the capital cost (WACC) and continue to increase will determine the long-term value of airports. Judging from the market performance of listed airports, changes in their market capitalisation are highly correlated to their investment expenditure and returns.

SIA's much higher investment in S1 & S2 satellite terminals and its expected IRR which are higher than that of T2 terminal have driven up SIA's market capitalisation by more than 200% from the end of 2016, and it now ranks as the largest airport in China by market capitalisation. Elsewhere, we expect the IRR of GBIAC's T2 project will be higher than that of T1 terminal, though the airport's market capitalisation has increased only by c150% since 2016 due to modest growth in investment and the impact from the cancellation of its refund from the Civil Aviation Development Fund. With regard to SACL, we expect the IRR of its satellite terminal project to be much higher than that of its T3 project. However, we believe that there is limited room for the company to increase its value given its IRR is similar to its capital costs, explaining its tepid 30% growth in market capitalisation since the end of 2016.

Exhibit 41. IRR of expansion projects at SIA, GBIAC and SACL

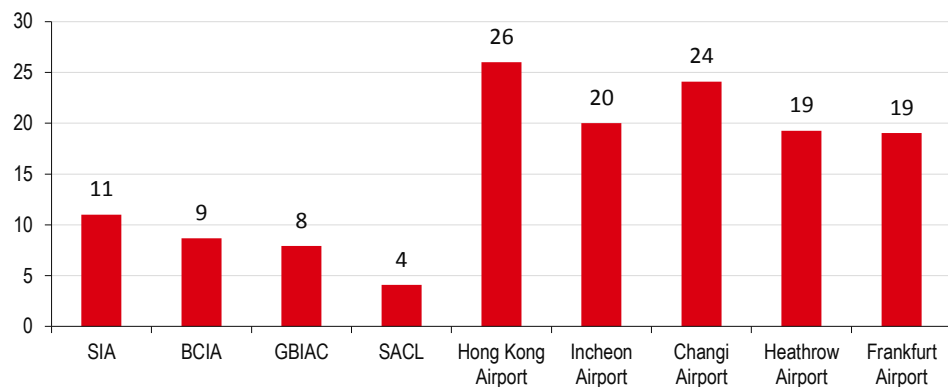
Airport	Year of operation	Project	Capex (RMB100m)	Present value of incremental cash flow within 5 yrs since operation (RMB100m)	Discounted terminal value of incremental cash flow after 5 yrs since operation (RMB100m)	Project IRR	WACC	No. of years needed for recovery of profit to ket pre-expansion level	Current market cap /end-2016 market cap
SIA	2008	T2	97	27	218	13.6%	7.3%	5 yrs	
	2019	S1 and S2 satellite terminals	167	84	323	15.4%	7.3%	0 yr	3.2x
GBIAC	2004	T1	112	29	150	10.1%	7.2%	3 yrs	
	2018	T2	136	44	209	11.4%	7.2%	2 yrs	2.5x
SACL	2013	T3	65	1	42	4.7%	7.3%	4 yrs	
	2021	Satellite terminals	71	2	71	7.9%	7.3%	3 yrs	1.4x

Source: Company data, HSBC Qianhai Securities estimates

The unit construction costs of tier-1 airports are all at similar levels, so the IRR of expansion projects mainly relies on the contribution of international businesses and the non-aeronautical

revenue of highly-profitable businesses like duty-free. SIA has consistently enjoyed a higher IRR than peers, thanks to its higher proportion of international passengers and per capita non-aeronautical revenue. We believe that the investment return of expansion projects of tier-1 airports is on an uptrend, given the increasing contribution of international routes and improving profitability of duty-free and other non-aeronautical businesses.

Exhibit 42. Significant upside for per capita non-aeronautical revenue (in USD) of tier-1 airports in China in 2018



Source: Company data, HSBC Qianhai Securities

Company section

Shanghai International Airport (600009 CH)

- ◆ A top-notch and world-leading passenger and cargo hub...
- ◆ ...that is growing into a super-sized airport with duty-free and advertising to drive growth
- ◆ We initiate coverage at Buy with a TP of RMB92.87

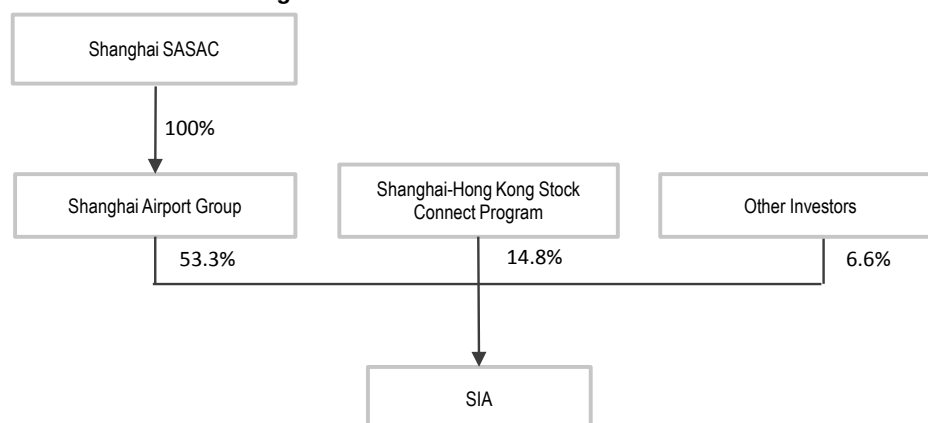
China's super hub

Top notch and world class

Shanghai International Airport (SIA) is mainland China's second-biggest passenger airport and the largest cargo airport by traffic. In global terms, it is the world's ninth-biggest passenger airport and the third-biggest cargo airport, and for Asia, it is one of the biggest for international passengers and one of the most profitable airports. It handled 74m passengers in 2018, 504,800 air traffic movements and 3.8m tonnes of cargo and airmail.

Its major shareholder is Shanghai Airport Group (上海市机场集团) and its actual controller is Shanghai State-owned Assets Supervision and Administration Commission (Shanghai SASAC).

Exhibit 43. Shareholding structure of SIA



Source: Company announcement, HSBC Qianhai Securities

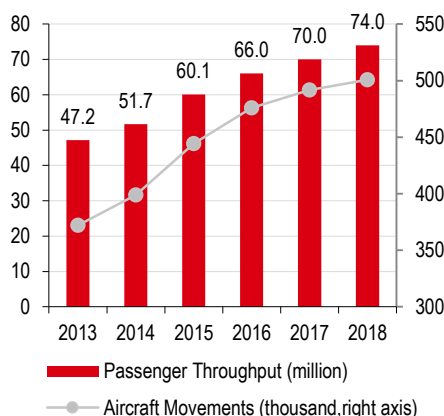
SIA owns and operates three runways as well as terminals T1 and T2 and satellite terminals S1 and S2. It also rents a fourth runway, part of the terminal area, aprons and related equipment from the Shanghai Airport Group.

Traffic rising steadily; revenue and profit growth accelerated

In 2018, aircraft movements and passenger traffic grew 1.8% and 5.7%, respectively, although this was impacted by the economic downturn and trade war with cargo throughput declining 1.5%.

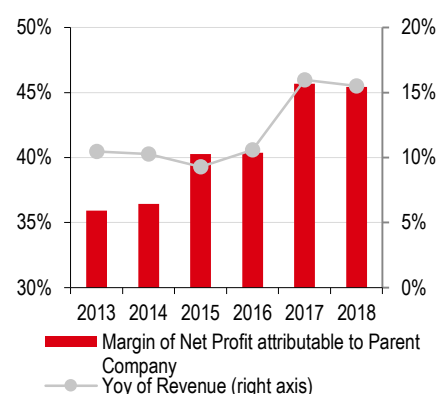
Still, the company's revenue and net profit attributable to the parent has been accelerating, growing 15.5% and 14.9% y-o-y to RMB9,313.1m and RMB4,231.4m in 2018, driven by the duty-free business.

Exhibit 44. SIA's traffic is rising steadily...



Source: Company announcement, HSBC Qianhai Securities

Exhibit 45. ...while revenue and profit growth has accelerated



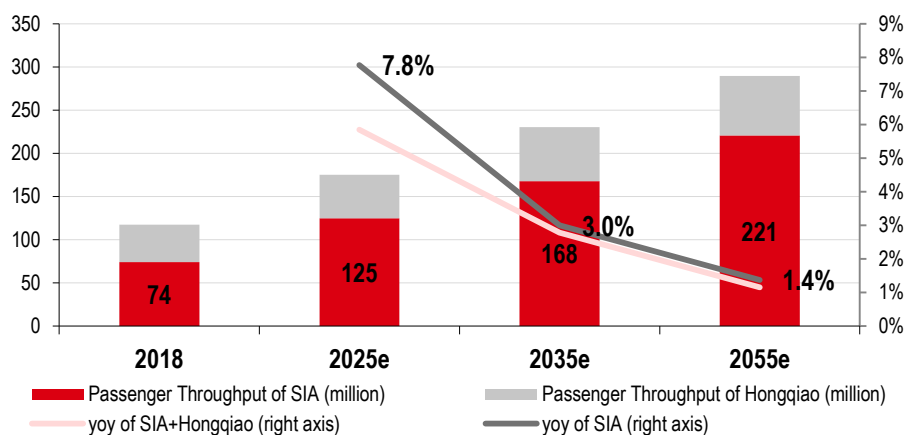
Source: Company announcement, HSBC Qianhai Securities

A super-sized airport emerges

A world class hub with plans for eight runways and five terminals

Located in the Yangtze River Delta, Shanghai is the most developed, populated and open city in China. We expect passenger throughput at Shanghai's two major airports, SIA and Hongqiao Airport, to increase to 175m/230m/290m in 2025/2035/2055e. However, as Hongqiao Airport's capacity is nearing saturation, SIA should achieve a faster growth rate, and we see SIA's long-term passenger throughput reaching 221m by 2055e.

Exhibit 46. Long-term passenger throughput to reach 221m passengers at SIA



Source: Company announcement, HSBC Qianhai Securities estimates

According to plans by Shanghai Airport Group, SIA will build terminal T3 in the medium term while in the long term, a second terminal area will be built. Terminals T4 and T5, as well as a sixth, seventh and eighth runway at SIA will also be built allowing SIA to become a world-class aviation hub with five terminals and eight runways by 2035. We expect SIA's T3 to commence operations in 2025, and the second terminal area to commence operations in 2035.

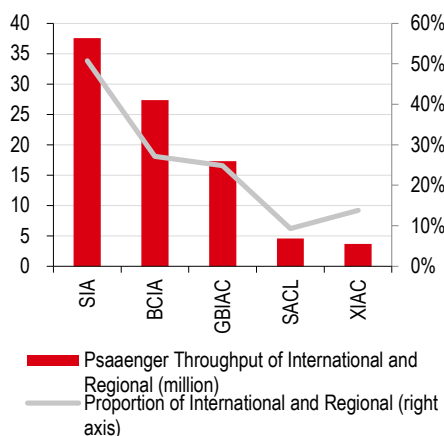
Exhibit 47. Major assets and plans for SIA

	Major assets	Asset ownership	Commencement	Investment amount (RMBm)	GFA ('000 square metres)	Design throughput (m passengers handled/year)
First terminal area	First runway	Company	Sep 1999	1749	N/A	
	Second runway	Company	Mar 2005			
	Third runway	Company	Feb 2008	1756		
	Fourth runway	Airport group	Apr 2015	2580		
	Fifth runway	Airport group	Sep 2017	4650		
	Terminal T1	Company	Sep 1999	4644	346	20
	Terminal T2	Company	Mar 2008		480	22
	Satellite terminals S1 & S2	Company	Sep 2019		622	38
	Terminal T3	Not clear	Not clear	Planning	Planning	40
	Sixth runway	Not clear	Not clear			
Second terminal area	Seventh runway	Not clear	Not clear			
	Eighth runway	Not clear	Not clear	Not clear	Not clear	
	Terminal T4	Not clear	Not clear			
	Terminal T5	Not clear	Not clear			

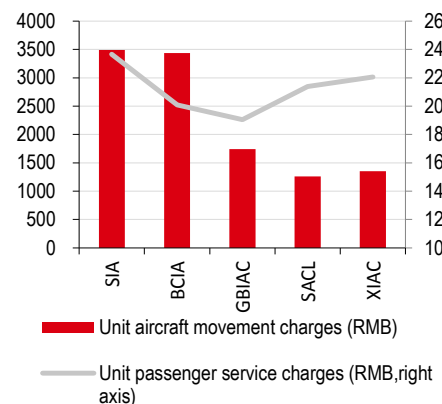
Source: Company announcement, HSBC Qianhai Securities

An Asia-Pacific international hub and cargo centre

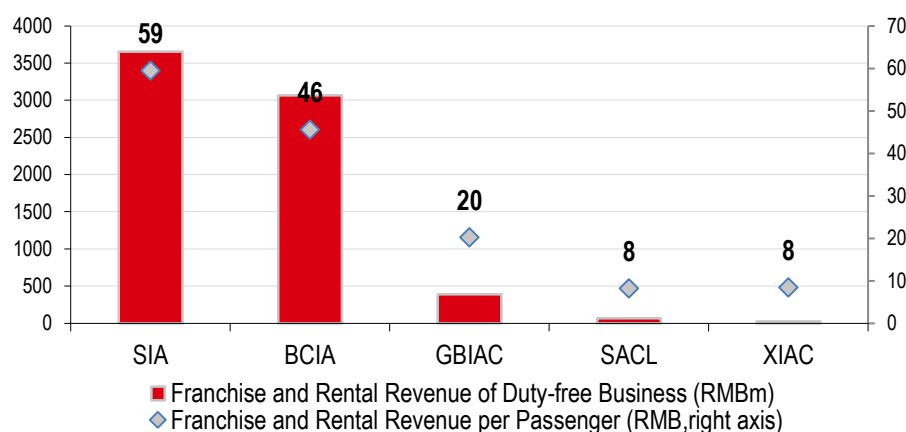
It's important to remember that Shanghai's two airports are positioned very differently. Hongqiao Airport is mainly for domestic routes with international routes accounting for less than 10%. SIA though is an Asia-Pacific international hub with the highest international passenger throughput in China of 37.57m and the highest proportion of international travelers with 50.8% in 2018. In terms of aeronautical revenues, which include landing and parking fees, the company's revenue per aircraft movement and revenue from passenger service charges per passenger handled was No. 1 in China; in terms of non-aeronautical revenues like retail, it is mainly driven by the duty-free business. The company's per passenger franchise and rental income also rank No. 1 in China. All of this makes the company's passenger business profitability much higher than other airports.

Exhibit 48. SIA is China's top international hub (2018)


Source: Company announcement, HSBC Qianhai Securities

Exhibit 49. SIA's unit aeronautical revenues are No. 1 in China (2018)


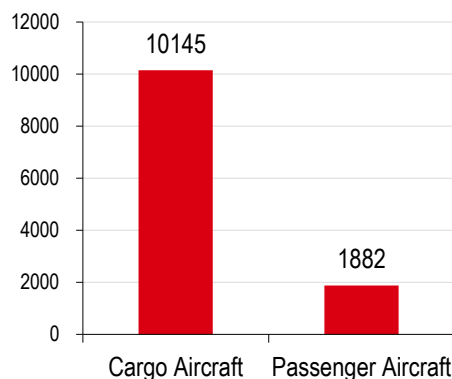
Source: Company announcement, HSBC Qianhai Securities

Exhibit 50. SIA's duty-free franchise and unit commercial revenue rank No. 1 in China (2018)


Source: Company announcement, HSBC Qianhai Securities

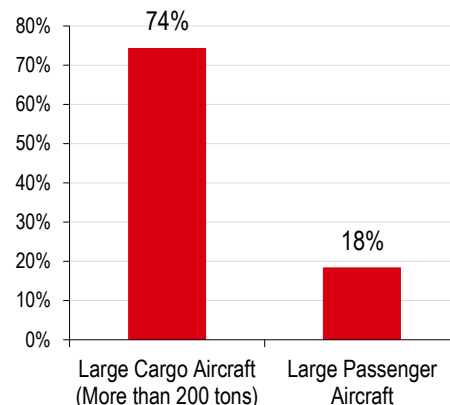
Despite the success of duty free, we believe the market has neglected the importance of the cargo business for SIA. With cargo aircraft movements generally taking place late at night and in the early morning when passenger planes are less in demand, this substantially increases the company's revenue and enhances the runway utilisation rate. In 2018, large cargo aircrafts (with a maximum takeoff gross weight exceeding 200 tonnes like 777s and 747s) accounted for 74% of the company's cargo aircraft movements, and most are on international routes. Therefore, the company's revenue from unit cargo aircraft takeoffs and landing charges is far higher than that of passenger aircrafts, boosting the revenue and earnings of the aeronautical business.

Exhibit 51. 2018 SIA's revenue from takeoff and landing charges per movement (Unit: RMB)



Source: Company announcement, HSBC Qianhai Securities

Exhibit 52. 2018 SIA air traffic movements of large aircrafts (%)



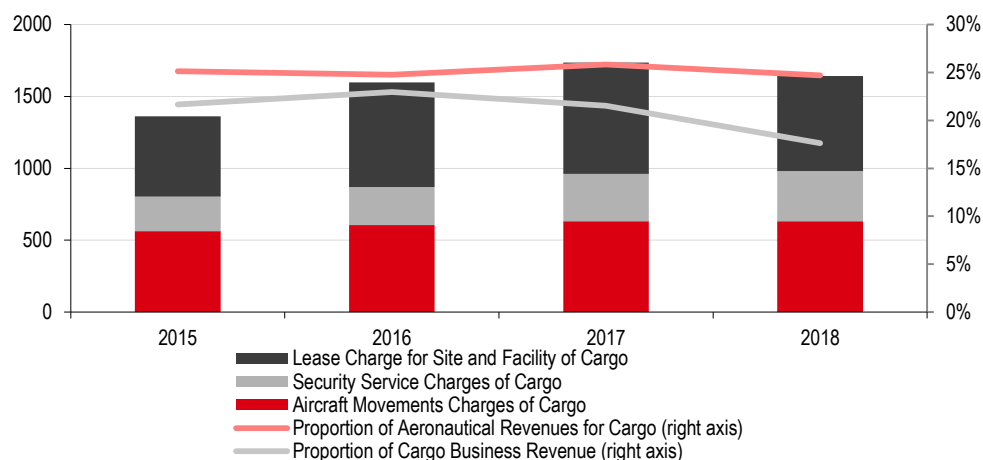
Source: Company announcement, HSBC Qianhai Securities

SIA is China's air cargo centre. Currently, 39 airlines, including China Cargo Airlines, Cargolux Airlines International and Polar Air Cargo, have started their cargo flights from there. The big three international express giants - UPS, Fedex and DHL - and China's express leaders like S.F. Holding have set up their regional transshipment centres and cargo terminals at SIA. We expect the company's freight area and facility rental income to exceed RMB600m in 2018.

Exhibit 53. Freight facilities in SIA

	GFA ('000 square metres)	Design cargo throughput ('000 tonnes/year)
West District Freight Station		
Fedex Transshipment Centre	134	N/A
DHL North Asia Transshipment Centre	55	N/A
UPS Transshipment Centre	60.5	130
East District Freight Station	55	350
North District Freight Station	60	1020
North District Freight Station Operation Area	18.7	70
Pudong Logistics Centre Freight Station	219	N/A
Customs First Supervised Storage Area	550	N/A
Total	1347	

Source: Company announcement, HSBC Qianhai Securities

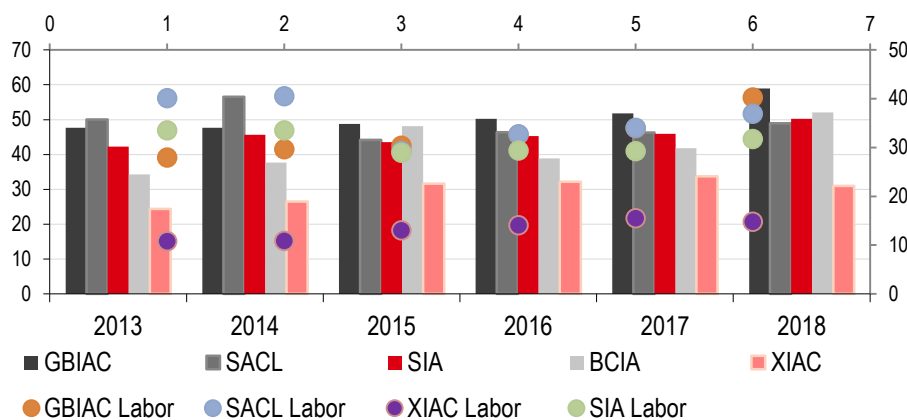
Exhibit 54. Cargo business accounts for 20%-25% revenue of SIA (Unit: RMBm)


Source: Company announcement, HSBC Qianhai Securities

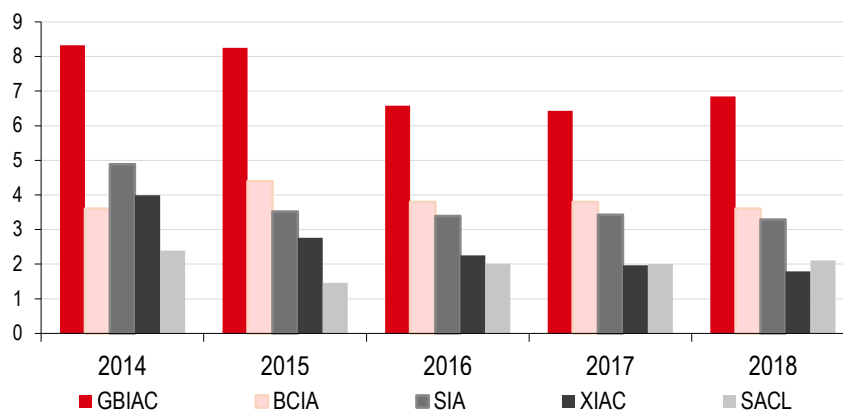
Owing to the global economic downturn and trade war since 2018, SIA's cargo volume has decreased but the decline is limited and SIA has proactively adjusted by developing its more profitable international express business. As such, we think the impact of the deteriorating external environment on the company's cargo business is limited. In the long term, thanks to Shanghai's location, a lack of airports in the region as well as the region's free trade zone policy, there is room for the company's cargo business to grow from here.

Leader in costs and efficient management

The company has controlled expenses by adopting service outsourcing and using energy conservation. It is a leader among tier-1 airports in terms of labour cost and management expenses per passenger handled. The company's revenue from duty-free franchises grew substantially in 2018, while administration and management fees also increased accordingly. Excluding these factors, its operating cost (excluding depreciation and amortisation) per passenger handled was RMB45, having advantage among tier-1 airports.

Exhibit 55. Operating cost (excluding depreciation and amortisation) and labour cost per passenger handled of listed airports (Unit: RMB)


Source: Company announcement, HSBC Qianhai Securities

Exhibit 56. Administrative expenses per passenger handled of listed airports (Unit: RMB)


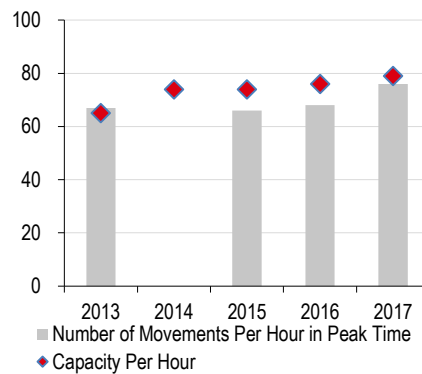
Source: Company announcement, HSBC Qianhai Securities

Next growth driver: Satellite terminal and new duty-free contract

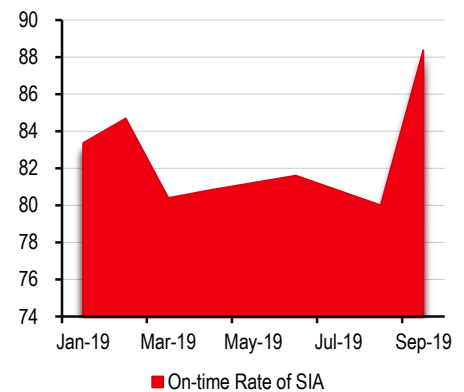
Terminal capacity to double

The company currently operates four runways. A fifth runway is being built by the group and is currently used for China commercial aircraft flight testing. In the future, it will be used by SIA for civil aviation, providing the company with ample capacity in terms of runways. While the airport can handle just 42m passengers in T1 and T2, the actual capacity utilisation was as high as 176% in 2018, leading to bottlenecks and meaning the terminals have limited room for further passenger throughput.

In September 2019, terminal design throughput increased to 80m passengers after SIA's satellite terminal began operations. According to Civil Aviation Administration policy, adjustments to runway movement's capacity per hour is only permitted if the on-time rate of flight operations of airports and the on-time rate of flight operations for the first flight of the day are above 80% in at least nine months of the year. As of June 2019, SIA has met this requirement. We note also that in July 2019 the Civil Aviation Administration and the Shanghai municipal government have entered into an agreement to expand aviation airspace and increase flight slots capacity and supply for the two major airports in Shanghai. We think the company's capacity will be increased from 2021 to 2023, accelerating the growth of both its aeronautical business and non-aeronautical business.

Exhibit 57. Increase in SIA's movement capacity per hour is limited


Source: CAAC, HSBC Qianhai Securities

Exhibit 58. SIA's on-time rate is above 80%


Source: CAAC, HSBC Qianhai Securities

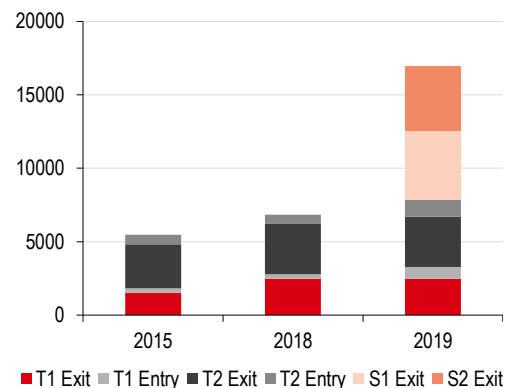
Duty-free business is a cash cow

In September 2018, the company entered into a new duty-free contract with Sunrise Duty Free, covering all duty-free stores in SIA, including the satellite terminal. The contract period is from early 2019 to the end of 2025. The old contract of the T1 duty-free store hasn't expired yet, so the effectiveness of the commission rate of the new contract will be deferred to 2022. The commission rates of other duty-free stores increased substantially to 42.5% from 2019. In addition, thanks to the newly added duty-free store area (9,062 square metres) in the satellite terminals, plus the newly added arrival duty-free store area of 500 square metres at T1 and T2, the fixed minimum franchise income should substantially increase. The company estimates the fixed minimum income in the contract period to be RMB41bn.

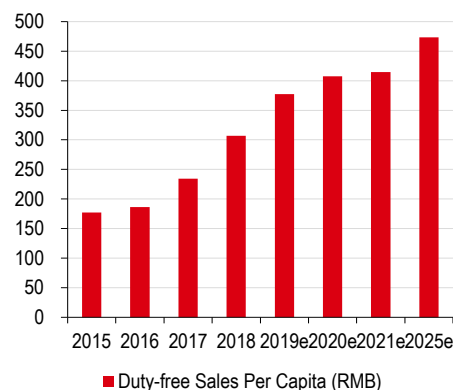
Exhibit 59. Commission rates of SIA's new duty-free contract should increase substantially

Terminal	Type	Area (square metres)	Operator	Est. fixed minimum sales of 1st year (RMBm)	Est. fixed minimum franchise income of 1st year (RMBm)	Commission rate	Contract period
T1	Departure		Sunrise Duty Free	3094	1315	42.5%	1 January 2022 —31 December 2025
	Arrival	821					
T2	Departure	3431	Sunrise Duty Free	6079	2583	42.5%	1 January 2019 —31 December 2025
	Arrival						
S1	Departure	4678	Sunrise Duty Free	2215	942	42.5%	Start day of satellite terminal —31 December 2025
	Arrival						
S2	Departure	4384					
Total		16915					

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 60. 2019 SIA duty free store area substantially increased (units: square metres)


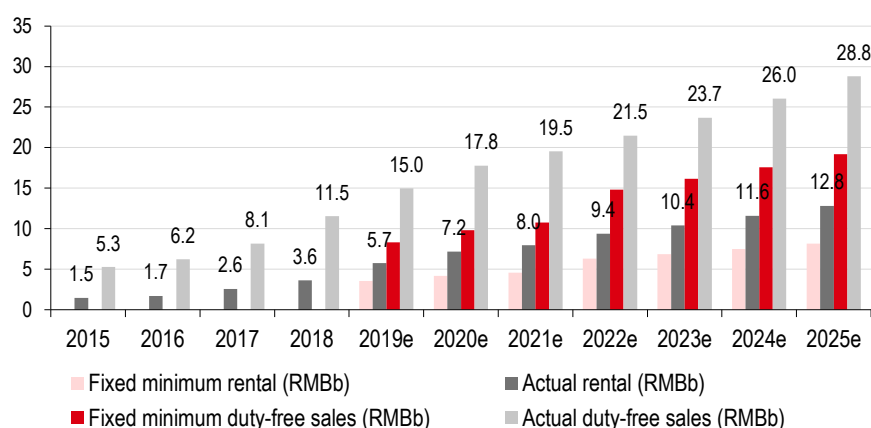
Source: Company data, HSBC Qianhai Securities, TRbusiness

Exhibit 61. SIA per capita duty-free sales should continue to grow


Source: Company data, HSBC Qianhai Securities estimates

With the further expansion of the company's duty-free stores, SIA will be the biggest airport duty-free store in China after the main Hainan Island airport. Under the operation of Sunrise Duty Free, we expect overall prices to remain at the lowest levels in China with the more diversified brands and categories to drive duty-free shopping conversion rates (number of in-store shoppers/international passenger throughput) and average transaction value. Considering the impact from the new downtown duty-free stores, where both international and Chinese travelers can buy before flying, we estimate 2019-25e per capita duty-free sales at SIA airport to grow at a CAGR of 6.4% and overall duty-free sales to grow at a CAGR of 14%, far higher than the fixed minimum guaranteed rental growth rate in the same period. Given the high profit margin of the duty-free business, we estimate the company will achieve net profit and cash revenue of more than RMB38bn in the new duty-free contract period.

According to the industry section above, we believe the opening of downtown duty-free stores will divert some business away from the company's duty-free stores, but the impact is only 15% by our estimates. The duty-free sales CAGR should decline from 17% in 2019 to 14% in 2025e, which is still a healthy rate of growth.

Exhibit 62. We expect SIA's actual duty-free sales to be far higher than the fixed minimum guaranteed sales


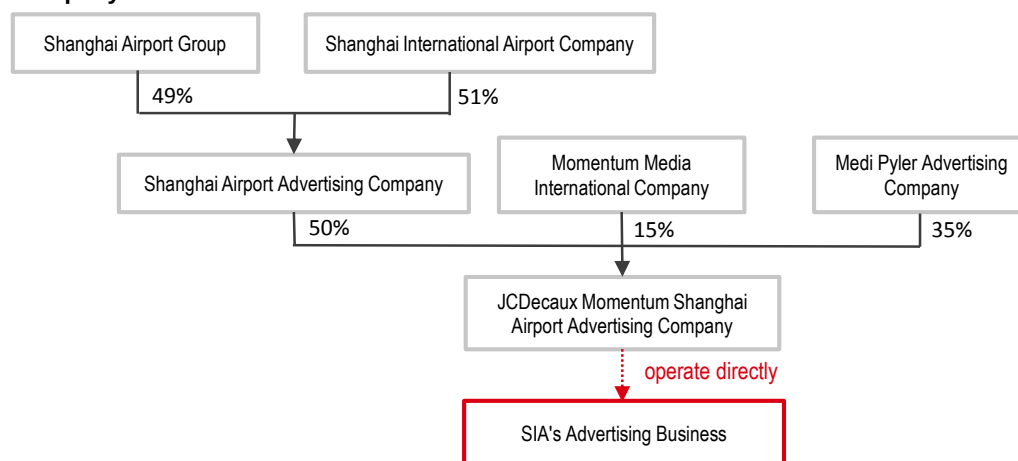
Source: Company data, HSBC Qianhai Securities estimates

Advertising business profit expected to double

Advertising rental income expected to substantially grow from 2021e

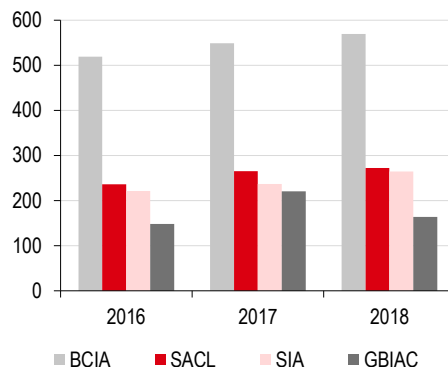
Currently, the company's advertising business is operated by the JV JCDecaux Momentum Shanghai Airport Advertising Company which was established in 2005. SIA indirectly holds a 50% stake in JCDecaux Momentum Shanghai Airport Advertising Company (机场德高动量公司) via a subsidiary Shanghai Airport Advertising Company (上海机场广告有限公司). The listed company shares the advertising profit from its investment income from JCDecaux Momentum Shanghai Airport Advertising Company (机场德高动量公司) and charges it advertising (广告阵地) expenses. In 2018, advertising business investment-income attributable to the listed company amounted to RMB206m, while advertising rental income amounted to RMB58m. As such, profit from the advertising business was RMB265m.

Exhibit 63. Shareholding structure of JCDecaux Momentum Shanghai Airport Advertising Company

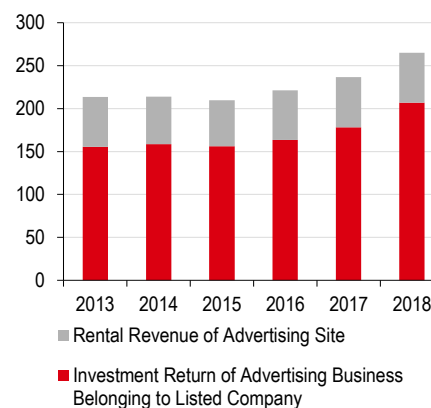


Source: Company data, HSBC Qianhai Securities

Except GBIAC, which operates its own advertising business and is relatively inefficient with weak profitability, the advertising profitability of other tier-1 airports like those in Beijing and Shenzhen is better than that of SIA. The current low advertising profitability is mainly attributed to the low rental of advertising positions. The contract period of advertising positions is from March 2005 to February 2020. We estimate the rental of advertising will rise substantially after the contract expires. Although the listed company's investment income from JCDecaux Momentum Shanghai Airport Advertising Company will decrease in the short term (虽然上市公司对机场德高动量公司的投资收益在短期内将会减少), the overall profitability of the company's advertising business should increase substantially. We expect net profit to more than double from RMB265m in 2018 to RMB614m in 2021e.

Exhibit 64. SIA's advertising business net profit is lower (Unit: RMBm)


Source: Company data, HSBC Qianhai Securities

Exhibit 65. SIA's advertising business profit breakdown (Unit: RMBm)


Source: Company data, HSBC Qianhai Securities

Connected rental cost under control

Property leases between SIA and its controlling shareholders include the second and the third runways, terminal T2, the land for the satellite terminal, the fourth runway and its land, apron leases and office spaces. The relevant rent is one of the company's main costs, amounting to RMB730m in 2018, and representing 16.2% of operating costs. The company expects rental costs to increase to RMB1,048m in 2019. Since 2011, the company's associated lease expenses have surged 380% and the average rental has increased from RMB34/square metre in 2017 to RMB66/square metres in 2019e while the market worries that rental costs could rise further.

However, according to our estimates, as of 2H 2018, Shanghai Airport Group's (上海机场集团) SIA related assets and land were worth less than RMB17.19bn. The rental yield appears reasonable at 6%. According to industry practice, the airport land is divided into security land (保障性用地) and commercial land. The security land (保障性用地) mainly includes supporting facilities in the flight area (excluding the runway). The rental is based on the costs, often at RMB5-10/square metre/year; the rental of commercial land is based on market prices. SIA's unit rental level is the highest among listed airports meaning room for further increases is limited.

Exhibit 66. Connected rental costs of SIA (RMBm)

	2011	2012	2013	2014	2015	2016	2017	2018	2019e
Land for flight zone and terminal area	154	154	154	248	248	507	521	520	
Rental for the fourth runway	0	0	0	72	144	96	83	99	946
Rental for south aprons and east aprons	0	0	0	0	0	0	48	48	
Rental for work places	64	65	64	64	63	71	67	67	101
Rentals for other venues	0	0	0	0	49	0	0	0	0
Total	218	218	218	383	504	675	718	733	1048

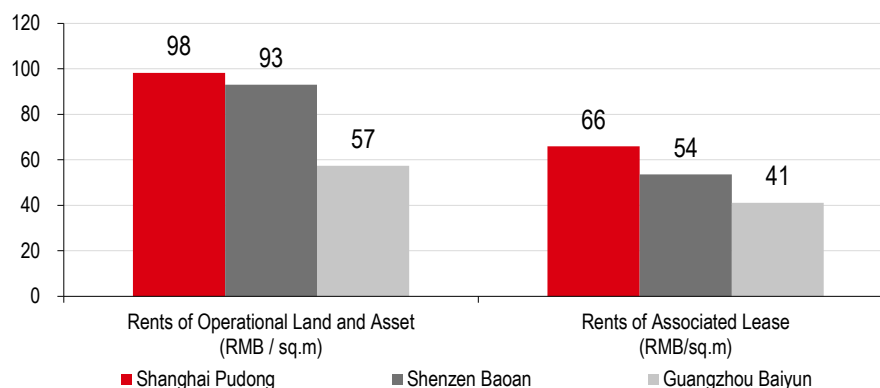
Source: Company announcement, HSBC Qianhai Securities estimates

Exhibit 67. Connected asset rent from Shanghai Airport Group to the listed company and income (Unit: RMBm)

	Original book value (RMBm)
Pudong+Hongqiao fixed assets	50027
Of which: owned by Shanghai airport group (上海机场集团)	
Hongqiao Airport T2	13300
Hongqiao Airport T1	804
Pudong Airport	16720
Other subsidiaries	334
Of which: owned by the listed company	
SIA	18869
Pudong+Hongqiao land	8416
Of which: owned by Shanghai airport group (上海机场集团)	
Pudong Airport	6005
Hongqiao Airport	1942
Of which: owned by the listed company	
SIA	469
Connected asset rent from Shanghai airport group (上海机场集团)	17189
2019 rental	1048
Yield	6%

Source: Company announcement, HSBC Qianhai Securities estimates

Note: Disclosed figures for Pudong+Hongqiao fixed assets and land, disclosed figures for assets and land owned by the listed companies, estimates for other figures

Exhibit 68. SIA's rents are the highest among Tier-1 cities (2018)


Source: Company announcement, HSBC Qianhai Securities

Earnings estimates

We expect 2019/2020/2021e net profit attributable to the parent to grow +29.4%/+12.4%/+13.0% y-o-y to RMB5.47bn/6.15bn/6.95bn. Core assumptions are as follows:

Passenger throughput: We estimate the company's 2019-21e domestic passenger throughput to grow +5.5%/+9.0%/+14.1% y-o-y, and international and regional passenger throughput to grow +5.5%/+9.0%/+10.0% y-o-y, respectively.

Aircraft movements: We estimate the company's 2019-21e domestic passenger aircraft movements to grow +3.5%/+8.7%/+13.8% y-o-y, and international and regional aircraft movements to grow +2.3%/+8.6%/+9.6% y-o-y, respectively. We estimate the company's 2019-21e cargo aircraft movements to grow +5.3%/+0.0%/-0.9% y-o-y, respectively.

Advertising business: Considering that advertising resources will increase after the satellite terminals start operating in 2019, we estimate 2019-21e advertising revenue per passenger handled to be RMB21.2/21.2/21.2, respectively.

Duty-free retail: We estimate 2019-21e per capita duty-free consumption to be RMB377/429/460; total duty-free consumption to be RMB15.0/18.5/21.9bn; overall commission rates to be 38.4%/40.1%/40.1%; duty-free retail franchise and rental income to be RMB5,738/7,422/8,769m, up +58.5%/29.4%/18.1% y-o-y.

Taxed retail: We estimate 2019-21e taxed retail franchise and rental income to grow +14.1%/+16.0%/+16.9% y-o-y to RMB879/1,019/1,191m.

Depreciation cost: In 2018, the depreciation cost of terminal T2 increased after it started operating, and we expect depreciation and amortisation to rise +18.8%/+35.7%/+0.0% y-o-y to RMB9,30/1,260/1,260m in 2019-21e.

Labour cost: We estimate 2019-21e labour cost to grow +14.2%/+22.3%/+12.0% y-o-y to RMB2,450/3,000/3,360m.

Capex: According to the company, we expect satellite terminals to commence operations in Q3 2019e. The 2019e capex is cRMB5.1bn. Terminal T3 will commence operations in 2025 and the capex is cRMB17.6bn; the second terminal area will commence operations in 2035 and the capex is cRMB22.9bn.

Gross margin: As the commencement of satellite terminals results in higher costs in the short term, we estimate 2019-21e gross margin to be 53.8%/51.1%/52.0%, respectively.

Exhibit 69. Estimated passenger throughput, movements + aeronautical charges for SIA

	2015	2016	2017	2018	2019e	2020e	2021e
Passenger throughput (m passengers handled)	60.1	66.0	70.0	74.0	78.1	85.1	95.3
Y-o-y growth	16.3%	9.9%	6.1%	5.7%	5.5%	9.0%	12.0%
Domestic passengers	30.4	32.7	35.3	36.4	38.4	41.9	47.8
Y-o-y growth	18.6%	7.9%	7.8%	3.3%	5.5%	9.0%	14.1%
International and regional passengers	29.7	33.3	34.7	37.6	39.6	43.2	47.5
Y-o-y growth	14.0%	12.0%	4.4%	8.2%	5.5%	9.0%	10.0%
Movements ('000)	444	476	492	501	517	556	615
Y-o-y growth	11.4%	7.1%	3.4%	1.8%	3.3%	7.6%	10.5%
Domestic movements of passenger aircrafts	233	247	253	252	261	284	323
Y-o-y growth	14.2%	5.9%	2.4%	-0.2%	3.5%	8.7%	13.8%
International movements of passenger aircrafts	156	170	177	186	191	207	227
Y-o-y growth	9.6%	8.6%	4.3%	5.4%	2.3%	8.6%	9.6%
Movements of cargo aircrafts	56	60	62	62	65	65	65
Y-o-y growth	5.8%	7.3%	4.6%	-0.3%	5.3%	0.0%	-0.9%
Unit movements revenue (RMB)	2779	2770	2803	2909	2918	2863	2766
Y-o-y growth	0.3%	-0.3%	1.2%	3.8%	-1.9%	-3.4%	-1.3%
Unit passenger service charges (RMB)	23.2	23.7	23.2	23.6	23.6	23.6	23.5
Y-o-y growth	-1.5%	2.2%	-2.4%	2.1%	0.0%	0.0%	-0.6%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 70. Core data estimates for the non-aeronautical business of SIA

	2015	2016	2017	2018	2019e	2020e	2021e
Advertising business:							
Advertising revenue per passenger handled (RMB)	17.5	16.5	16.7	18.4	21.2	21.2	21.2
Duty-free retail:							
Per capita duty-free consumption (RMB)	177	186	234	307	377	429	460
Duty-free sales (RMBm)	5258	6199	8136	11528	14959	18523	21883
Commission rate	27.8%	27.3%	31.4%	31.4%	38.4%	40.1%	40.1%
Franchise and rental revenue (RMBm)	1460	1695	2555	3620	5738	7422	8769
Taxed business:							
Franchise and rental revenue (RMBm)	815	750	733	770	879	1019	1191

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 71. Revenue estimates of SIA (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total revenue	6285	6951	8062	9313	11738	13862	15408
Y-o-y growth	9.3%	10.6%	16.0%	15.5%	26.0%	18.1%	11.2%
Aeronautical business	3195	3512	3724	3970	4157	4492	4897
Y-o-y growth	12.1%	9.9%	6.0%	6.6%	4.7%	8.1%	9.0%
Non-aeronautical business	3090	3440	4338	5344	7582	9369	10511
Y-o-y growth	6.6%	11.3%	26.1%	23.2%	41.9%	23.6%	12.2%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 72. Operating cost estimates of SIA (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total operating costs	3398	3814	4046	4499	5425	6779	7398
Y-o-y growth	5.1%	12.3%	6.1%	11.2%	20.6%	25.0%	9.1%
Labour cost	1660	1873	1998	2149	2453	3001	3361
Y-o-y growth	10.3%	12.9%	6.7%	7.5%	14.2%	22.3%	12.0%
Depreciation cost	785	828	833	784	932	1264	1264
Y-o-y growth	-10.7%	5.5%	0.7%	-5.9%	18.8%	35.7%	0.0%
Operating costs	98	64	139	512	640	997	1197
Y-o-y growth	-22.8%	-34.3%	115.6%	268.9%	25.0%	55.7%	20.0%
Fuel and power costs	351	374	357	321	353	417	421
Y-o-y growth	3.0%	6.5%	-4.6%	-10.2%	10.0%	18.2%	1.0%
Rental fees	504	675	718	733	1048	1100	1155
Y-o-y growth	31.4%	33.9%	6.4%	2.1%	42.8%	5.0%	5.0%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 73. Gross profit (RMBm) and gross margin estimates of SIA

	2015	2016	2017	2018	2019e	2020e	2021e
Gross profit	2888	3137	4016	4814	6313	7083	8009
Y-o-y growth	14.7%	8.6%	28.0%	19.9%	31.1%	12.2%	13.1%
Gross margin	45.9%	45.1%	49.8%	51.7%	53.8%	51.1%	52.0%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 74. Balance sheet and cash flow statement estimates of SIA (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Balance sheet							
Cash	10414	9966	8764	8766	10547	14862	16078
Debt	0	0	0	0	0	0	0
Net debt (cash)	-10414	-9966	-8764	-8766	-10547	-14862	-16078
Shareholders' equity	20320	22297	25132	28246	31948	36193	40989
Capex	-911	-2584	-2291	-3570	-1989	-45	-3761
Cash flow statement							
Operating cash flow	2622	2920	3601	4136	5435	6342	7040
Investment cash flow	-826	-1861	-1690	-3203	-1989	-45	-3761
Free cash flow	1886	514	1532	797	3704	6575	3581
Financial Ratios							
Debt to asset ratio	19%	16%	8%	7%	15%	13%	12%
Current ratio	5.94	8.50	6.46	5.97	2.48	3.35	3.57
Quick ratio	5.93	8.48	6.45	5.96	2.47	3.34	3.57
Cash dividend ratio	33%	30%	30%	30%	32%	31%	31%

Source: Company data, HSBC Qianhai Securities estimates

Financial analysis

The company's financials are currently stable as it begins a period of capacity expansion. We estimate operating cash flow of the company to increase at a CAGR of 19%, from RMB4,136m in 2018 to RMB7,040m in 2021e, investing cash outflow to hit a relatively high level of RMB3,761m in 2021e, free cash flow to increase from RMB7,97m in 2018 to RMB3,581m in 2021e, and the debt-to-asset ratio to increase from 7% in 2018 to 12% in 2021e.

Valuation and risks
Initiate coverage at Buy with a TP of RMB92.87

Owing to the company's steady operations, long operating history and stable cash flow growth, we value the stock based on a two-stage DCF model and derive a target valuation of RMB179.0bn. Our target price of RMB92.87 implies an upside of c20%. We believe SIA is the most international and has the highest profitability and investment return amongst our coverage, and is able to generate sustainable free cash flow. SIA is our preferred stock for long-term investment. Therefore, we initiate coverage of the stock with a Buy rating.

Our core assumptions are as follows:

- ◆ WACC: we derive a WACC of 7.3%, based on a risk-free rate of 2.5%, market risk premium of 6.5% and beta coefficient of 0.74
- ◆ Phase I: we estimate 2019-2060e free cash flow for the company
- ◆ Phase II: we assume perpetual growth rate to be 2%

Exhibit 75. Valuation results and sensitivity test of SIA

Core assumption		Figure		2015	2016	2017	2018	2019e	2020e	2021e	2022e	2023e	
Perpetual growth rate	2.0%	HSBCQH operating profit before interest and after tax		1570	1835	2089	2764	3349	4504	5078	5772	6556	7046
Risk-free rate	2.5%	HSBCQH company free cash flow		2335	1822	-287	1613	706	3392	6038	3149	4153	4705
Risk premium	6.5%												
Income tax rate	25%												
Beta	0.74												
Equity cost	7.5%												
Debt cost	4.0%												
Equity value	149600												
Debt value	0												
WACC	7.3%												
			Sensitivity test										
			WACC	Perpetual growth rate									
Free cash flow valuation	Discounted value			0.0%	0.5%	1.0%	1.5%	2.0%	2.5%	3.0%	3.5%	4.0%	
	RMBm												
Phase I	125659	5.8%	118.22	120.17	122.52	125.42	129.08	133.86	140.34	149.64	164.11		
Phase II final value	23561	6.1%	111.07	112.64	114.51	116.79	119.62	123.24	128.03	134.67	144.47		
Company value	149221	6.4%	104.72	105.98	107.48	109.28	111.50	114.28	117.88	122.73	129.59		
+ short-term financial assets	2	6.7%	99.04	100.06	101.27	102.71	104.46	106.62	109.36	112.97	117.91		
+ long-term equity value	19825	7.0%	93.94	94.78	95.76	96.91	98.30	99.99	102.11	104.84	108.47		
- net debt	-10547	7.3%	89.35	90.04	90.83	91.77	92.87	94.21	95.87	97.95	100.67		
- minority shareholders' equity	630	7.6%	85.20	85.76	86.41	87.17	88.06	89.13	90.43	92.05	94.11		
Company equity value	178965	7.9%	81.43	81.89	82.43	83.05	83.77	84.62	85.65	86.92	88.51		
Number of shares (m share)	1927	8.2%	77.99	78.38	78.82	79.33	79.91	80.61	81.43	82.43	83.66		
TP (RMB)	92.87	8.5%	74.86	75.18	75.54	75.96	76.44	77.00	77.66	78.46	79.43		
		8.8%	71.99	72.25	72.56	72.90	73.29	73.75	74.29	74.92	75.69		

Source: Bloomberg, company data, HSBC Qianhai Securities estimates

The stock is currently trading at a 27.3x 2019e forward PE, and 4.7x 2019e forward PB, higher than the average PE of 22x and average PB of 3.1x in the past four years. In our view, two major factors affecting the company's valuation level are: (1) under SIA's new duty-free contract, the substantial rise in commission rate and fixed minimum rent should significantly drive the company's earnings and valuation; (2) given interest rates have been retreating in recent years, and with steady growth in the company's earnings along with steady and predictable cash flow, the decline in the discount rate should drive valuation. To sum up, we believe the current stock valuation is attractive and the stock offers long-term investment value.

Exhibit 76. Historical forward PE trend of SIA


Source: Wind, HSBC Qianhai Securities

Exhibit 77. Historical forward PB trend of SIA


Source: Wind, HSBC Qianhai Securities

Key downside risks

Lower-than-expected growth of duty-free retail rent. According to “Interim Measures for the Administration of outbound Duty-free Shops” and “Supplementary Provisions on the Interim Measures for the Administration of Inbound Duty-free Shops” promulgated by the Ministry of Finance in 2018-19, the rent level of duty-free shops cannot exceed 1.5x the average of taxed business rent, and the commission rate of sales cannot exceed 1.2x the average commission rate of taxed business. If the policy is enforced strictly, the company’s duty-free rental income may face downside risks.

Greater-than-expected impact from downtown duty-free stores. If duty-free competition intensifies and the scale and operational capability of downtown duty-free stores rapidly improves, the impact on duty-free shops in the airport could be greater than expected, posing downside risks for the company’s earnings.

Financials & valuation: Shanghai Intl Airport

Buy

Financial statements

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Profit & loss summary (CNYm)				
Revenue	9,313	11,738	13,862	15,408
EBITDA	5,335	6,982	8,070	8,987
Depreciation & amortisation	-787	-932	-1,264	-1,268
Operating profit/EBIT	4,547	6,050	6,806	7,719
Net interest	194	159	191	232
PBT	5,630	7,262	8,111	9,140
HSBC Qianhai PBT	5,630	7,262	8,111	9,140
Taxation	-1,199	-1,547	-1,728	-1,947
Net profit	4,231	5,474	6,152	6,950
HSBC Qianhai net profit	4,235	5,474	6,152	6,950
Cash flow summary (CNYm)				
Cash flow from operations	4,136	5,435	6,342	7,040
Capex	-3,570	-1,989	-45	-3,761
Cash flow from investment	-3,203	-1,989	-45	-3,761
Dividends	-1,263	-1,772	-1,907	-2,155
Change in net debt	-2	-1,782	-4,315	-1,216
FCF equity	567	3,446	6,297	3,279
Balance sheet summary (CNYm)				
Intangible fixed assets	348	351	353	356
Tangible fixed assets	16,667	20,911	19,679	22,157
Current assets	10,637	12,570	17,242	18,685
Cash & others	8,766	10,547	14,862	16,078
Total assets	30,929	38,174	42,751	47,885
Operating liabilities	2,246	5,548	5,644	5,737
Gross debt	0	0	0	0
Net debt	-8,766	-10,547	-14,862	-16,078
Shareholders' funds	28,246	31,948	36,193	40,989
Invested capital	16,640	17,737	16,769	19,383

Ratio, growth and per share analysis

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Y-o-y % change				
Revenue	15.5	26.0	18.1	11.2
EBITDA	16.3	30.9	15.6	11.4
Operating profit	21.3	33.1	12.5	13.4
PBT	16.3	29.0	11.7	12.7
HSBC Qianhai EPS	14.9	29.3	12.4	13.0
Ratios (%)				
Revenue/IC (x)	0.6	0.7	0.8	0.9
ROIC	23.4	27.7	31.0	33.6
ROE	15.9	18.2	18.1	18.0
ROA	14.6	16.2	15.4	15.5
EBITDA margin	57.3	59.5	58.2	58.3
Operating profit margin	48.8	51.5	49.1	50.1
EBITDA/net interest (x)				
Net debt/equity	-30.6	-32.4	-40.1	-38.2
Net debt/EBITDA (x)	-1.6	-1.5	-1.8	-1.8
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	2.20	2.84	3.19	3.61
HSBC Qianhai EPS (diluted)	2.20	2.84	3.19	3.61
DPS	0.66	0.92	0.99	1.12
Book value	14.66	16.58	18.78	21.27

Valuation data

Year to	12/2018a	12/2019e	12/2020e	12/2021e
EV/sales	14.8	11.5	9.3	8.2
EV/EBITDA	25.8	19.3	16.0	14.1
EV/IC	8.3	7.6	7.7	6.6
PE*	35.3	27.3	24.3	21.5
PB	5.3	4.7	4.1	3.7
FCF yield (%)	0.4	2.3	4.2	2.2
Dividend yield (%)	0.8	1.2	1.3	1.4

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2018a	Governance Indicators	12/2018a
GHG emission intensity*	[n/a]	No. of board members	9
Energy intensity*	[n/a]	Average board tenure (years)	3.8
CO ₂ reduction policy	[Yes]	Female board members (%)	11.1
Social Indicators		Board members independence (%)	33.3
Employee costs as % of revenues	23.1		
Employee turnover (%)	[n/a]		
Diversity policy	[Yes]		

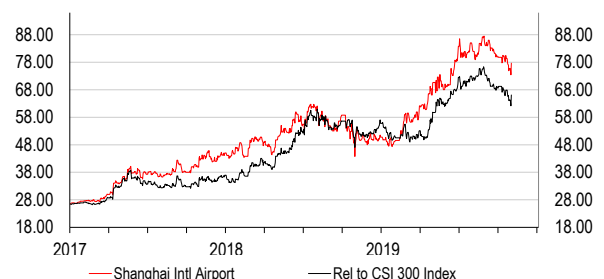
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	77.68	Free float	57%
Target price (CNY)	92.87	Sector	Transport Infrastructure
RIC (Equity)	600009.SS	Country/Region	China
Bloomberg (Equity)	600009 CH	Analyst	David Wu
Market cap (USDm)	21,218	Contact	+86 21 6081 3802

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 30 Oct 2019

Guangzhou Baiyun International Airport (600004 CH)

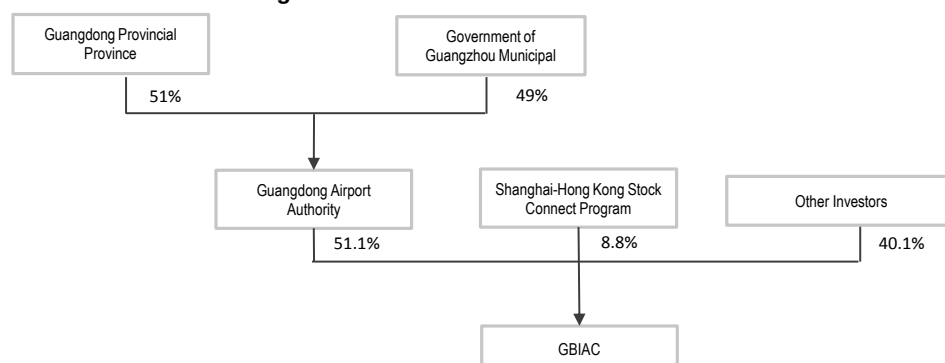
- ◆ The third biggest airport in mainland China and the major international hub in south China
- ◆ Capacity has increased with the launch of Terminal 2 while internationalisation is boosting profitability
- ◆ We initiate coverage at Hold with a TP of RMB20.63

One of China's big three international hub airports

The third biggest airport in mainland China with a solid ROE

Guangzhou Baiyun International Airport (GBIAC) is located in the Huadu district of Guangzhou. In 2018, it handled 69,743,000 passengers, 477,400 air traffic movements and 1,890,800 tonnes of cargo and airmail. In terms of passenger throughput, it ranks No. 14 in the world and No. 3 in mainland China. GBIAC was established in 2000 and listed in 2003. Its biggest shareholder is Guangdong Airport Authority and the ultimate beneficial owner is the Guangdong provincial government.

Exhibit 78. Shareholding structure of GBIAC



Source: Company data, HSBC Qianhai Securities

The company currently owns and operates three runways, terminals T1 and T2 of GBIAC, and rents part of the terminal area land, taxiways, aprons, equipment and land from Guangdong Airport Authority.

The company has provided strong investor returns and has paid out a total cash dividend of RMB4.93bn since its listing. The average cash dividend payout ratio was as high as 41.4%, offering good returns to investors.

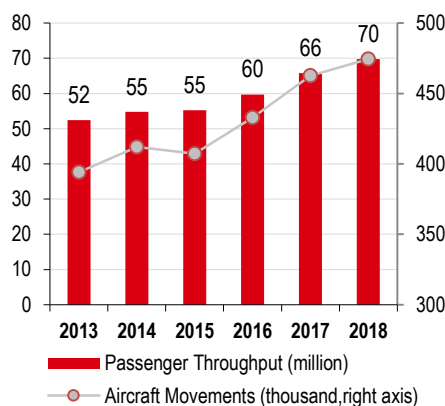
Exhibit 79. Major assets of GBIAC

Construction stage	Major assets	Asset ownership	Commencement	Investment amount (RMBm)	GFA ('000 square metres)	Design throughput (m passengers handled/year)
Phase I	First runway	Company	Aug 2004	2029.9		
	Second runway	Company	Aug 2004		374	35
	Terminal T1	Company	Aug 2004	5968.4		
	Aerobridge 3 East & Aerobridge 3 West (东三西三指廊)	Company	Feb 2010	1941.2	149	
Phase II	Third runway	Company	Feb 2015	979.6	N/A	
	Terminal T2	公司	Apr 2018	13730.9	650	45
Phase III	Fourth runway	TBC	Not yet built	TBC	N/A	
	Fifth runway				N/A	
	Terminal T3, aerobridge 4 East & aerobridge 4 West (东四西四指廊)				439	25
	Part of taxiways, aprons, equipment and land	Airport group (机场集团)	Dynamic (滚动)	Rental of RMB2,923,000, adjusted according to traffic	N/A	

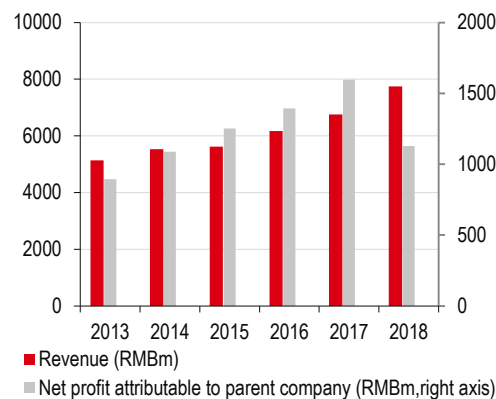
Source: Company data, HSBC Qianhai Securities

Continued traffic and revenue growth; temporary profit decline due to expansion

The company's traffic volume has been rising. Since 2013, its aircraft movements and passenger throughput grew at CAGRs of 3.8% and 5.9%, respectively. Revenue and earnings have climbed in most recent years too. In 2018, the company's revenue grew 14.6% y-o-y to RMB7,747m while net profit attributable to parent dropped 29.2% y-o-y to RMB1,129m, a temporary decline in our view due to the one-off substantial growth in costs following the launch of T2 and refund cancellation by the Civil Aviation Development Fund.

Exhibit 80. Continued traffic growth of GBIAC


Source: Company data, HSBC Qianhai Securities

Exhibit 81. Revenue and earnings growth of GBIAC


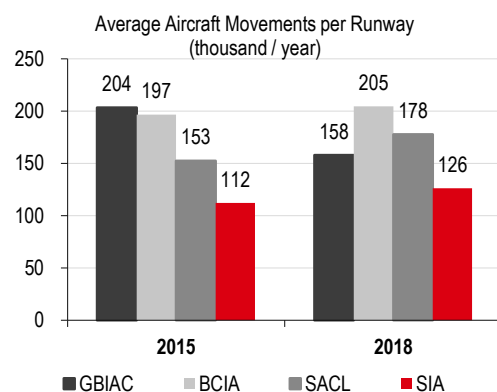
Source: Company data, HSBC Qianhai Securities

Phase II commencement opens up new growth

Capacity bottleneck resolved after the launch of T2

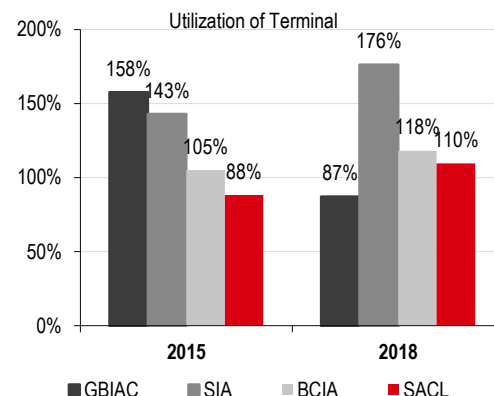
Annual passenger throughput capacity of GBIAC Phase I was just 35m passengers, creating a bottleneck given actual usage was higher, but with the launch of the third runway and terminal T2 in 2015 and 2018, the annual capacity of GBIAC has increased to 80m passengers, expanding the growth potential for the medium term.

Exhibit 82. Capacity potential increases after the launch of GBIAC's third runway



Source: Company data, HSBC Qianhai Securities

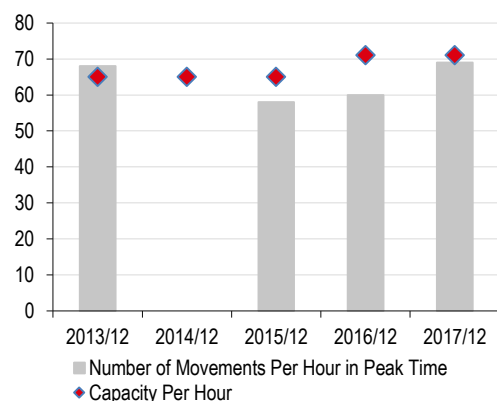
Exhibit 83. Capacity potential increases after the launch of T2



Source: Company data, HSBC Qianhai Securities

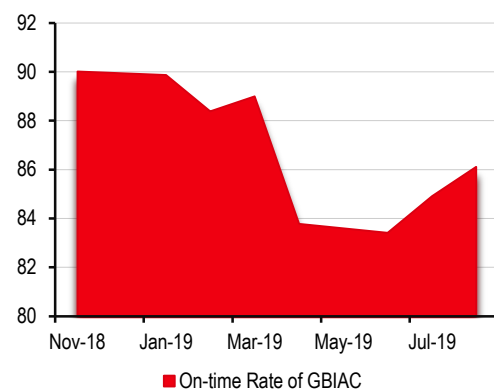
After the third runway was launched in 2015, CAAC revised up GBIAC's movements capacity per hour to 71, which is still in place today, with the company meeting the required on-time rate that allows it to increase movements capacity per hour. Given this and that runway traffic is close to movements capacity and terminal capacity will substantially increase after T2 begins operations, we think GBIAC's movements capacity per hour is likely to be revised up again in 2019-20e, accelerating the growth of its aviation and non-aeronautical business.

Exhibit 84. GBIAC's runway traffic close to movements capacity per hour
 (Unit: Movements/hour)



Source: CAAC, HSBC Qianhai Securities

Exhibit 85. GBIAC's on-time rate maintained at above 80%

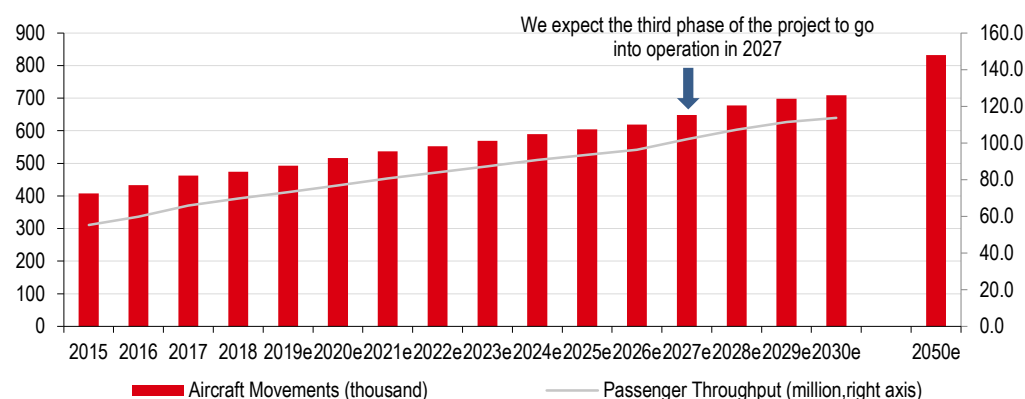


Source: CAAC, HSBC Qianhai Securities

Considering that the capacity utilisation of China's hub airports is generally above 100%, we think the actual throughput of GBIAC Phase II could hit 104m passengers handled. Therefore,

we don't expect any capacity bottlenecks for its ground facilities, like runways and terminals, before 2027e. In the long run, GBIAC has kicked off the preliminary work for Phase III with plans to build Terminal T3, Aerobridge 4 east and Aerobridge 4 west, as well as a fourth and fifth runway. With the start of Phase III, design throughput capacity would increase to 105m passengers every year. We estimate actual throughput to exceed 140m passengers, meeting the country's growing aviation needs before 2050.

Exhibit 86. Long-term traffic estimates for GBIAC

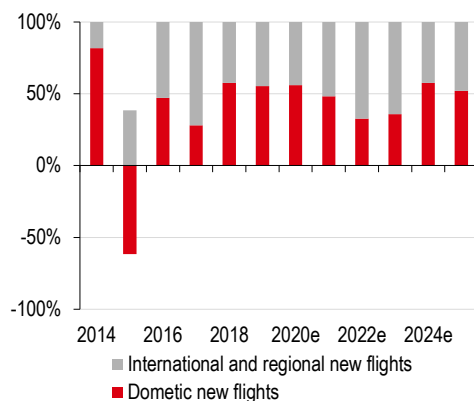


Source: Company data, HSBC Qianhai Securities estimates

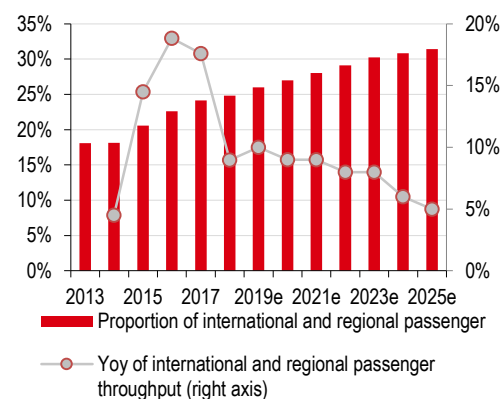
High-growth international airlines raise profits for the aeronautical business

GBIAC is positioned as a large international aviation hub and prioritises securing flight slots for international routes. This strategy fits well with China Southern Airlines, the largest airline based in GBIAC and which stepped up its internationalisation in 2014 by increasing its international routes from Australia to New Zealand, and from Europe to the US. Since 2014, 63% of GBIAC's new routes were international routes while at the end of 2018, the company's international and regional passenger traffic represented 25%.

Although the opening of Beijing Daxing Airport as well as the slow introduction by China Southern Airlines of wide-body aircrafts could decelerate growth of GBIAC's international passenger traffic, we expect the company's international passenger traffic to maintain fast growth in the medium term. By 2025e, we forecast GBIAC's international and regional passenger traffic will account for 31%. The increase in international routes has boosted the company's aeronautical revenues like unit movements and unit passenger service charges.

Exhibit 87. 64% of GBIAC's newly added flights were international routes (2014-18)


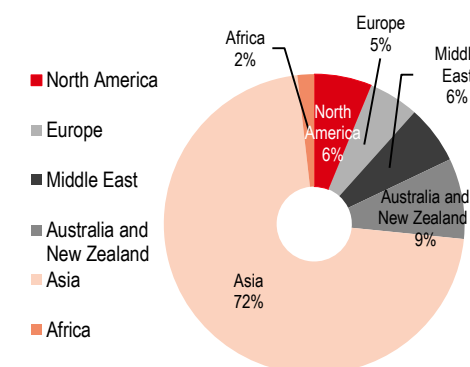
Source: Company data, HSBC Qianhai Securities estimates

Exhibit 88. GBIAC's international passenger traffic increasing rapidly (%)


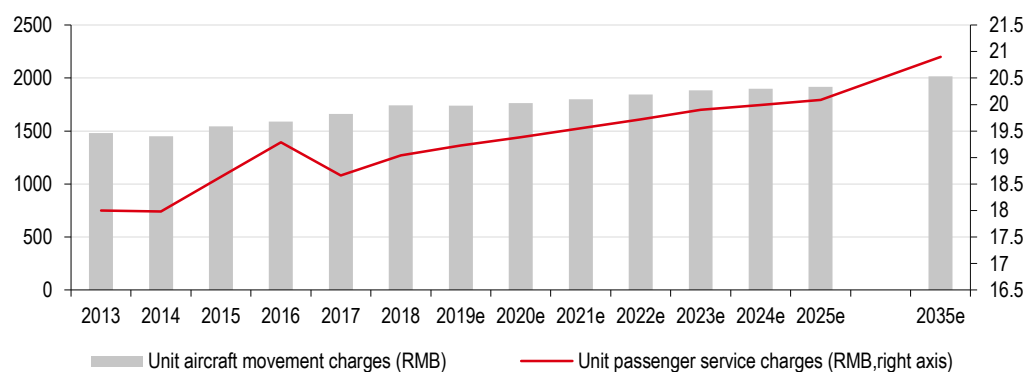
Source: Company data, HSBC Qianhai Securities estimates

Exhibit 89. Accelerated growth of China Southern Airlines' international routes since 2014


Source: Company data, HSBC Qianhai Securities

Exhibit 90. Passenger structure of international routes of GBIAC (2018)


Source: CAAC, HSBC Qianhai Securities

Exhibit 91. More international routes have helped profitability at its aeronautical business


Source: Company data, HSBC Qianhai Securities estimates

Catching up in the non-aeronautical business

Prices and volume rally on new duty free contract

Before 2018, the company had just one airport duty free business in the departure area of terminal T1 operated by Guangzhou Xinmian and owned by China Duty Free Group (CDF). For a long time, GBIAC's duty free sales, duty free business rents and franchise revenues have been far lower than those of SIA and BCIA. In 2018, the company's per capita duty free sales were RMB53, just 17% of SIA's. We think this can be attributed to these three reasons:

- 1) GBIAC's duty free areas are small with few brands, categories, and product models, creating a poor customer experience which hinders spending. International inbound passenger traffic has not been monetised due to the absence of an arrival duty free business.
- 2) Product prices of the departure duty-free shops operated by Guangzhou Xinmian (广州新免公司) under China Duty Free Group are higher compared with the same products in Sunrise duty-free shops at SIA, weighing on consumer demand.
- 3) The average income level of local residents in Guangdong Province was lower than that of Beijing and Shanghai. The share of European and American routes at GBIAC is significantly lower compared to SIA and BCIA, so the spending power of the company's international route passengers is lower than the levels in Shanghai and Beijing.

However, the company is now catching up in the duty free business, especially when compared to the airports in Shanghai and Beijing. We estimate per capita duty-free consumption at GBIAC will climb to RMB100 by around 2022e due to:

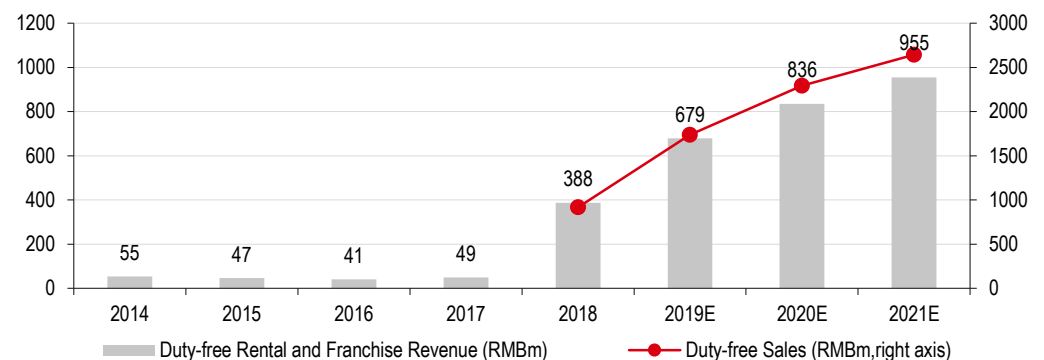
- ◆ Firstly, with the launch of T2 and arrival duty-free shops in T1 since 2018, GBIAC's duty-free business area has substantially jumped, from 1,400 square metres to 6,044 square metres today. The brands, categories and size of duty-free shops have increased while the duty-free rents are rising. The shopping experience for customers and their willingness to spend have improved.
- ◆ Secondly, given CDF acquired Sunrise Duty-free Company (Shanghai) in 2018, we think CDF will consolidate the supplier channel; this means prices of the same kinds of duty-free products at GBIAC should move closer to those of SIA.
- ◆ Thirdly, the company has been developing international routes with plans to open 30 international routes in the next three years, of which 14 are European and American routes. The increase in international routes is conducive to lifting the spending power of passengers.

The company started operating the new duty free contract in H2 2018. Both fixed minimum rents and commission rates have substantially increased as the profitability of the duty free business has surged.

Exhibit 92. Duty-free business at GBIAC

Terminal	Type	Area (Square metre)	Time of commencement	Operator	Fixed minimum sales of first year (RMBm)	Annual Commission increment in fixed minimum sales	Commission rate	Contract period	Commission rate of fixed minimum sales of first year (RMBm)	Contract extension (year)
T1	Departure	1400	Jan 2008	CDF Group	Undisclosed	Undisclosed	Undisclosed	Undisclosed		Undisclosed
	Arrival	400	Feb 2018		282.7	6%	42%	Apr 2018 to Apr 2024	118.7	3
T2	Departure	3544	Apr 2018	CDF Group	395	6%	35%	Apr 2018 to Apr 2026	138.3	0
	Arrival	700	Apr 2018		424	6%	42%	Apr 2018 to Apr 2024	178.1	3

Source: Company data, HSBC Qianhai Securities

Exhibit 93. GBIAC's duty-free business has thrived after the launch of T2


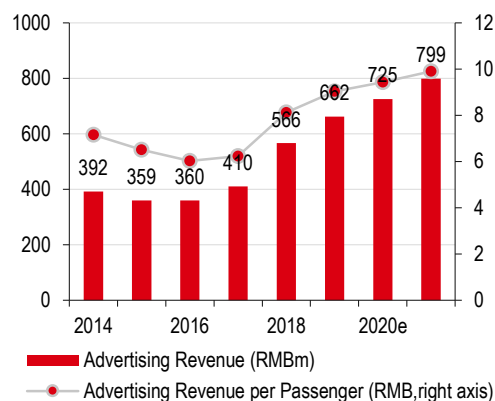
Source: 2017 and 2018 data are estimated

Source: Company data, HSBC Qianhai Securities estimates

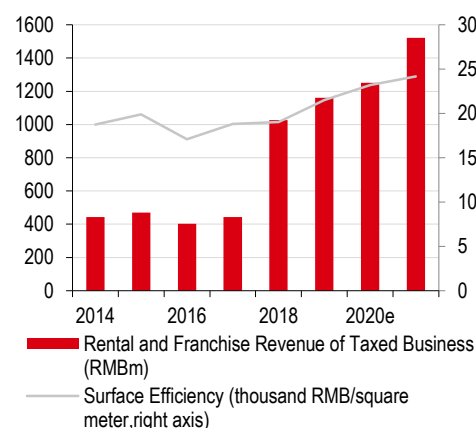
Advertising and taxed business going hand in hand

Before H1 2018, the company jointly operated the advertising inside and outside the terminals by working with various advertising companies. Since H2 2018, the company has exclusively operated the advertising resources at T1 by authorising Dynamic Winning Partners Media Group and assessing its sales on a regular basis. This has made better use of the advertising resources while lowering transaction and management costs, helping to mitigate the impact of T2's commencement (which will result in a temporary drop in passenger flow in T1) on T1's advertising business. For T2, its higher fixed minimum rent has helped accelerate GBIAC's growth in its advertising business.

Meanwhile, after the commencement of T2, the taxed business area increased from 23,600 square metres to 54,000 square metres. Rental has also climbed significantly, boosting the taxed business franchise and rental revenue.

Exhibit 94. GBIAC's advertising business growing rapidly


Source: Company data, HSBC Qianhai Securities estimates

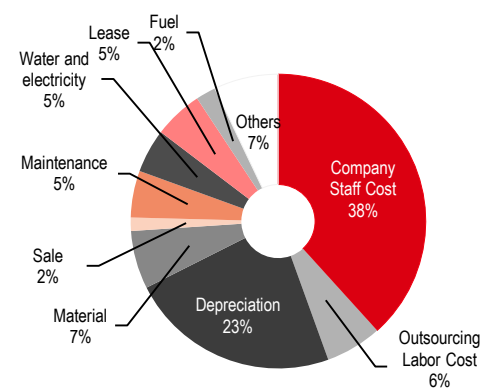
Exhibit 95. GBIAC's taxed business growing rapidly


Source: Company data, HSBC Qianhai Securities estimates

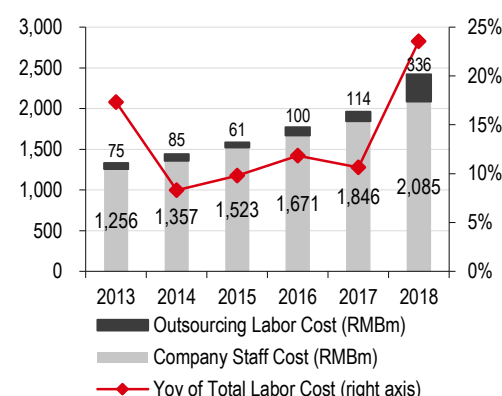
Increase labour outsourcing to squeeze non-core business

The launch of T2 creates opportunities to increase the % of labour outsourcing

Labour cost is the company's biggest cost, and its share is growing. In 2018, the company's labour costs (including staff on the balance sheet and external labour costs) represented 44% of operating costs. The company has used the opportunity of the T2 launch to outsource labour for the new operation and maintenance work, effectively mitigating the pressure on rising labour costs as outsourced labour is cheaper.

Exhibit 96. Labour cost is GBIAC's largest operating cost (2018)


Source: Company data, HSBC Qianhai Securities

Exhibit 97. GBIAC's outsourcing ratio on the rise


Source: Company data, HSBC Qianhai Securities

Lower expenses by squeezing non-core businesses

For a long time, the company has been operating many non-core and non-aeronautical businesses, leading to a far larger number of employees on its balance sheet compared to its peers. This personnel burden is relatively heavy and the expense ratio is high. Since 2018, the company has proactively stopped staffing merchandise sales in the terminals and other businesses and moved to using outsourced labour to streamline its staff. In H1 2019, the

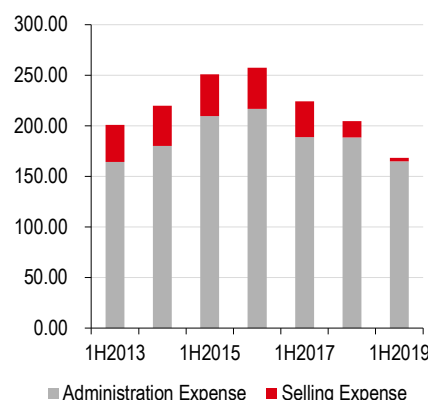
company's administrative and selling expenses dropped by 75-80% y-o-y while profitability has improved.

Exhibit 98. GBIAC has streamlined the number of employees since 2018



Source: Company data, HSBC Qianhai Securities

Exhibit 99. The expense ratio has declined as GBIAC has dropped non-core businesses (Unit: RMBm)



Source: Company data, HSBC Qianhai Securities

Earnings estimates

We estimate the company's 2019/20/21e net profit attributable to parent growing - 27.6%/35.6%/28.2% y-o-y to RMB817m/1,108m/1,420m, respectively. Core assumptions are as follows:

Passenger throughput: We estimate the company's 2019-21e domestic passenger throughput to grow 3.8%/5.0%/5.8% y-o-y, and international and regional passenger throughput to grow 12.2%/16.5%/10.0% y-o-y, respectively.

Movements: Considering the internationalisation of the company and the increasing use of wide-body aircrafts, we estimate the company's 2019-21e domestic aircraft movements to grow 2.3%/3.0%/4.3% y-o-y, while international and regional aircraft movements should grow 9.0%/14.8%/8.4% y-o-y, respectively.

Advertising business: Considering that advertising resources increased after T2 began operations in 2018, we estimate 2019-21e advertising revenue per passenger handled to be RMB9.0/9.1/9.4.

Duty-free retail: We estimate 2019-21e per capita duty-free consumption to be RMB91/110/117, total duty-free consumption to be RMB1.74/2.29/2.65bn, the overall commission ratio to be 35.3%/33.4%/33.0% and the duty-free retail franchise and rental income to be RMB626/834/961m.

Taxed business: We estimate 2019-21e taxed business franchise and rental income to grow 2.6%/6.5%/23.7% y-o-y to RMB1,054/1,122/1,389m.

Depreciation cost: In 2018, the depreciation cost of terminal T2 increased after operations began and we therefore expect depreciation and amortisation to rise 30.4%/0.0%/0.0% y-o-y to RMB1,640/1,640/1,640m in 2019-21e.

Labour cost: We estimate 2019-21e labour cost to grow 9.6%/12.0%/11.0% y-o-y to RMB2,650/2,970/3,300m.

Capex: According to the company's planning and other public information, we assume terminal T3 as well as the fourth and fifth runway to commence operations in 2026e, with a total capex of RMB18.5bn.

Gross margin: Due to the launch of T2 in 2018, we estimate 2019-21e gross margins of the company to be 21.4%/23.8%/25.8%.

Exhibit 100. Estimated passenger throughput, movements and aeronautical charges for GBIAC

	2015	2016	2017	2018	2019e	2020e	2021e
Passenger throughput (m passengers handled)	55.2	59.7	65.8	69.7	73.8	79.7	85.3
Y-o-y growth	0.8%	8.2%	10.2%	5.9%	5.9%	8.0%	7.0%
Domestic passengers	43.8	46.2	49.9	52.4	54.4	57.1	60.4
Y-o-y growth	-2.3%	5.4%	8.0%	5.0%	3.8%	5.0%	5.8%
International and regional passengers	11.4	13.5	15.9	17.3	19.4	22.6	24.9
Y-o-y growth	14.5%	18.8%	17.6%	9.0%	12.2%	16.5%	10.0%
Movements ('000)	407	433	463	475	494	524	553
Y-o-y growth	-1.1%	6.3%	6.8%	2.6%	4.0%	6.2%	5.5%
Domestic movements	325	337	345	352	360	371	387
Y-o-y growth	-3.7%	3.7%	2.5%	2.0%	2.3%	3.0%	4.3%
International and regional movements	83	96	117	123	134	153	166
Y-o-y growth	10.4%	16.5%	22.1%	4.3%	9.0%	14.8%	8.4%
Unit movements revenue (RMB)	1544	1589	1661	1742	1768	1840	1894
Y-o-y growth	6.4%	2.9%	4.5%	4.9%	1.5%	4.1%	2.9%
Unit passenger service charges (RMB)	18.6	19.3	18.7	19.0	19.3	19.6	19.7
Y-o-y growth	3.7%	3.5%	-3.2%	2.0%	1.2%	1.7%	0.6%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 101. Core data estimates for the non-aeronautical business of GBIAC

	2015	2016	2017	2018	2019e	2020e	2021e
Advertising business:							
Advertising revenue per passenger handled (RMB)	6.5	6.0	6.2	8.1	9.0	9.1	9.4
Duty-free retail:							
Per capita duty-free consumption (RMB)	46	47	48	53	91	110	117
Total duty-free consumption (RMBm)	261	317	380	920	1774	2500	2910
Commission rate	13.0%	13.0%	13.0%	42.1%	35.3%	33.4%	33.0%
Franchise and rental revenue (RMBm)	47	41	49	388	626	834	961
Taxed business:							
Franchise and rental revenue (RMBm)	470	404	444	1027	1054	1122	1389

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 102. Revenue estimates of GBIAC (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total revenue	5621	6167	6761	7747	7787	8574	9458
Y-o-y growth	1.7%	9.7%	9.6%	14.6%	0.5%	10.1%	10.3%
Aeronautical business	3112	3470	3844	4029	3446	3785	4091
Y-o-y growth	3.4%	11.5%	10.8%	4.8%	-14.5%	9.9%	8.1%
Non-aeronautical business	2509	2697	2917	3718	4341	4789	5367
Y-o-y growth	-0.3%	7.5%	8.2%	27.4%	16.8%	10.3%	12.1%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 103. Estimated operating costs of GBIAC (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total operating costs	3366	3724	4019	5442	6123	6535	7017
Y-o-y growth	-0.8%	10.6%	7.9%	35.4%	12.5%	6.7%	7.4%
Labour cost	1583	1771	1960	2421	2653	2971	3298
Y-o-y growth	9.8%	11.9%	10.7%	23.5%	9.6%	12.0%	11.0%
Depreciation cost	548	568	451	1256	1638	1638	1638
Y-o-y growth	-16.8%	3.7%	-20.7%	178.7%	30.4%	0.0%	0.0%
Direct costs	365	444	462	428	465	517	568
Y-o-y growth	6.7%	21.6%	4.0%	-7.3%	8.7%	11.3%	9.9%
Maintenance fees	227	196	299	280	250	200	225
Y-o-y growth	-16.7%	-13.7%	52.7%	-6.4%	-10.7%	-20.0%	12.5%
Water bills, tariff and related expenses	177	185	184	262	300	303	306
Y-o-y growth	1.3%	5.0%	-0.7%	42.1%	14.8%	1.0%	1.0%
Other operating costs	466	560	664	796	817	906	982
Y-o-y growth	-7.3%	20.0%	18.6%	20.0%	2.6%	10.9%	8.4%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 104. Gross profit (RMBm) and gross margin estimates of GBIAC

	2015	2016	2017	2018	2019e	2020e	2021e
Gross profit	2254	2443	2743	2305	1664	2039	2441
Y-o-y growth	5.6%	8.4%	12.3%	-16.0%	-27.8%	22.5%	19.7%
Gross margin	40.1%	39.6%	40.6%	29.7%	21.4%	23.8%	25.8%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 105. Balance sheet and cash flow statement estimates of GBIAC (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Balance sheet							
Cash	1336	990	2837	2284	2652	4699	6871
Debt	12	12	2360	655	700	670	730
Net debt (cash)	-1324	-978	-477	-1629	-1952	-4029	-6141
Shareholders' equity	9571	10767	15006	15616	16169	16933	17913
Capex	-3166	-5294	-4037	-1816	-15	-10	-410
Cash flow statement							
Operating cash flow	1739	1956	2153	3119	1072	2445	2970
Investment cash flow	-3147	-5345	-4058	-1808	-15	-10	-410
Free cash flow	-1400	-3332	-1878	1281	1059	2451	2578
Financial Ratios							
Debt to asset ratio	21%	39%	33%	42%	36%	34%	33%
Current ratio	1.02	0.88	1.33	0.54	0.53	0.86	1.19
Quick ratio	0.98	0.85	1.30	0.53	0.52	0.85	1.18
Cash dividend ratio	29%	38%	31%	31%	32%	31%	31%

Source: Company data, HSBC Qianhai Securities estimates

Financial analysis

Following the launch of T2, the company has entered an operational upcycle. However, due to the significantly low current liabilities, we expect the company's operating cash flow to remain basically flat in the short term at RMB2,970m in 2021e compared to RMB3,119m in 2018. We forecast investing cash outflow to decline from RMB1,808m in 2018 to RMB410m in 2021e, free cash flow to increase from RMB1,281m in 2018 to RMB2,578m in 2021e and the debt-to-asset ratio to drop from 42% in 2018 to 33% in 2021e.

Valuation and risks

We initiate coverage at Hold with a TP of RMB20.63

Owing to the steady operation, long operating history and stable cash flow growth, we value the stock based on a two-stage DCF model. We derive a target valuation of RMB42.7bn for the company. Our target price of RMB20.63 implies upside of 12%; we initiate coverage with a Hold rating considering growth of its taxed business is under pressure in the short term.

Our core assumptions as follows:

- ◆ WACC: we derive a WACC of 7.2% based on a risk-free rate of 2.5%, market risk premium of 6.5% and beta coefficient of 0.77
- ◆ Phase I: we estimate 2019-2060e free cash flow of the company
- ◆ Phase II: we assume perpetual growth rate to be 0.5%

Exhibit 106. Valuation metrics for GBIAC and sensitivity of its WACC

Core assumption	Figure		2014	2015	2016	2017	2018	2019e	2020e	2021e	2022e	2023e
Perpetual growth rate	0.5%	HSBCQH operating profit before interest and after tax	1147	1193	1370	1578	1253	845	1081	1391	1528	1628
Risk-free rate	2.5%	HSBCQH company free cash flow	1772	-1390	-3349	-2001	1257	985	2372	2500	3019	-1289
Risk premium	6.5%											
Income tax rate	25%											
Beta	0.77											
Equity cost	7.5%											
Debt cost	3.8%											
Equity value	38300											
Debt value	2927											
WACC	7.2%											
Sensitivity test			Perpetual growth rate									
Free cash flow valuation			WACC									
	Discounted value											
	RMBm											
Phase I	35744	5.7%	27.10	27.40	27.75	28.16	28.64	29.24	29.97	30.90	32.13	
Phase II final value	4752	6.0%	25.40	25.65	25.93	26.26	26.65	27.12	27.70	28.42	29.34	
Company value	40496	6.3%	23.87	24.07	24.30	24.57	24.89	25.26	25.72	26.28	26.98	
+ short-term financial assets	159	6.6%	22.48	22.65	22.84	23.06	23.31	23.61	23.98	24.42	24.96	
+ long-term equity value	250	6.9%	21.22	21.36	21.51	21.69	21.90	22.15	22.44	22.78	23.21	
- net debt	-1952	7.2%	20.07	20.18	20.31	20.46	20.63	20.83	21.06	21.34	21.68	
- minority shareholders' equity	161	7.5%	19.02	19.12	19.22	19.35	19.49	19.65	19.84	20.06	20.33	
Company equity value	42696	7.8%	18.06	18.14	18.23	18.33	18.44	18.58	18.73	18.91	19.13	
Number of shares (m share)	2069	8.1%	17.18	17.24	17.32	17.40	17.50	17.61	17.73	17.88	18.05	
TP (RMB)	20.63	8.4%	16.36	16.42	16.48	16.55	16.63	16.72	16.83	16.94	17.08	
		8.7%	15.61	15.66	15.71	15.77	15.84	15.91	16.00	16.10	16.21	

Source: Bloomberg, company data, HSBC Qianhai Securities estimates

The stock is currently trading at a 46.8x 2019e forward PE and 2.4x 2019e forward PB, higher than its 17x average PE and 1.8x average PB over the past four years. In our view, three major factors would affect the company's valuation level: (1) since 2019 the company no longer enjoys a refund from the Civil Aviation Development Fund, resulting in its earnings falling significantly and the valuation been passively lifted; (2) under the new duty-free contract, the substantial rise in the commission rate and fixed minimum rent are a key driver of the company's earnings and valuations; (3) interest rates have been retreating in recent years while the company's earnings and cash flow have been steady and predictable. Given management is focused on cost control and continues to strengthen its competitiveness, we think the company will likely continue to improve and beat expectations going forward.

Exhibit 107. Historical forward PE trend of GBIAC

Exhibit 108. Historical forward PB trend of GBIAC


Key upside risks

Bigger-than-expected growth of movement capacity per hour. We expect the Civil Aviation Administration to revise the company's movement capacity per hour upward in 2020e. If flight slots capacity growth exceeds our expectations, growth of the company's traffic and all businesses would beat expectations, posing upside risks for the company's earnings.

Greater-than-expected duty-free sales growth. GBIAC's duty-free shops are experiencing a high-growth period. Greater-than-expected duty-free sales growth will be an upside risk for the company's earnings.

Key downside risks

Lower-than-expected growth in duty-free retail rent. According to the "Interim Measures for the Administration of Outbound Duty-free Shops" and "Supplementary Provisions on the Interim Measures for the Administration of inbound Duty-free Shops" promulgated by the Ministry of Finance in 2018-19, the unit price of the tender rent of outbound and inbound duty-free shops cannot exceed 1.5x the average unit price of taxed business rent and the commission rate of sales cannot exceed 1.2x the average commission rate of taxed business. If the policy is strictly enforced, then the company's duty-free rental income could face downside risks.

Impact from the Pearl River Delta Airport. The location of the Pearl River Delta Airport in Gaoming district, Foshan City, has been confirmed. The project has been included in CAAC's

13th Five-Year Plan along with key construction projects in Guangdong Province. Although the airport is relatively far away from GBIAC and its market positioning is different, it may still divert some passengers away.

Financials & valuation: Guangzhou Baiyun Airport

Hold

Financial statements

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Profit & loss summary (CNYm)				
Revenue	7,747	7,787	8,574	9,458
EBITDA	2,953	2,825	3,160	3,588
Depreciation & amortisation	-1,323	-1,697	-1,697	-1,710
Operating profit/EBIT	1,630	1,129	1,463	1,878
Net interest	-157	-74	-15	-8
PBT	1,538	1,136	1,527	1,947
HSBC Qianhai PBT	1,538	1,136	1,527	1,947
Taxation	-376	-284	-382	-487
Net profit	1,129	817	1,108	1,420
HSBC Qianhai net profit	1,078	817	1,108	1,420
Cash flow summary (CNYm)				
Cash flow from operations	3,119	1,072	2,445	2,970
Capex	-1,816	-15	-10	-410
Cash flow from investment	-1,808	-15	-10	-410
Dividends	-656	-264	-343	-440
Change in net debt	-1,151	-324	-2,077	-2,112
FCF equity	1,303	1,057	2,435	2,560
Balance sheet summary (CNYm)				
Intangible fixed assets	550	500	450	400
Tangible fixed assets	22,023	20,391	18,753	17,502
Current assets	3,789	3,910	6,050	8,329
Cash & others	2,284	2,652	4,699	6,871
Total assets	27,065	25,532	26,021	27,034
Operating liabilities	10,467	8,295	8,008	7,942
Gross debt	655	700	670	730
Net debt	-1,629	-1,952	-4,029	-6,141
Shareholders' funds	15,616	16,169	16,933	17,913
Invested capital	13,612	13,853	12,547	11,417

Ratio, growth and per share analysis

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Y-o-y % change				
Revenue	14.6	0.5	10.1	10.3
EBITDA	7.1	-4.3	11.8	13.5
Operating profit	-23.9	-30.7	29.6	28.3
PBT	-29.0	-26.2	34.5	27.5
HSBC Qianhai EPS	-31.1	-24.2	35.6	28.2
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.6	0.8
ROIC	8.9	6.2	8.3	11.8
ROE	7.0	5.1	6.7	8.1
ROA	5.2	3.5	4.5	5.5
EBITDA margin	38.1	36.3	36.9	37.9
Operating profit margin	21.0	14.5	17.1	19.9
EBITDA/net interest (x)	18.8	38.1	217.4	462.9
Net debt/equity	-10.3	-12.0	-23.5	-33.8
Net debt/EBITDA (x)	-0.6	-0.7	-1.3	-1.7
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	0.55	0.39	0.54	0.69
HSBC Qianhai EPS (diluted)	0.52	0.39	0.54	0.69
DPS	0.17	0.13	0.17	0.21
Book value	7.55	7.81	8.18	8.66

Valuation data

Year to	12/2018a	12/2019e	12/2020e	12/2021e
EV/sales	4.7	4.6	4.0	3.4
EV/EBITDA	12.3	12.8	10.8	8.9
EV/IC	2.7	2.6	2.7	2.8
PE*	35.5	46.8	34.6	27.0
PB	2.5	2.4	2.3	2.1
FCF yield (%)	3.4	2.8	6.4	6.7
Dividend yield (%)	0.9	0.7	0.9	1.1

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2018a	Governance Indicators	12/2018a
GHG emission intensity*	[n/a]	No. of board members	8
Energy intensity*	[n/a]	Average board tenure (years)	5
CO ₂ reduction policy	[Yes]	Female board members (%)	0
Social Indicators		Board members independence (%)	37.5
Employee costs as % of revenues	31.3		
Employee turnover (%)	[n/a]		
Diversity policy	[Yes]		

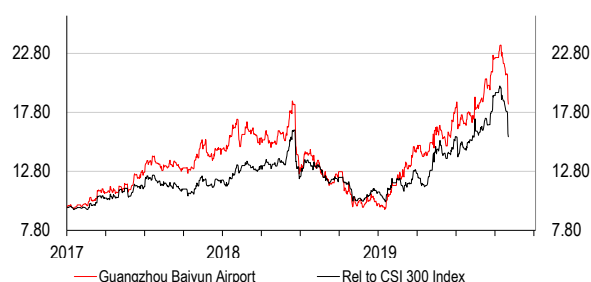
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	18.50	Free float	100%
Target price (CNY)	20.63	Sector	Transport Infrastructure
RIC (Equity)	600004.SS	Country/Region	China
Bloomberg (Equity)	600004 CH	Analyst	David Wu
Market cap (USDm)	5,427	Contact	+86 21 6081 3802

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 30 Oct 2019

Shenzhen Airport (000089 CH)

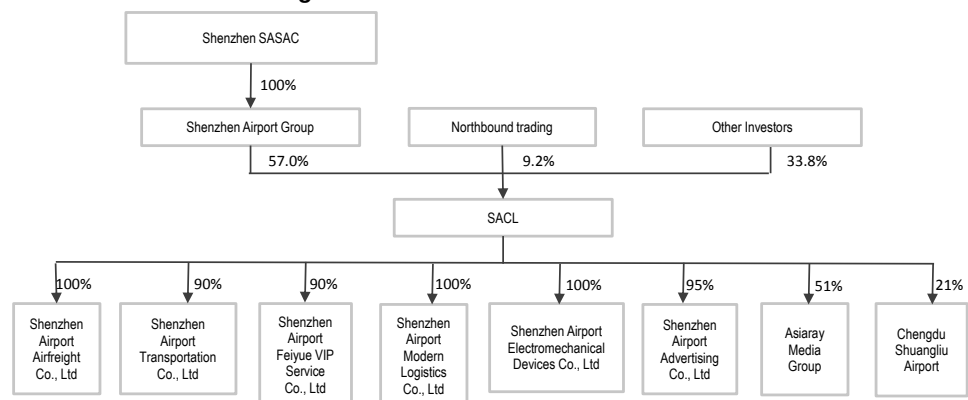
- ◆ Accelerated internationalisation thanks to the Guangdong-Hong Kong-Macao Greater Bay Area policy
- ◆ Duty free operation to be improved, capacity expansion an opportunity; capacity investment returns are poor but on an uptrend
- ◆ We initiate coverage at Hold with a TP of RMB9.24

One of China's top six airports

SACL opened its door in October 1991 and went public on the Shenzhen Stock Exchange in 1998. As at the end of 2018, the city has flown to 164 cities, of which 45 are regular international (regional excluded) cities. It is one of China's top six airports (BCIA / SIA / GBIAC / SACL / Shanghai Hongqiao / Chengdu Shuangliu).

The controlling shareholder of SACL is Shenzhen Airport Group with a 57% stake, with Shenzhen Airport Group owned by Shenzhen SASAC. Foreign shareholders who purchase the shares via Northbound trading hold a 9.2% stake in the company. The company has stakes in subsidiaries that are involved in various airport businesses, and holds shares in Chengdu Shuangliu Airport, Asiaray Media Group and others. These shareholdings contribute considerably to investment income.

Exhibit 109. Shareholding structure of SACL

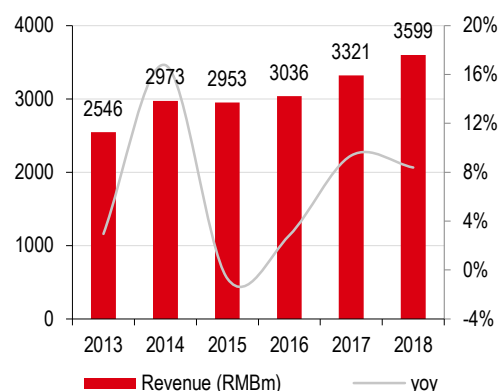


Source: Company data, HSBC Qianhai Securities

Stable revenue and profit growth

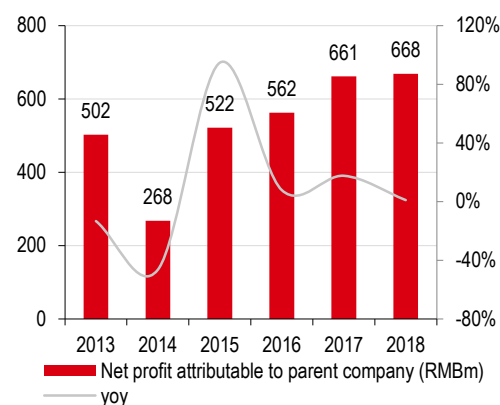
In 2018, the company's passenger throughput and air traffic movements were 49.35m passengers and 356,000 aircrafts, respectively, and the 2013-18 CARGs were 8.9% and 6.7%, respectively. In 2018, its revenue was RMB3,599m and net profit attributable to parent was RMB668m with CAGRs of 7.2% and 5.9%, respectively, from 2013 to 2018.

Exhibit 110. 2013-18 revenue and growth of SACL



Source: Company data, HSBC Qianhai Securities

Exhibit 111. 2013-18 net profit attributable to parent and growth of SACL



Source: Company data, HSBC Qianhai Securities

Note: In 2014, net profit attributable to the parent dropped given the start of T3 at the end of 2013 which increased depreciation, labour costs and other costs.

A capacity expansion cycle

In 2018, capacity utilisation of SACL's terminals and runways was as high as 90% and 110% leaving little room for growth. In order to secure the long-term development of the airport, SACL will expand considerably over the next 5-10 years in two additional phases. In the first phase (phase III in the exhibit below), a satellite terminal and a third runway will be built and are planned to commence operations in 2021; in the second phase (phase IV in the exhibit below), SACL will build terminal T4. We estimate the passenger capacity of SACL to reach c95m passengers once T4 commences operations.

Exhibit 112. Timeline of SACL's fixed assets

Construction stage	Major assets	Asset ownership	Time of commencement	Investment amount (RMBm)	GFA ('000 square metres)	Design throughput (m passengers handled/year)
Phase I	First runway	Company	Oct 1991		N/A	N/A
	Terminal A (not in use)	Company	Oct 1991	2292	60	7.5
	Terminal B (not in use)	Company	Oct 1991		72	8.0
Phase II	Second runway	Group	Apr 2011	11000	N/A	N/A
	Terminal T3	Company	Apr 2018	6500	451	45
Phase III	Satellite terminal	Company	2021	7106	235	20
	Third runway	Group	2021	935	N/A	N/A
Phase IV	Terminal T4	TBC	TBC	TBC	N/A	25-30

Source: Company data, HSBC Qianhai Securities

Changing the aeronautical business structure

Incentive to use wide-body aircrafts

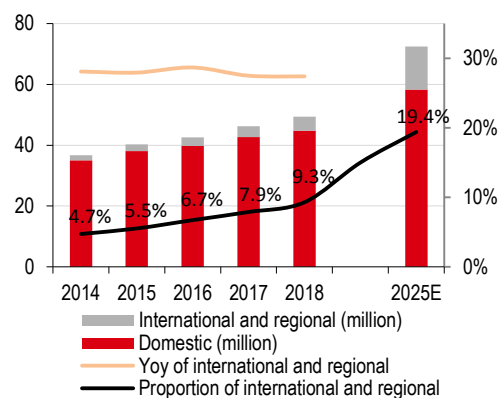
In 2018, the company spent cRMB60m on encouraging airlines to use wide-body aircrafts given aeronautical charges are generally c1.9x that of narrow-body aircraft, so more wide-body aircrafts should generate higher aeronautical charges for SACL. Wide-body aircrafts accounted for 11-12% in 2018.

Accelerated internationalisation

In 2007, CAAC positioned BCIA, SIA and GBIAC as international hub airports while SACL was the regional trunk airport. Fast forward to 2016, and China's 13th Five-Year Plan first positioned SACL as an international hub, with CAAC proposing to strengthen its international hub function in 2017. Currently, the government and company offer route subsidies and movement discounts for about three years to airlines who launch their first international routes at SACL.

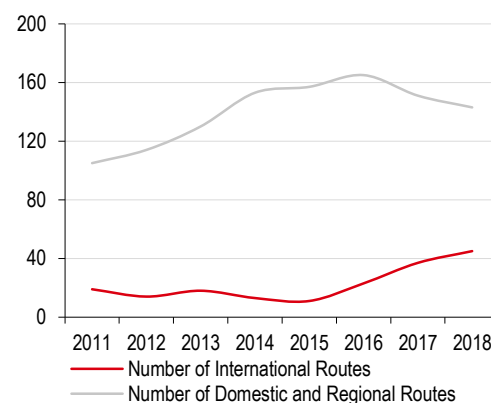
Driven by government policies and company discounts, the internationalisation of SACL has been developing rapidly in recent years. The annual growth of international and regional passenger throughput is steady at over 25%. In 2018, the share of international passengers amounted to 9.3%, but there is still big difference when compared with the 25-35% level in Beijing, Shanghai and Guangzhou. As the unit aeronautical charges for the company's international and regional routes are generally c1.6x that of domestic routes, we believe the rising share of international and regional passengers will help grow overall aeronautical charges for SACL.

Exhibit 113. Rapid growth of international and regional passenger throughput of SACL

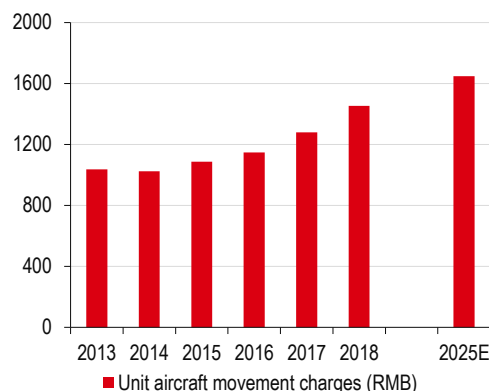


Source: Company data, HSBC Qianhai Securities estimates

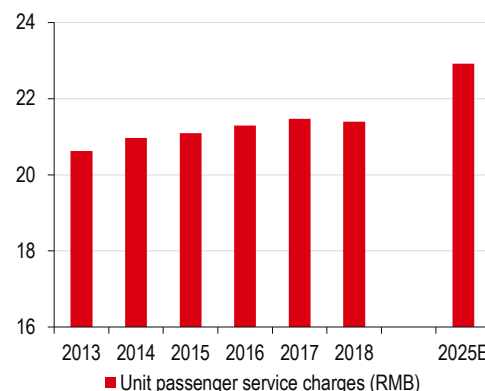
Exhibit 114. SACL has been swiftly developing international routes since 2016



Source: Company data, HSBC Qianhai Securities

Exhibit 115. Unit aircraft movement charges of SACL trending higher


Source: Company data, HSBC Qianhai Securities estimates

Exhibit 116. Unit passenger service charges of SACL trending higher


Source: Company data, HSBC Qianhai Securities estimates

A beneficiary of the Guangdong-Hong Kong-Macao Greater Bay Area policy

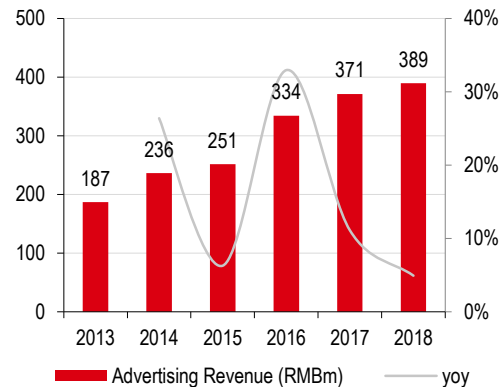
The plan for Guangdong-Hong Kong-Macao Greater Bay Area clarifies that economic innovation is at the core of Shenzhen's development. Capitalising on this, the company has sped up its internationalisation especially given high demand from Huawei, Tencent and other local major innovative enterprises. SACL has launched Israel, Dubai and other routes since 2018. Currently, Hong Kong Airport still receives a lot of international passengers who are from Shenzhen, but we believe more international passengers will move to SACL given the increasing degree of internationalisation of Shenzhen and SACL. Besides, the State Council reiterated on 18 August that it planned to further enhance the political and economic status of Shenzhen and lay the foundations for the long-term development of SACL.

Non-aeronautical business an opportunity

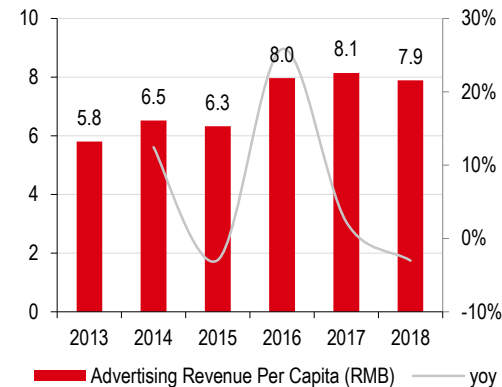
Outdoor advertising upside to be unleashed by satellite terminals, internationalisation

Among Tier-1 airports, the profitability of the company's advertising business is relatively high. We think this is mainly driven by: **1)** the airport has more business travelers than peers, so advertisers put a premium on this footfall; **2)** the company jointly operates the advertising business with Asiaray Media Group using a highly marketised method.

In our view, with the completion of new satellite terminals and more terminals being built in the future, indoor advertising space will significantly increase and create more growth for the advertising business. In addition, with the rapid growth of international passengers at SACL, the value of advertising resources should continue to rise and advertising revenue per passenger handled should keep rising.

Exhibit 117. Advertising revenue growth of SACL slowed in 2018


Source: Company data, HSBC Qianhai Securities

Exhibit 118. Advertising revenue per passenger handled by SACL declined y-o-y in 2018


Source: Company data, HSBC Qianhai Securities

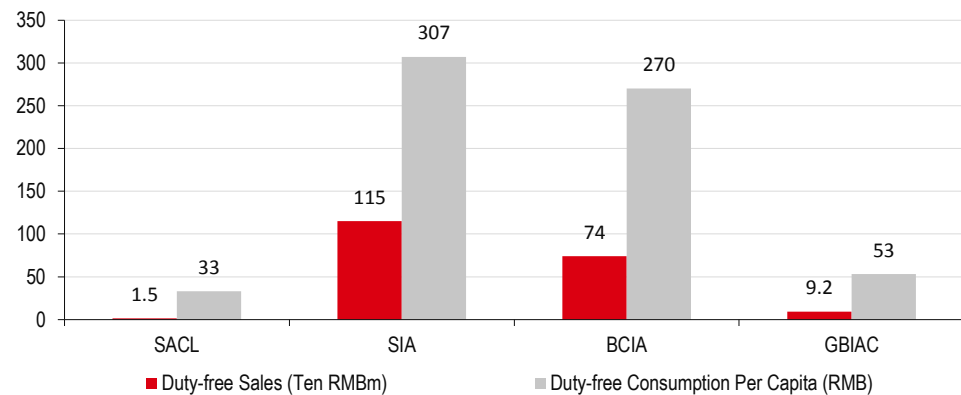
Duty free business to be improved, capacity expansion an opportunity

SACL is the latest airport to start its duty free business among Tier-1 airports. It opened outbound duty-free shops and inbound duty-free shops in terminal T3 in 2013 and 2017, respectively. All operators are state-owned duty-free goods companies in Shenzhen. We estimate the duty-free shops of SACL achieved sales of cRMB150m, with per capita duty-free consumption of RMB33 in 2018. There is a big difference between the company's duty-free business and other Tier-1 airports'. In our view, the reasons are as follows:

- ◆ **Weak operational capabilities of duty-free shops at SACL.** The attraction of airport duty-free shops is the selection of high-quality goods and low selling prices. There is a significant difference between the duty-free shop at SACL and other operators of Tier-1 airports like CDF and its subsidiary Sunrise Duty Free.
- ◆ **Small duty-free shops are not attractive enough.** Compared with BCIA, SIA and GBIAC, the area of the duty-free shop at SACL is still relatively small at just 2,400 square metres.

However, we believe there is significant room for operational efficiency and higher rents at its duty-free shops, based on:

- ◆ Firstly, the outbound and inbound duty-free contracts for SACL will expire in November 2020 and August 2022, respectively. The Airport will conduct a tender with more quality operators likely to be introduced which could enhance the competitiveness of the duty-free shop of SACL and boost duty-free consumption. Besides, compared with other Tier-1 airports, there is significant upside in the fixed minimum rent and commission rate for SACL.
- ◆ Secondly, we think after the satellite terminal starts operations in 2021, the area of duty-free shops could increase by more than 1,000 square metres. In the medium term, after the new T4 commences operations and the duty-free shop expands further, product categories will become more diversified.
- ◆ Thirdly, considering the runway capacity saturation at Hong Kong Airport and that the new Hong Kong runway can only be launched after 2023, along with the improved international routes layout of SACL, we think international passengers in Guangdong will gradually return from Hong Kong, speeding up growth in the company's duty free sales.

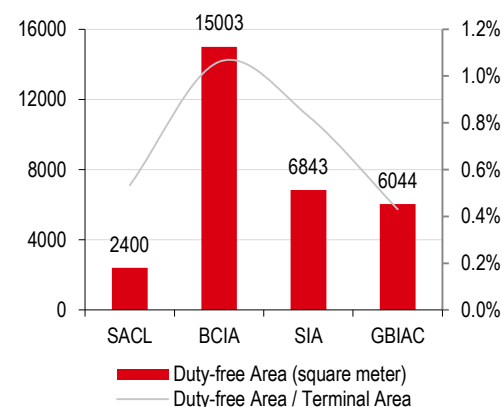
Exhibit 119. SACL has room to improve duty-free sales and consumption per capita


Source: Company data, HSBC Qianhai Securities

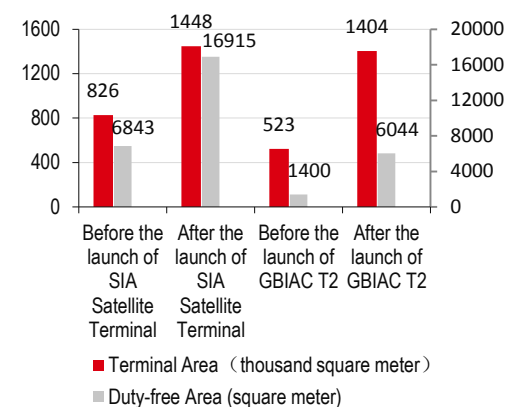
Exhibit 120. Low fixed minimum rents and commission rates of duty-free shops at SACL (2018)

Type	SACL			BCIA			SIA Overall	GBIAC			Overall
	T3 arrival	T3 departure	Overall	T2 arrival & departure	T3 arrival & departure	Overall		T1 arrival	T2 arrival	T2 departure	
Fixed minimum rent (RMB10k/squaremetre)	12	1	3	23	19	20	21	30	25	4	9
Commission rate	35%	20%	-	47.5%	43.5%	-	42.5%	42%	42%	35%	-

Source: Company data, HSBC Qianhai Securities

Exhibit 121. 2018 duty-free shop areas of Tier-1 airports


Source: Company data, HSBC Qianhai Securities

Exhibit 122. Substantial increase in duty-free shop areas at SIA and GBIAC following capacity commencement


Source: Company data, HSBC Qianhai Securities

Poor capacity investment returns, but they are on an uptrend

As mentioned above, due to lower internationalisation and weaker non-aeronautical revenues, the return on capacity investment is lower than those of other Tier-1 airports. According to our estimates, the internal rate of return of T3 is 4.7%, lower than the capital cost, and this would limit growth of the company's value. With accelerated international routes, optimisation of duty-free operators and growing scale of duty-free shops, we believe the return on new capacity is on an uptrend. We estimate the internal rate of return for the satellite terminal to rebound substantially to 7.9%, slightly above the capital cost of 7.3%, helping to grow the company's value gradually.

Earnings estimates

We expect 2019/2020/2021e net profit attributable to parent to grow -7.4%/18.4%/-2.6% y-o-y to RMB618/732/713m. Core assumptions are as follows:

Passenger throughput: Given the accelerated internationalisation, we estimate the company's 2019-21e domestic passenger throughput to grow 4.5%/4.5%/4.0% y-o-y, and international and regional passenger throughput to grow 29%/25%/20% y-o-y, respectively.

Movements: With increased passenger loads and more wide-body aircrafts, we estimate the company's 2019-21e domestic aircraft movements to grow 1.0%/1.0%/2.5% y-o-y, and international and regional aircraft movements to grow 19%/23%/18% y-o-y, respectively.

Advertising business: Considering that indoor advertising resources should increase after the satellite terminal starts operations in 2021, we estimate 2019-21e advertising revenue per passenger handled to be RMB6.3/6.6/6.8, respectively.

Duty-free retail: Considering the rapid growth of international and regional passenger throughput, we estimate 2019-21e per capita duty-free consumption to be RMB31.0/29.5/28.5, and total duty-free consumption to be RMB180/220/250m. We expect departure duty-free franchise and rental income to be RMB25/29/60m and arrival duty-free franchise and rental income to be RMB50/54/60m.

Taxed business: Considering the impact of the vacancy rate increasing, led by the tenant renewal cycle on the taxed retail business at T3 in 2018, we estimate 2019-21e per capita taxed business to be RMB34/35/34, total taxed business to be RMB1.8/1.9/2.0bn and franchise and rental income of taxed business to be RMB384/400/412m.

Depreciation cost: We expect depreciation and amortisation to grow -0.5%/0.0%/6.0% y-o-y to RMB430/430/456m in 2019-21e.

Labour cost: Considering the company's staff compensation adjustment plan and the commencement of satellite terminal and the third runway in 2021e, we estimate 2019-21e labour costs to grow 15.4%/8.9%/10.4% y-o-y to RMB1,250/1,360/1,500m.

Capex: We expect the satellite terminal and terminal T3 to commence operations at the end of 2021, with a total capex of RMB7.4bn. Terminal T4 will commence operation in 2029e, with total capex of RMB8.7bn.

Gross margin: Due to the launch of the satellite terminal and the third runway in 2021e, we estimate 2019-21e gross margins of the company to be 26.2%/27.4%/26.4%.

Exhibit 123. Estimated passenger throughput, movements and aeronautical charges of SACL

	2015	2016	2017	2018	2019e	2020e	2021e
Passenger throughput (m passengers handled)	39.7	42.0	45.6	49.4	52.7	56.3	59.7
Y-o-y growth	9.5%	5.7%	8.7%	8.2%	6.8%	6.8%	6.1%
Domestic passengers	38.1	39.7	42.7	44.8	46.8	48.9	50.8
Y-o-y growth	8.7%	4.4%	7.3%	4.9%	4.5%	4.5%	4.0%
International and regional passengers	2.2	2.8	3.6	4.6	5.9	7.4	8.9
Y-o-y growth	27.9%	28.7%	27.5%	27.4%	29%	25%	20%
Movements ('000)	305.4	318.6	340.4	356.0	366.0	378.9	396.5
Y-o-y growth	6.8%	4.3%	6.8%	4.6%	2.8%	3.5%	4.6%
Domestic movements				320	324	327	335
Y-o-y growth				2.7%	1.0%	1.0%	2.5%
International movements				35.6	42.4	52.1	61.5
Y-o-y growth				25%	19%	23%	18%
Unit movements revenue (RMB)				1279	1386	1469	1532
Y-o-y growth				11.5%	8.4%	6.0%	4.3%
Unit passenger service charges (RMB)				21.4	21.7	22.0	22.2
Y-o-y growth				-0.3%	1.4%	1.3%	1.2%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 124. Core data estimates for non-aeronautical business of SACL

	2015	2016	2017	2018	2019e	2020e	2021e
Advertising business:							
Advertising revenue per passenger handled (RMB)	6.33	7.96	8.14	7.89	6.3	6.6	6.8
Outbound duty-free retail:							
Per capita outbound duty-free consumption (RMB)				44	42	40	39
Total duty-free sales (RMBm)				101	123	147	172
Franchise and rental revenue (RMBm)				20	25	29	60
Inbound duty-free retail:							
Per capita inbound duty-free consumption (RMB)				22	20	19	18
Total duty-free sales (RMBm)				50	59	70	79
Franchise and rental revenue (RMBm)				45	50	54	60
Taxed business:							
Per capita taxed business (RMB)				30.4	34.2	34.5	34.2
Total sales (RMBm)				1500	1800	1944	2041
Franchise and rental revenue (RMBm)				340	384	400	412

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 125. Revenue estimates of SACL (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total revenue	2953	3036	3321	3599	3778	4042	4316
Y-o-y growth	-0.7%	2.8%	9.4%	8.4%	5.0%	7.0%	6.8%
Aeronautical business	1653	1731	1959	2196	2378	2553	2728
Y-o-y growth	9.0%	4.7%	13.2%	12.1%	8.3%	7.4%	6.9%
Non-aeronautical business	1299	1306	1362	1404	1400	1489	1588
Y-o-y growth	-10.8%	-0.5%	4.3%	3.1%	-0.3%	6.4%	6.7%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 126. Operating cost estimates of SACL (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total operating costs	2059	2209	2362	2668	2787	2934	3176
Y-o-y growth	-12.5%	7.3%	6.9%	12.9%	4.5%	5.3%	8.2%
Labour cost	833	842	980	1081	1248	1359	1500
Y-o-y growth	6.6%	1.1%	16.4%	10.3%	15.4%	8.9%	10.4%
Depreciation cost	471	419	416	432	430	430	456
Y-o-y growth	2.5%	-11.0%	-0.8%	3.9%	-0.5%	0.0%	6.0%
Rental cost	236	235	225	249	249	249	249
Y-o-y growth	-1.4%	-0.4%	-4.4%	10.8%	0.0%	0.0%	0.0%
Utility fees & venue rental	189	180	167	165	165	165	177
Y-o-y growth	2.7%	-5.1%	-6.9%	-1.4%	0.0%	0.0%	7.5%
Other costs	330	532	574	740	695	731	793
Y-o-y growth	-52.2%	61.4%	7.8%	29.0%	-6.1%	5.2%	8.5%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 127. Gross profit (RMBm) and gross margin estimates of SACL

	2015	2016	2017	2018	2019e	2020e	2021e
Gross profit	894	828	959	932	991	1107	1140
Y-o-y growth	44.3%	-7.3%	15.8%	-2.8%	6.3%	11.8%	2.9%
Gross margin	30.3%	27.3%	28.9%	25.9%	26.2%	27.4%	26.4%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 128. Balance sheet and cash flow statement estimates of SACL (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Balance sheet							
Cash	1788	2596	2627	2484	2505	2476	863
Debt	0	0	0	0	0	1000	2346
Net debt (cash)	-1788	-2596	-2627	-2484	-2505	-1476	1483
Shareholders' equity	10225	10680	11169	11638	12098	12647	13182
Capex	-156	-258	-245	-768	-1070	-2070	-3970
Cash flow statement							
Operating cash flow	1183	1141	1083	1055	1052	1109	1118
Investment cash flow	-9	-1097	-832	-429	-970	-1960	-3850
Free cash flow	1018	902	869	318	-3	-933	-2834
Financial ratios							
Debt to asset ratio	14%	14%	14%	13%	14%	19%	25%
Current ratio	1.38	1.80	2.18	2.43	2.42	2.25	1.13
Quick ratio	1.38	1.80	2.18	2.43	2.42	2.25	1.13
Cash dividend ratio	20%	30%	30%	25%	26%	25%	25%

Source: Company data, HSBC Qianhai Securities estimates

Financial analysis

Operations are stable and the company is now entering a capacity expansion period. We estimate operating cash flow of the company to rise at a CAGR of 2.0%, from RMB1,060m in 2018 to RMB1,120m in 2021e, with investing cash outflow surging from RMB429m in 2018 to RMB3,850m in 2021e, free cash flow declining from RMB318m in 2018 to -RMB2,834m in 2021e and the debt-to-asset ratio jumping from 13% in 2018 to 25% in 2021e.

Valuation and risks
Initiate coverage at Hold with TP of RMB9.24

Owing to its steady operations, lengthy operating history and stable cash flow growth, we value the stock based on a two-stage DCF model. We derive a target valuation of RMB18.9bn for the company. Our target price of RMB9.24 implies downside of 5%. Given SACL is in a cycle of

expansion and there is significant room for its development over the long term, we initiate coverage with a Hold rating.

Our core assumptions as follows:

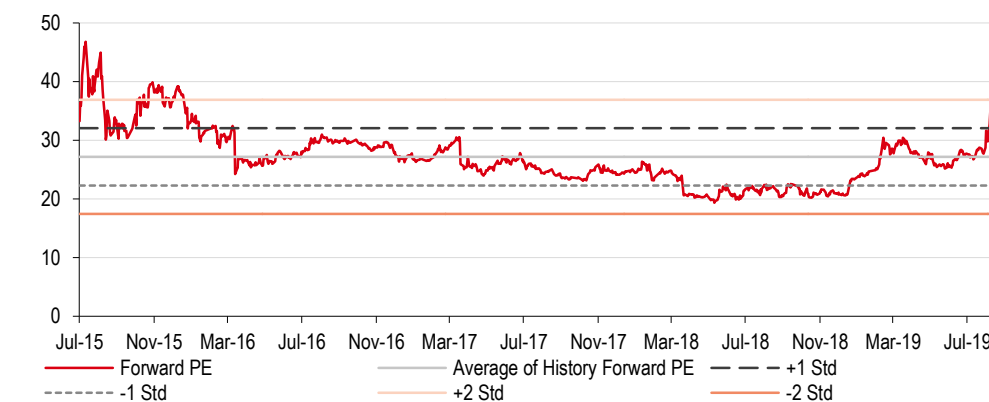
- ◆ WACC: we derive a WACC of 7.3% based on a risk-free rate of 2.5%, market risk premium of 6.5% and beta coefficient of 0.74
- ◆ Phase I: we estimate 2019-2065e free cash flow of the company
- ◆ Phase II: we assume perpetual growth rate to be 0%

Exhibit 129. Valuation metrics for SACL and sensitivity of its WACC

Core assumption	Figure		2014	2015	2016	2017	2018	2019e	2020e	2021e	2022e	2023e
Perpetual growth rate	0%	HSBCQH operating profit before interest and after tax	392	564	493	549	542	569	632	656	484	545
Risk-free rate	2.5%	HSBCQH company free cash flow	530	952	838	782	311	40	-959	-2847	1210	1218
Risk premium	6.5%											
Income tax rate	25%											
Beta	0.74											
Equity cost	7.3%											
Debt cost	4.0%											
Equity value	19900											
Debt value	0											
WACC	7.3%											
		Sensitivity test										
		WACC	Perpetual growth rate									
Free cash flow valuation	Discounted value RMBm		-2.0%	-1.5%	-1.0%	-0.5%	0.0%	0.5%	1.0%	1.5%	2.0%	
Phase I	13324	5.8%	11.90	11.95	12.01	12.08	12.15	12.24	12.35	12.49	12.66	
Phase II final value	771	6.1%	11.25	11.29	11.34	11.39	11.45	11.52	11.61	11.72	11.85	
Company value	18946	6.4%	10.66	10.69	10.73	10.77	10.82	10.88	10.94	11.03	11.13	
+ short-term financial assets	1075	6.7%	10.11	10.14	10.17	10.20	10.24	10.29	10.34	10.41	10.48	
+ long-term equity value	802	7.0%	9.61	9.63	9.66	9.69	9.72	9.75	9.80	9.85	9.91	
+ unused fixed assets	501	7.3%	9.15	9.17	9.19	9.21	9.24	9.27	9.30	9.34	9.39	
- net debt	-2505	7.6%	8.73	8.74	8.76	8.78	8.80	8.82	8.85	8.88	8.92	
- minority shareholders' equity	32	7.9%	8.34	8.35	8.36	8.38	8.39	8.41	8.44	8.46	8.49	
Company equity value	18946	8.2%	7.97	7.98	7.99	8.01	8.02	8.04	8.05	8.08	8.10	
Number of shares (m share)	2051	8.5%	7.64	7.65	7.65	7.66	7.68	7.69	7.70	7.72	7.74	
TP (RMB)	9.24	8.8%	7.33	7.33	7.34	7.35	7.36	7.37	7.38	7.39	7.41	

Source: Bloomberg, company data, HSBC Qianhai Securities estimates

The stock is currently trading at a 29.7x 2019e forward PE and 1.6x 2019e forward PB, close to the 28x historical average PE and 1.6x historical average PB in the past four years.

Exhibit 130. Historical forward PE trend of SACL

Exhibit 131. Historical forward PB trend of SACL


Key upside risks

Greater-than-expected internationalisation. Better-than-expected international passenger growth could pose an upside risk to the company's revenue and earnings.

Greater-than-expected improvement in operational efficiency of the duty-free business. Greater-than-expected improvement in operational efficiency of the duty-free shops at SACL could result in better-than-expected duty-free sales and company earnings.

Key downside risks

Airspace shortage. The Pearl River Delta is one of the busiest regions in terms of airspace. If there is an airspace shortage in the future, the bottleneck could limit the company's traffic growth and pose a downside risk to its earnings.

Greater-than-expected rise in labour costs. In 2018, labour costs represented c41% of the company's operating costs. As a labour-intensive industry, a greater-than-expected rise in labour costs could pose a downside risk to the company's earnings.

Greater-than-expected capacity expansion costs. SACL will experience capacity expansion over the next 3-5 years. If the construction costs of satellite terminals and terminal T4 exceeds expectations, or the rental expense of the third runway beats expectations, the company's earnings could face downside risks.

Financials & valuation: Shenzhen Airport

Hold

Financial statements

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Profit & loss summary (CNYm)				
Revenue	3,599	3,778	4,042	4,316
EBITDA	1,213	1,222	1,324	1,370
Depreciation & amortisation	-476	-443	-443	-472
Operating profit/EBIT	736	779	881	898
Net interest	49	27	5	-48
PBT	876	841	996	970
HSBC Qianhai PBT	876	841	996	970
Taxation	-194	-210	-249	-242
Net profit	668	618	732	713
HSBC Qianhai net profit	625	671	732	713
Cash flow summary (CNYm)				
Cash flow from operations	1,055	1,052	1,109	1,118
Capex	-768	-1,070	-2,070	-3,970
Cash flow from investment	-429	-970	-1,960	-3,850
Dividends	-198	-158	-183	-178
Change in net debt	143	-21	1,029	2,959
FCF equity	287	-18	-961	-2,852
Balance sheet summary (CNYm)				
Intangible fixed assets	251	258	265	369
Tangible fixed assets	8,167	8,787	10,407	13,801
Current assets	3,994	4,002	4,001	2,404
Cash & others	2,484	2,505	2,476	863
Total assets	13,453	14,087	15,718	17,622
Operating liabilities	1,746	1,876	2,011	2,021
Gross debt	0	0	1,000	2,346
Net debt	-2,484	-2,505	-1,476	1,483
Shareholders' funds	11,638	12,098	12,647	13,182
Invested capital	8,182	8,666	10,187	13,690

Ratio, growth and per share analysis

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Y-o-y % change				
Revenue	8.4	5.0	7.0	6.8
EBITDA	-1.2	0.8	8.4	3.5
Operating profit	-3.5	5.8	13.1	2.0
PBT	-1.4	-4.0	18.4	-2.6
HSBC Qianhai EPS	-2.1	7.4	9.1	-2.6
Ratios (%)				
Revenue/IC (x)	0.5	0.4	0.4	0.4
ROIC	7.6	6.9	7.0	5.6
ROE	5.5	5.7	5.9	5.5
ROA	4.8	4.4	5.0	4.6
EBITDA margin	33.7	32.3	32.8	31.7
Operating profit margin	20.5	20.6	21.8	20.8
EBITDA/net interest (x)				28.3
Net debt/equity	-21.3	-20.7	-11.6	11.2
Net debt/EBITDA (x)	-2.0	-2.1	-1.1	1.1
CF from operations/net debt				75.4
Per share data (CNY)				
EPS Rep (diluted)	0.33	0.30	0.36	0.35
HSBC Qianhai EPS (diluted)	0.30	0.33	0.36	0.35
DPS	0.08	0.08	0.09	0.09
Book value	5.67	5.90	6.17	6.43

Valuation data

Year to	12/2018a	12/2019e	12/2020e	12/2021e
EV/sales	4.6	4.4	4.4	4.8
EV/EBITDA	13.7	13.6	13.3	15.0
EV/IC	2.0	1.9	1.7	1.5
PE*	31.9	29.7	27.2	27.9
PB	1.7	1.6	1.6	1.5
FCF yield (%)	1.4	-0.1	-4.8	-14.3
Dividend yield (%)	0.8	0.8	0.9	0.9

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2018a	Governance Indicators	12/2018a
GHG emission intensity*	[n/a]	No. of board members	9
Energy intensity*	[n/a]	Average board tenure (years)	2.2
CO ₂ reduction policy	Yes	Female board members (%)	11.1
Social Indicators		Board members independence (%)	33.3
Employee costs as % of revenues	32.1		
Employee turnover (%)	[n/a]		
Diversity policy	Yes		

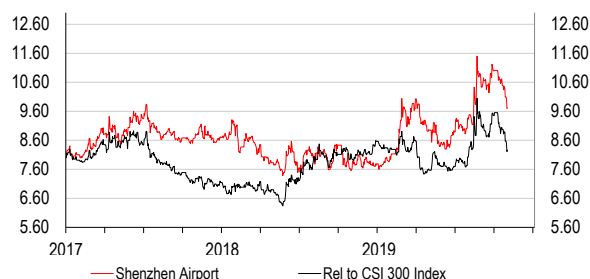
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	9.71	Free float	100%
Target price (CNY)	9.24	Sector	Transport Infrastructure
RIC (Equity)	000089.SZ	Country/Region	China
Bloomberg (Equity)	000089 CH	Analyst	David Wu
Market cap (USDm)	2,823	Contact	+86 21 6081 3802

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 30 Oct 2019

Xiamen Airport (600897 CH)

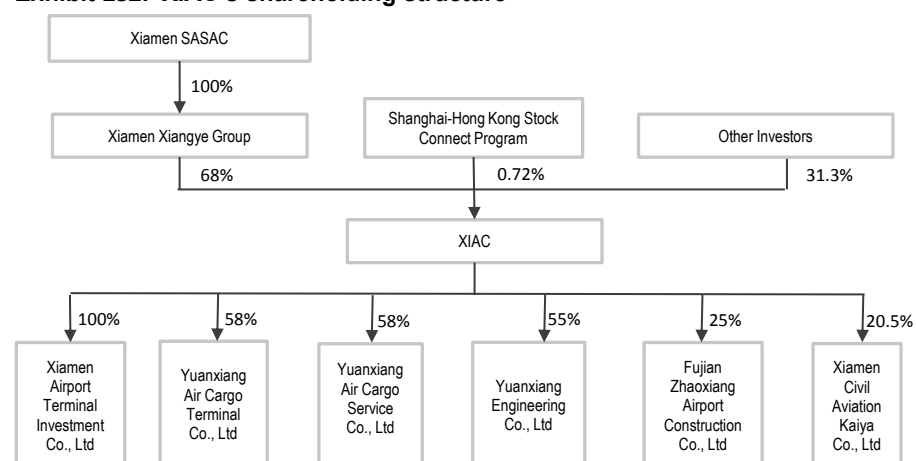
- ◆ A typical tier-2 airport in China but at a competitive valuation with a solid cash dividend payout ratio
- ◆ Continued revenue mix and cost optimisation while awaiting the completion of Xiang'an International Airport
- ◆ We initiate coverage at Buy with a target price of RMB24.86

A typical tier-2 airport in China at a competitive valuation

Xiamen Gaoqi International Airport ("Gaoqi Airport") opened in 1983, was listed on the Shanghai Stock Exchange in 1996. By the end of 2018, Gaoqi Airport had passenger flights to 110 cities, 22 of which are international cities. According to the CAAC's classification standards, Gaoqi Airport is a Class-2 airport (there are 19 in total).

Xiamen Xiangye Group, which is under the State-owned Assets Supervision and Administration Commission ("SASAC") of Xiamen Municipal Government, is the company's controlling shareholder (68% equity), while foreign shareholders hold a total of 0.72% of the company's shares via the Stock Connect Program. In addition, the company controls or holds shares of multiple other companies to help manage various airport businesses.

Exhibit 132. XIAC's shareholding structure



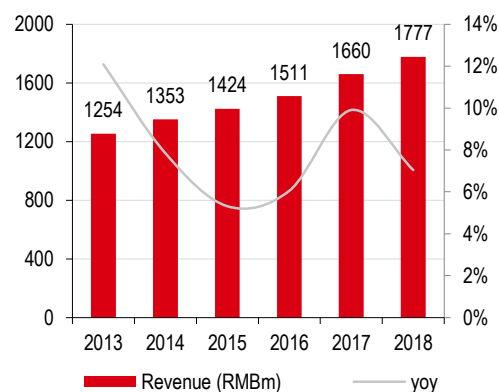
Source: Company data, HSBC Qianhai Securities

The company is focused on rewarding investors, and its dividend payout ratio has been increased to 75% since 2016, the highest among publicly-traded airports. Based on the company's stock price as of 30 October 2019, its 2019e dividend yield is above 4%.

Slow revenue and earnings growth

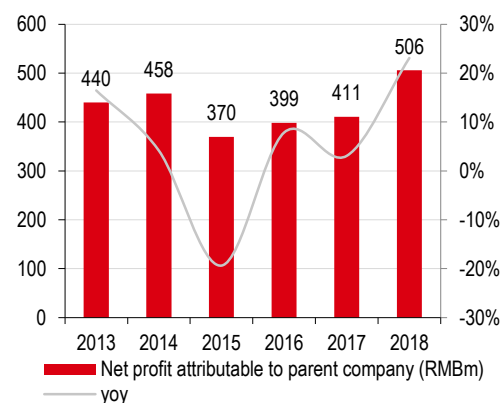
Gaoqi Airport handled 26.55 million passengers and 192,000 air traffic movements in 2018, indicating a CAGR of 6.1% and 2.8% over 2013-18, respectively. In the same year, the company reported revenue of RMB1,777m and net profit attributable to the parent of RMB506m, with 2013-18 CAGR at 7.2% and 2.8%, respectively.

Exhibit 133. Gaoqi Airport's revenue and revenue growth over 2013-18



Source: Company data, HSBC Qianhai Securities

Exhibit 134. Gaoqi Airport's net profit attributable to the parent and its growth over 2013-18

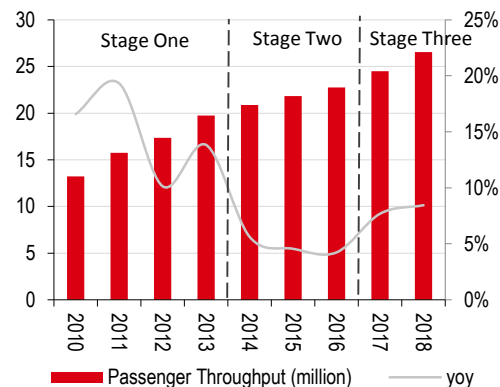


Source: Company data, HSBC Qianhai Securities

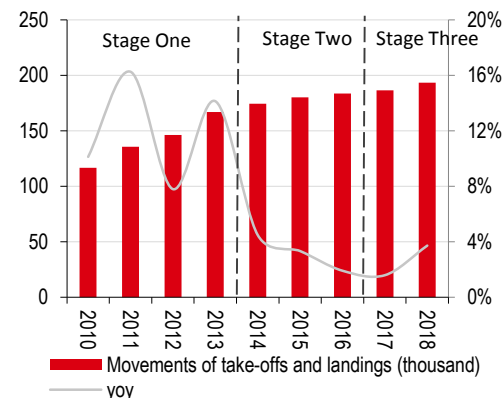
Continued revenue mix and cost optimisation

Gaoqi Airport is currently in the third stage of its development.

- ◆ Stage 1 (from 2010 to 2014): Both passenger throughput and air traffic movements at Gaoqi Airport rose quickly, thanks to ample capacity and strong air travel demand in Xiamen. It also maintained double-digit growth in both revenue and earnings.
- ◆ Stage 2 (from 2014 to 2016): Terminal 4 was put in to use at the end of 2014, pushing the passenger terminal utilisation rate down to 77% from 139%. However, there was a slowdown in the growth of passenger throughput as the landing and takeoff movement capacity per hour for its single runway had hit the upper limit, while the airport's terminal capacity had increased. The company's revenue growth rate fell back to c5%, along with short-term earning fluctuations due to the operation of Terminal 4.
- ◆ Stage 3 (Since 2017): Gaoqi Airport has been increasing the landings and takeoffs of wide-body aircrafts to ease the bottleneck pressure on its runway capacity, driving up traffic volume growth and revenue growth to 5-10% levels. In addition, Gaoqi Airport has also been cutting down on costs to recover the profit margin and accelerate earnings growth.

Exhibit 135. Passenger throughput at Gaoqi Airport has been growing


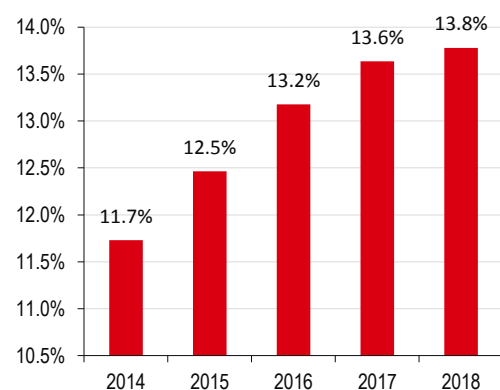
Source: Xiamen Tourism Development Commission, HSBC Qianhai Securities

Exhibit 136. Number of aircraft movements at Gaoqi Airport has been growing


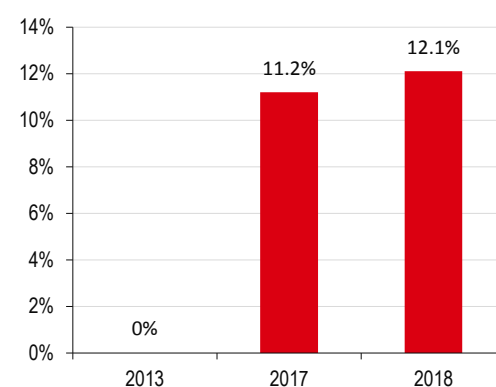
Source: Xiamen Tourism Development Commission, HSBC Qianhai Securities

Improving unit aeronautical charges

Due to the bottleneck in runway capacity amid strong demand, Gaoqi Airport has seen marked increases in landings and takeoffs by international flights and wide-body aircrafts over the past several years. Since its unit aeronautical charge for international flights is 1.6 times that for domestic ones, and its unit aeronautical charge for wide-body aircrafts is 1.9 times of that for narrow-body ones, both unit landing and takeoff charges and unit passenger service charges have been on the rise, improving its revenue mix. We think the unit aeronautical revenue of Gaoqi Airport will keep rising, in view of the anticipated robust air travel demand in Xiamen given it is an important tourist city in China and a major city for international trade in Fujian Province.

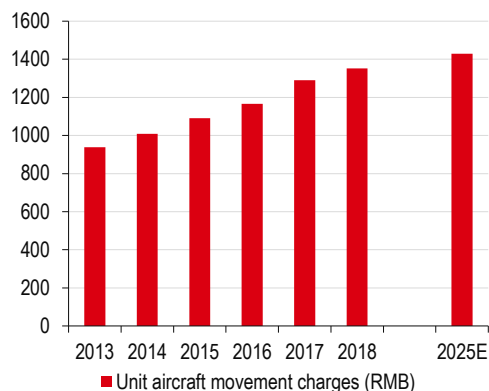
Exhibit 137. Steadily increasing contribution of international passengers to the total passenger throughput at Gaoqi Airport


Source: Company data, HSBC Qianhai Securities

Exhibit 138. Rapidly increasing contribution of international flights and wide-body aircraft to total landings/takeoffs at Gaoqi Airport


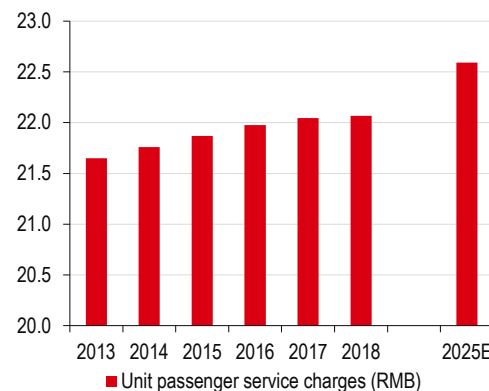
Source: Company data, HSBC Qianhai Securities

Exhibit 139. Unit landings and takeoff charges at Gaoqi Airport have been on the rise



Source: Company data, HSBC Qianhai Securities estimates

Exhibit 140. Unit passenger service charges at Gaoqi Airport have been on the rise

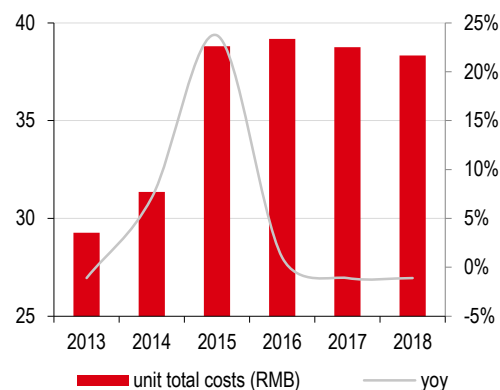


Source: Company data, HSBC Qianhai Securities estimates

Improving operational efficiency and unit cost

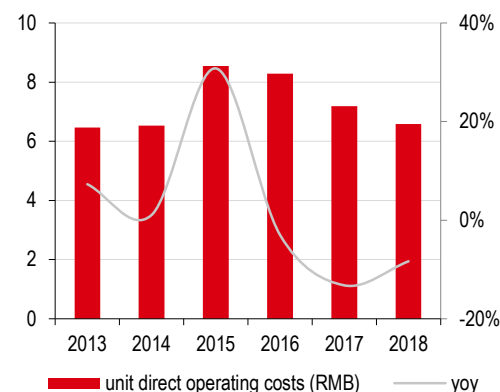
After Terminal 4 was put in to use, the operating cost per passenger at Gaoqi Airport surged in 2015 but gradually fell at a CAGR of -1.1% over 2017-18 (there was a notable decline in the unit direct operating costs mainly due to the economies of scale and a reduction in costs). We think the cost optimisation will continue over the next three years.

Exhibit 141. The unit total operating cost of Gaoqi Airport and y-o-y growth



Note: The one-off impact from 2017 BRICS Summit has been excluded, and the data set of 2017-18 unit main business operating costs has been smoothed
 Source: Company data, HSBC Qianhai Securities

Exhibit 142. The unit direct operating cost of Gaoqi Airport and y-o-y growth



Source: Company data, HSBC Qianhai Securities

Awaiting the completion of Xiang'an International Airport

By the end of 2018, Gaoqi Airport had one runway and two terminals (T3 and T4). Its runway capacity is very near its limit with 32 flights per hour permitted, whereas the number of flights that landed/took off in the busy period in 2017 hit 28. We expect its runway capacity will be fully utilised as of 2022.

According to *The 13th Five-Year Plan of Xiamen Comprehensive Transportation Development*, Xiang'an International Airport will have four runways and will be designed for a passenger throughput of 70 million by 2045. The construction project will be carried out in two phases. The first phase involves building a terminal of 0.55 million square metres and two runways, with

designed annual capacity of 45-million passenger throughput. Xiang'an International Airport project has been approved by the National Development and Reform Commission while Xiamen Airport Group, the company's controlling shareholder, will undertake the construction project. We expect the new airport to be completed and to start operating in 2023-25. Given the size of Xiamen's economy, we do not expect both Xiang'an Airport and Gaoqi Airport will be operating at the same time. Referring to similar cases in Shenzhen and Qingdao, we think Gaoqi Airport is likely to be shut down after Xiang'an International Airport is put into use, and the latter could become the main asset of the listed company in the future.

Exhibit 143. Airport upgrading: Shenzhen vs Qingdao

City	Old airports		New airports		Long-term planning		Operating model
	Terminal capacity (10K persons)	No. of runway	In operation since	Long-term planning for terminal capacity (10K persons)	Long-term planning for No. of runway		
Shenzhen	1500	2	2013	9500	4	Closed the old terminals and opened the new one	
Qingdao	1720	1	2019e	5500	4	Closed the old airport and opened the new one	

Source: Civil Aviation Administration of China, HSBC Qianhai Securities

Earnings estimates

We estimate the company's 2019/2021e net profit attributable to parent to grow 5.8%/4.6%/5.5% y-o-y to RMB535m/559m/590m, respectively. Core assumptions as follows:

Passenger throughput: We estimate the company's 2019-21e domestic passenger throughput to grow 6.0%/5.0%/4.0% y-o-y and international and regional passenger throughput to grow 5.0%/7.0%/7.0% y-o-y, respectively.

Movements: Considering the company's limited runway capacity, we estimate the company's 2019-21e domestic aircraft movements to grow 1.8%/1.5%/1.2% y-o-y and international and regional aircraft movements to grow 1.0%/1.4%/1.4%, respectively.

Duty-free retail: We estimate 2019-21e duty-free retail franchise and rental income to be RMB24m/24m/24m, respectively.

Taxed business: We estimate 2019-21e taxed business franchise and rental income to grow 2.3%/2.1%/1.5% y-o-y to RMB205m/209m/212m, respectively.

Depreciation cost: We expect depreciation and amortisation to drop 5.5%/2.4%/7.2% y-o-y to RMB184m/179m/166m in 2019-21e, respectively.

Labour cost: We estimate 2019-21e labour cost to grow 7.9%/7.4%/6.5% y-o-y to RMB425m/456m/486m.

Capex: We assume the first and second phases of Xiang'an Airport to start operation in 2023e and 2035e, respectively, and that the listed company will mainly take charge of the construction of terminals, with capex expected to be RMB12.1bn and RMB7.8bn, respectively.

Gross margin: We estimate 2019-21e gross margins of the company to be 43.2%/43.1%/43.5%, respectively.

Exhibit 144. Estimated passenger throughput, movements and aeronautical charges of XIAC

	2015	2016	2017	2018	2019e	2020e	2021e
Passenger throughput (m passengers handled)	21.8	22.7	24.5	26.6	28.1	29.6	30.9
Y-o-y growth	4.6%	4.2%	7.7%	8.5%	5.9%	5.3%	4.4%
Domestic passengers	19.1	19.7	21.2	22.9	24.3	25.5	26.5
Y-o-y growth	3.7%	3.4%	7.1%	8.3%	6.0%	5.0%	4.0%
International and regional passengers	2.7	3.0	3.3	3.7	3.8	4.1	4.4
Y-o-y growth	11.1%	10.2%	11.4%	9.6%	5.0%	7.0%	7.0%
Movements ('000)	180.1	183.6	184.4	191.5	194.8	197.6	200.1
Y-o-y growth	3.3%	1.9%	0.5%	3.9%	1.7%	1.5%	1.2%
Domestic movements	150.8	153.7	154.1	161.6	164.5	167.0	169.0
Y-o-y growth	3.0%	1.9%	0.3%	4.8%	1.8%	1.5%	1.2%
International and regional movements (国际地区起降)	29.3	29.9	30.3	30.0	30.3	30.7	31.1
Y-o-y growth	5.1%	1.8%	1.3%	-1.0%	1.0%	1.4%	1.4%
Unit movements revenue (RMB)	1091	1167	1290	1351	1367	1378	1390
Y-o-y growth	8.2%	6.9%	10.6%	4.7%	1.2%	0.8%	0.9%
Unit passenger service charges (RMB)	21.9	22.0	22.0	22.1	22.0	22.1	22.1
Y-o-y growth	0.5%	0.5%	0.3%	0.1%	-0.1%	0.2%	0.2%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 145. Core data estimates for non-aeronautical business of XIAC

	2015	2016	2017	2018	2019e	2020e	2021e
Duty-free retail:							
Franchise and rental revenue (RMBm)				24	24	24	24
Y-o-y growth					0.0%	0.0%	0.0%
Taxed business:							
Franchise and rental revenue (RMBm)				200	205	209	212
Y-o-y growth					2.3%	2.1%	1.5%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 146. Revenue estimates of XIAC (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total revenue	1424	1511	1660	1777	1855	1929	1999
Y-o-y growth	5.3%	6.1%	9.9%	7.0%	4.4%	4.0%	3.6%
Aeronautical business	904	939	1053	1155	1216	1271	1323
Y-o-y growth	5.4%	3.9%	12.2%	9.7%	5.3%	4.6%	4.0%
Non-aeronautical business	521	572	607	622	640	658	676
Y-o-y growth	2.6%	9.7%	6.2%	2.5%	2.8%	2.9%	2.7%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 147. Estimated operating costs of XIAC (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Total operating costs	846	891	1010	1017	1054	1097	1129
Y-o-y growth	29.4%	5.3%	13.3%	0.8%	3.6%	4.1%	2.9%
Labour cost	285	320	380	394	425	456	486
Y-o-y growth	25.2%	12.3%	18.9%	3.7%	7.9%	7.4%	6.5%
Depreciation cost	157	160	185	194	184	179	166
Y-o-y growth	55.0%	2.2%	15.3%	5.2%	-5.5%	-2.4%	-7.2%
Direct costs	186	189	176	175	180	184	186
Y-o-y growth	36.8%	1.1%	-6.6%	-0.6%	2.7%	2.1%	1.3%
Maintenance fees	100.8	114.9	171.4	164.7	175	185	196
Y-o-y growth	11.1%	14.0%	49.2%	-3.9%	6.0%	6.0%	6.0%
Leasing expenses	85.1	77.2	53.0	53.6	53.7	53.7	53.7
Y-o-y growth	111.8%	-9.1%	-31.5%	1.1%	0.0%	0.0%	0.0%
Other costs	32.7	30.5	44.7	36.7	37.7	39.4	40.8
Y-o-y growth	-44.2%	-6.5%	46.4%	-18.0%	2.8%	4.5%	3.6%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 148. Gross profit (RMBm) and gross margin estimates of XIAC

	2015	2016	2017	2018	2019e	2020e	2021e
Gross profit	578	620	651	759	801	832	870
Y-o-y growth	-17.2%	7.2%	5.0%	16.9%	5.5%	3.9%	4.5%
Gross margin	40.6%	41.0%	39.2%	42.8%	43.2%	43.1%	43.5%

Source: Company data, HSBC Qianhai Securities estimates

Exhibit 149. Balance sheet and cash flow statement estimates of XIAC (RMBm)

	2015	2016	2017	2018	2019e	2020e	2021e
Balance sheet							
Cash	793	209	212	428	699	1202	1606
Debt	0	0	0	0	0	0	0
Net debt (cash)	-793	-209	-212	-428	-699	-1202	-1606
Shareholders' equity	3015	3299	3407	3601	3857	4137	4432
Capex	-216	-836	-265	-88	-120	-20	-120
Cash flow statement							
Operating cash flow	607	689	569	858	639	769	778
Investment cash flow	138	-1144	-273	-328	-100	0	-100
Free cash flow	397	-141	307	779	528	759	670
Financial Ratios							
Debt to asset ratio	19%	19%	18%	18%	15%	15%	14%
Current ratio	1.53	1.13	1.43	2.00	2.61	3.30	3.81
Quick ratio	1.53	1.13	1.43	2.00	2.61	3.30	3.81
Cash dividend ratio	31%	75%	75%	75%	52%	50%	50%

Source: Company data, HSBC Qianhai Securities estimates

Financial analysis

In our view, the company's operations will be stable over the next three years. We expect the company's operating cash flow to decrease from RMB858m in 2018 to RMB778m in 2021e (-3.2% CAGR), investing cash outflow to decline from RMB328m in 2018 to RMB100m in 2021e, free cash flow to fall from RMB779m in 2018 to RMB670m in 2021e, and the debt-to-asset ratio to drop from 18% in 2018 to 14% in 2021e.

Valuation and risks
Initiate coverage at Buy with TP of RMB24.86

Owing to the steady operation, long operating history and stable cash flow growth of the airport, we value the stock based on a two-stage DCF model. We derive a target valuation of RMB7.4bn

for the company. Our target price of RMB24.86 implies an upside of 18%. Considering new Xiang'an Airport should ease the capacity bottleneck, we initiate coverage with a Buy rating.

Our core assumptions as follows:

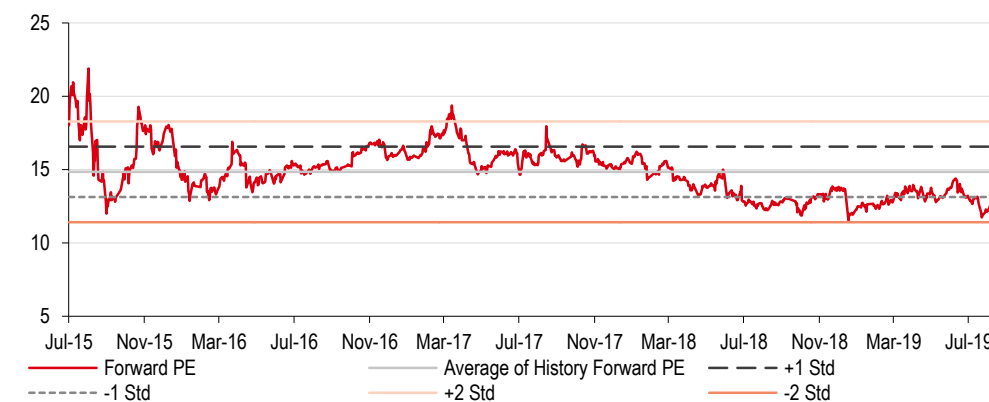
- ◆ WACC: we derive a WACC of 7.3% based on the risk-free rate of 2.5%, market risk premium of 6.5% and beta coefficient of 0.74
- ◆ Phase I: we estimate 2019-2065e free cash flow of the company
- ◆ Phase II: we assume perpetual growth rate to be 0%

Exhibit 150. Valuation metrics for XIAC and sensitivity of its WACC

Core assumption		Figure	Sensitivity test											
Perpetual growth rate			0%	HSBCQH operating profit before interest and after tax HSBCQH company free cash flow	2014	2015	2016	2017	2018	2019e	2020e	2021e	2022e	2023e
Risk-free rate			2.5%		433	360	389	415	490	523	544	569	606	183
Risk premium			6.5%		-547	384	-150	301	755	514	744	653	766	-10912
Income tax rate			25%											
Beta			0.74											
Equity cost			7.3%											
Debt cost			4.0%											
Equity value			6180											
Debt value			0											
WACC			7.3%	Sensitivity test										
			WACC	Perpetual growth rate										
Free cash flow valuation	Discounted value			-2.0%	-1.5%	-1.0%	-0.5%	0.0%	0.5%	1.0%	1.5%	2.0%		
	RMBm													
Phase I	3788		5.8%	35.71	36.04	36.43	36.88	37.41	38.03	38.78	39.71	40.89		
Phase II final value	766		6.1%	32.89	33.17	33.48	33.84	34.26	34.75	35.34	36.06	36.96		
Company value	4554		6.4%	30.38	30.60	30.86	31.15	31.48	31.87	32.34	32.90	33.59		
+ short-term financial assets	639		6.7%	28.12	28.31	28.51	28.75	29.02	29.33	29.70	30.14	30.67		
+ long-term equity value	22		7.0%	26.10	26.25	26.42	26.61	26.82	27.08	27.37	27.71	28.13		
+ unused fixed assets	1508		7.3%	24.27	24.39	24.53	24.69	24.86	25.07	25.30	25.58	25.90		
- net debt	-699		7.6%	22.62	22.72	22.84	22.96	23.11	23.27	23.46	23.68	23.94		
- minority shareholders' equity	22		7.9%	21.13	21.22	21.31	21.41	21.53	21.66	21.82	21.99	22.20		
Company equity value	7405		8.2%	19.78	19.85	19.93	20.01	20.11	20.22	20.34	20.48	20.65		
Number of shares (m share)	298		8.5%	18.56	18.61	18.68	18.75	18.83	18.92	19.02	19.13	19.26		
TP (RMB)	24.86		8.8%	17.44	17.49	17.54	17.60	17.67	17.74	17.82	17.92	18.02		

Source: Bloomberg, company data, HSBC Qianhai Securities

The stock is currently trading at a 12x 2019e forward PE and 1.6x 2019e forward PB, c1SD lower than both the 15x average PE and 1.9x average PB in the past four years. We believe XIAC is attractive on valuation and given its higher cash dividend payout ratio relative to A-share peers. Share price catalysts: injection of Xiang'an Airport into the listed company.

Exhibit 151. Historical forward PE trend of XIAC

Exhibit 152. Historical forward PB trend of XIAC


Key downside risks

More-than-expected increase in labour costs. In 2018, labour costs accounted for 39% of the company's operating costs. Airport is a labour-intensive industry, so bigger-than-expected increase in labour costs would pose downside risks to the company's earnings.

More-than-expected investment in Xiang'an Airport. Given the massive investment in the new airport and uncertainties in the construction plan, higher-than-expected investment may pose downside risks to the company's earnings.

Financials & valuation: Xiamen International Airport

Buy

Financial statements

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Profit & loss summary (CNYm)				
Revenue	1,777	1,855	1,929	1,999
EBITDA	897	918	943	966
Depreciation & amortisation	-230	-210	-205	-192
Operating profit/EBIT	667	708	738	774
Net interest	2	9	14	21
PBT	704	743	777	820
HSBC Qianhai PBT	704	743	777	820
Taxation	-177	-186	-194	-205
Net profit	506	535	559	590
HSBC Qianhai net profit	491	535	559	590
Cash flow summary (CNYm)				
Cash flow from operations	858	639	769	778
Capex	-88	-120	-20	-120
Cash flow from investment	-328	-100	0	-100
Dividends	-310	-279	-280	-295
Change in net debt	-216	-270	-504	-404
FCF equity	770	519	749	658
Balance sheet summary (CNYm)				
Intangible fixed assets	132	126	120	114
Tangible fixed assets	2,889	2,806	2,626	2,560
Current assets	1,329	1,612	2,127	2,541
Cash & others	428	699	1,202	1,606
Total assets	4,628	4,821	5,150	5,492
Operating liabilities	767	715	741	764
Gross debt	0	0	0	0
Net debt	-428	-699	-1,202	-1,606
Shareholders' funds	3,601	3,857	4,137	4,432
Invested capital	3,156	3,130	2,929	2,845

Ratio, growth and per share analysis

Year to	12/2018a	12/2019e	12/2020e	12/2021e
Y-o-y % change				
Revenue	7.0	4.4	4.0	3.6
EBITDA	14.8	2.3	2.7	2.5
Operating profit	18.9	6.1	4.2	4.9
PBT	22.3	5.5	4.6	5.5
HSBC Qianhai EPS	22.8	8.9	4.6	5.5
Ratios (%)				
Revenue/IC (x)	0.6	0.6	0.6	0.7
ROIC	15.8	16.9	18.3	20.1
ROE	14.0	14.3	14.0	13.8
ROA	11.6	11.6	11.5	11.3
EBITDA margin	50.5	49.5	48.9	48.4
Operating profit margin	37.6	38.2	38.2	38.7
EBITDA/net interest (x)				
Net debt/equity	-11.3	-17.1	-27.4	-34.1
Net debt/EBITDA (x)	-0.5	-0.8	-1.3	-1.7
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	1.70	1.80	1.88	1.98
HSBC Qianhai EPS (diluted)	1.65	1.80	1.88	1.98
DPS	1.28	0.94	0.94	0.99
Book value	12.09	12.95	13.89	14.88

Valuation data

Year to	12/2018a	12/2019e	12/2020e	12/2021e
EV/sales	3.3	3.0	2.6	2.3
EV/EBITDA	6.5	6.1	5.4	4.8
EV/IC	1.8	1.8	1.7	1.6
PE*	12.8	11.8	11.2	10.6
PB	1.7	1.6	1.5	1.4
FCF yield (%)	12.2	8.3	11.9	10.5
Dividend yield (%)	6.1	4.4	4.4	4.7

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2018a	Governance Indicators	12/2018a
GHG emission intensity*	[n/a]	No. of board members	10
Energy intensity*	[n/a]	Average board tenure (years)	3.2
CO ₂ reduction policy	Yes	Female board members (%)	10
Social Indicators		Board members independence (%)	40
Employee costs as % of revenues	24		
Employee turnover (%)	[n/a]		
Diversity policy	Yes		

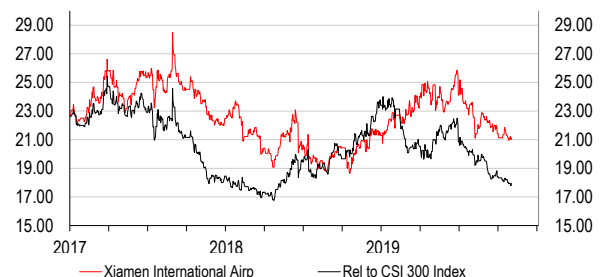
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	21.11	Free float	100%
Target price (CNY)	24.86	Sector	Transport Infrastructure
RIC (Equity)	600897.SS	Country/Region	China
Bloomberg (Equity)	600897.CH	Analyst	David Wu
Market cap (USDm)	891	Contact	+86 21 6081 3802

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 30 Oct 2019

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Disclosure appendix

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

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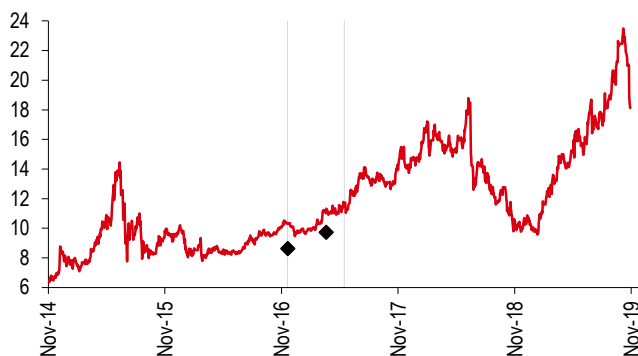
Buy	52%	(31% of these provided with Investment Banking Services)
Hold	39%	(32% of these provided with Investment Banking Services)
Sell	9%	(19% of these provided with Investment Banking Services)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Guangzhou Baiyun Airport (600004.SS) share price performance CNY Vs HSBC rating history



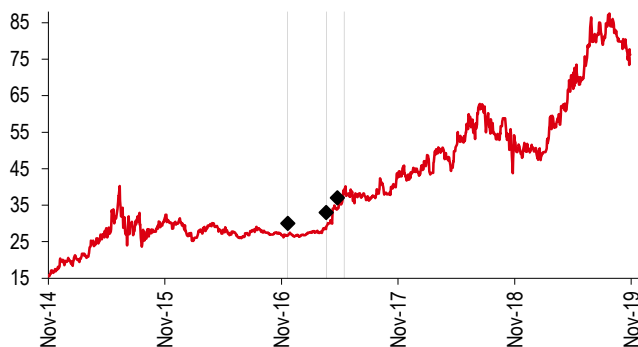
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Reduce	23 Nov 2016	Jack Xu
Reduce	N/A	18 May 2017	
Target price	Value	Date	Analyst
Price 1	8.62	23 Nov 2016	Jack Xu
Price 2	9.72	24 Mar 2017	Jack Xu
Price 3	N/A	18 May 2017	

Source: HSBC

Shanghai Intl Airport (600009.SS) share price performance CNY Vs HSBC rating history

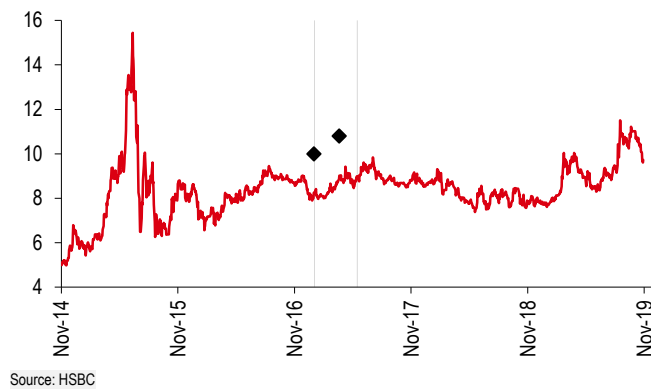


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Hold	23 Nov 2016	Jack Xu
Hold	Buy	24 Mar 2017	Jack Xu
Buy	N/A	18 May 2017	
Target price	Value	Date	Analyst
Price 1	30.00	23 Nov 2016	Jack Xu
Price 2	33.00	24 Mar 2017	Jack Xu
Price 3	37.00	28 Apr 2017	Jack Xu
Price 4	N/A	18 May 2017	

Source: HSBC

**Shenzhen Airport (000089.SZ) share price performance
 CNY Vs HSBC rating history**

Rating & target price history

From	To	Date	Analyst
Hold	Buy	04 Jan 2017	Jack Xu
Buy	N/A	18 May 2017	
Target price	Value	Date	Analyst
Price 1	10.00	04 Jan 2017	Jack Xu
Price 2	10.80	24 Mar 2017	Jack Xu
Price 3	N/A	18 May 2017	

Source: HSBC

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Clients of HSBC Private Banking: www.research.privatebank.hsbc.com/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
SHANGHAI INTL AIRPORT	600009.SS	76.26	01 Nov 2019	6
XIAMEN INTERNATIONAL AIRPORT	600897.SS	20.76	01 Nov 2019	7

Source: HSBC

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- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
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2. In order to see when this report was first disseminated please see the disclosure page available at <https://research.hsbcqh.com.cn/R/34/lvcBL2P>

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Issuer of report

HSBC Qianhai Securities Limited

Block 27 A&B, Qianhai Enterprise Dream Park, 63 Qianwan Yi Road, Shenzhen-Hong Kong Cooperation Zone, Shenzhen, China
Phone number: +86 755 8898 3288

Website: www.hsbcqh.com.cn

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HSBC Qianhai Research Team

Head of Research, HSBC Qianhai Securities
Steven Sun +86 755 8898 3158
stevensun@hsbcqh.com.cn

Deputy Head of Research, Head of Research
Product, HSBC Qianhai Securities
John Chung

China Equity Strategy

Analyst, Head of China Equity Strategy
Research
Steven Sun +86 755 8898 3158
stevensun@hsbcqh.com.cn

Analyst, Head of A-share Equity Strategy
Bob Liu +86 755 8898 3179
bob.h.liu@hsbcqh.com.cn

Associate
Kate Zhang

Associate
Anakin Tang

Agriculture & Fishery

Analyst, Head of A-share Agriculture Research
Andy Li +86 755 8898 3107
andy.j.li@hsbcqh.com.cn

Auto & Auto Parts

Analyst, Head of A-share Auto Research
Yuqian Ding +86 755 8898 3650
yuqian.ding@hsbcqh.com.cn

Consumer

Analyst, Head of A-share Consumer Research
Katharine Song +86 755 8898 3142
kathy.l.h.song@hsbcqh.com.cn

Analyst, A-share Food & Beverage and Pulp &
Paper Research
Darron Xue +86 755 8898 3407
darron.xue@hsbcqh.com.cn

Associate
Joseph Zhou

Associate
Li Quan

Financials

Analyst, Head of A-share Financials Research
Angel Sun +86 755 8898 3493
angel.y.sun@hsbcqh.com.cn

Associate
Zac Jin

Industrials and Environmental Services

Analyst, Head of A-share Industrials and
Environmental Research
Bonan Li +86 755 8898 3139
bonan.li@hsbcqh.com.cn

Associate
Amy Hu

Infrastructure & Renewables

Analyst, Head of A-share Infrastructure &
Renewables Research
Corey Chan +86 755 8898 3404
corey.chan@hsbcqh.com.cn

Analyst, A-share Infrastructure & Renewables
Research
Dun Wang +86 755 8898 3460
dun.wang@hsbcqh.com.cn

Petrochemical & New Materials

Analyst, Head of A-share Petrochemical and
New Materials
Eric Shen +86 755 8898 3403
eric.shen@hsbcqh.com.cn

Associate
Yi Ru

Telecoms, Media & Technology

Analyst, Head of A-share Technology
Hardware Research
Frank He +86 755 8898 3136
frank.fang.he@hsbcqh.com.cn

Analyst, Head of A-share Media & Internet
Research
Yi Guo +86 755 8898 3137
gary.yi.guo@hsbcqh.com.cn

Analyst, A-share Media & Internet
Jing Han +86 755 8898 3147
jing01.han@hsbcqh.com.cn

Analyst, Head of A-share IT Software
Research
Sijie Ma +86 755 8898 3140
sijie.ma@hsbcqh.com.cn

Associate
Chase Ding

Associate
Yiran Liu

Transportation and Logistics

Analyst, Head of A-share Transportation &
Logistics Research
David Wu +86 755 8898 3436
david.wu@hsbcqh.com.cn

Associate
Sonia Luo

Main contributors

**David Wu* (S1700518110001)****Head of A-Share Transportation & Logistics Research**

HSBC Qianhai Securities Limited

david.wu@hsbcqh.com.cn

+86 21 6081 3802

David Wu joined HSBC Qianhai Securities Limited in 2018 as the Head of A-share Transportation & Logistics Research. Prior to joining HSBC, he worked as an equities analyst with a top Chinese securities firm, covering airline, logistics and shipping companies. David has worked in equity research since 2012. He holds a master of commerce degree in business statistics and a master's degree in professional accounting from the University of Sydney.

Sonia Luo* (S1700119030004)

Associate

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